

Q fact

Page	Source Text
------	-------------

2	Can you confirm the correctness of that witness statement? A I do confirm. Q Do you wish to amend or correct anything in that statement? A No, nothing to...
-------------------	--

1	And then the tribunal may ask you questions as well. You will be provided with documents on the screen and you should have in front of you your witness...
-------------------	--

Quick Mark

Page	Source Text
1	MR FRANCESCO COLOMBO

01 08:47:01 (9.32 am)

02 09:32:44 **PRESIDENT:** Thank you. Very good morning to all of you.

03 09:32:54 We will continue today with the examination of the

04 09:32:58 last claimant's witness. We have, I think,

05 09:33:04 Mr Colombo, who is going to give testimony to the

06 09:33:08 tribunal.

07 09:33:09 **MR HAUGENEDER:** He's ready and we will ask him to

08 09:33:13 come in.

09 09:33:14 **MR FRANCESCO COLOMBO**

10 09:33:35 **PRESIDENT:** Good morning, Mr Colombo. Thank you for

11 09:33:40 coming to this hearing to give testimony. I will

12 09:33:48 remind you, if you don't, if you're not aware of the

13 09:33:52 process.

14 09:33:52 First, I will ask you to read an affirmation about

15 09:33:58 your willingness to give to the tribunal truthful

16 09:34:04 testimony. Then I will invite counsel for claimant to

17 09:34:09 first affirm your witness statements and ask you a few

18 09:34:14 questions in direct examination. And then we have

19 09:34:19 scheduled cross-examination for 30 minutes to be

20 09:34:26 conducted by respondent. And if claimant needs, he

21 09:34:30 will ask you questions in redirect. And then the

22 09:34:32 tribunal may ask you questions as well.

23 09:34:36 You will be provided with documents on the screen

24 09:34:39 and you should have in front of you your witness

25 09:34:42 statement.

01 09:34:43 A Yes.

02 09:34:44 **PRESIDENT:** Thank you. For the record, will you please

03 09:34:46 read, state your name and read aloud the affirmation.

04 09:34:51 A I Francesco Colombo, do solemnly, sincerely, and truly

05 09:34:54 declare and affirm that the evidence I shall give

06 09:34:57 shall be the truth, the whole truth, and nothing but

07 09:35:00 the truth.

08 09:35:01 **PRESIDENT:** Thank you.

09 09:35:01 Examination-in-chief by MR HAUGENEDER

10 09:35:03 **MR HAUGENEDER:** Good morning.

11 09:35:03 A Good morning.

12 09:35:05 Q Mr Colombo. You have submitted a witness statement in

13 09:35:12 this arbitration, which you have in front of you. Can

14 09:35:16 you confirm the correctness of that witness statement?

15 09:35:21 A I do confirm.

16 09:35:23 Q Do you wish to amend or correct anything in that

17 09:35:26 statement?

18 09:35:27 A No, nothing to be changed.

19 09:35:30 Q Mr Colombo, your witness statement deals with hedging.

20 09:35:40 Could you please explain to us, what is a hedge? What

21 09:35:45 is the purpose of a hedge?

22 09:35:48 A So in general terms, a hedge is a contract by which

23 09:35:55 a company, any company, can lock in the margin between

24 09:36:00 the purchase and the sales leg of a specific

25 09:36:03 transaction, in case either leg has a different price

01 09:36:09 nature from the other. So the hedge helps in
02 09:36:13 eliminating this difference and locking in the margin
03 09:36:15 of the transaction.
04 09:36:20 Q What is the hedging policy of PPD?
05 09:36:26 A So the hedging policy of PPD is to hedge, therefore
06 09:36:33 eliminate any kind of difference between the two legs
07 09:36:36 in purchase and sale, immediately, right after the
08 09:36:41 conclusion of the transaction.
09 09:36:47 Q So do you try to hedge all transactions, if possible?
10 09:36:59 A Absolutely. So when company I work for, PPD Global,
11 09:37:04 is given the task to hedge from PPD, we always hedge
12 09:37:08 or try to hedge 100 per cent of the quantity within
13 09:37:11 the contract for the whole duration of the contract.
14 09:37:15 Q Your witness statement then deals with lot 1 of the
15 09:37:23 HEP contracts concluded in 2021. Have you attempted
16 09:37:31 to hedge that contract as well?
17 09:37:37 A Yes, we did try. We first requested indications to
18 09:37:44 counterparties in order to hedge those contracts,
19 09:37:46 especially the lot 1, before the lot 1 was concluded.
20 09:37:50 And then once lot 1 was concluded and we received the
21 09:37:53 order from PPD, we tried to hedge as much as we could.
22 09:37:58 However, this ended up with being only 19 per cent
23 09:38:03 of the whole quantity of the contract, so about
24 09:38:06 80 per cent was left unhedged.
25 09:38:10 Q And what was the reason you couldn't hedge the

01 09:38:14 remaining 80 per cent?

02 09:38:16 A The reason was the lack of credit opening or

03 09:38:22 availability from our pool of counterparties, because

04 09:38:26 of the market scenario which was happening during

05 09:38:32 Q4 2021, which was quite unprecedented compared to the

06 09:38:37 past scenarios we have seen.

07 09:38:39 Q And could you explain that market environment a bit,

08 09:38:42 please?

09 09:38:43 A So basically, our counterparties give us the right or

10 09:38:49 the price to hedge depending on their credit risk

11 09:38:54 towards PPD, in this case, PPD Global.

12 09:38:58 Usually we always been successful in hedging

13 09:39:01 because the market scenario and prices were quite

14 09:39:04 stable. So our means were considered enough for the

15 09:39:08 counterparty to enter into a transaction.

16 09:39:11 However, the increase in prices, and not only in

17 09:39:14 prices but also in price volatility, so swings up and

18 09:39:17 down, made our counterparties way more cautious. So

19 09:39:21 we were requested to provide additional collaterals,

20 09:39:25 bank guarantees, cash, which at that time PPD couldn't

21 09:39:31 give. And therefore we were, let's say, refused to

22 09:39:34 hedge the whole quantity, the entire quantity of the

23 09:39:37 lot 1.

24 09:39:41 Q Other than that transaction, has it ever happened to

25 09:39:46 you that you were unable to hedge a transaction?

01 09:39:51 A No, it never happened.

02 09:39:57 Q Since when are you with PPD?

03 09:40:00 A I work for PPD since 2017. The company is operative

04 09:40:05 since 2018. But the first and the real tough moment

05 09:40:11 in terms of hedging happened in Q4 2021, when the

06 09:40:15 price scenario became unbearable for many.

07 09:40:22 Q Now, you said that 80 per cent of that transaction

08 09:40:28 were unhedged. Can you explain why PPD would suffer

09 09:40:36 a damage when you were unable to hedge?

10 09:40:40 A So lot 1 spans from for the second half of 2022. So

11 09:40:48 this contract was concluded in December 2021 and the

12 09:40:52 delivery of the good, which is natural gas, happens,

13 09:40:56 would happen from the 1st -- sorry, 1st of July till

14 09:41:00 the end of December 2022.

15 09:41:03 Now, the price of the contract was a fixed price,

16 09:41:07 56 euro per megawatt hour, which was the market level

17 09:41:09 at that time.

18 09:41:11 However, without the hedge, the 80 per cent of the

19 09:41:14 quantity could be in loss for PPD if the market price

20 09:41:21 realised during the delivery of the contract was

21 09:41:25 higher, would be higher than 56, and PPD had to buy

22 09:41:29 gas at those prices.

23 09:41:30 So it was not sure that the contract would be in

24 09:41:34 a loss. However, it was at a high risk due to the

25 09:41:38 scenario of increase in prices which was verifying

01 09:41:40 in Q4.

02 09:41:41 Q And what was then the actual --

03 09:41:43 A What happened is that prices were even higher, so the

04 09:41:45 company was at a loss.

05 09:41:45 Q So can you give us -- can you explain to us what were

06 09:41:50 these prices roughly at the time PPD had to procure

07 09:41:56 gas?

08 09:41:56 A They were even double than the fixed price of the

09 09:41:59 contract.

10 09:42:04 Q You are an experienced trader. What is your view

11 09:42:10 of -- what was the reason of the market environment

12 09:42:16 that you described in Q4 2021?

13 09:42:21 A Let's say we came from the Covid crisis, so prices

14 09:42:26 were at their lowest ever in 2020. Then when the

15 09:42:32 economy picked up at the end of 2020 and 2021, prices

16 09:42:36 went back to normal levels. "Normal levels" means

17 09:42:39 historically normal levels.

18 09:42:41 However, certain rumours of storages not being

19 09:42:46 filled by Gazprom in Europe, about smaller volumes

20 09:42:52 being sold by Gazprom again in their electronic sales

21 09:42:58 platforms, came up in the second half of 2021, and

22 09:43:01 this generated several, let's say, small or big price

23 09:43:06 shocks, which became very evident in Q4.

24 09:43:11 Basically, after every headlines about gas being

25 09:43:17 less available during the winter of 2021, 2022, the

01 09:43:24 prices went up quite consistently.

02 09:43:28 Q By how much?

03 09:43:29 A Roughly by even 10, 15 per cent per day, which is not,

04 09:43:34 let's say, a usual percentage in terms of volatility

05 09:43:39 compared to what we observe, let's say, before the

06 09:43:43 crisis.

07 09:43:45 **MR HAUGENEDER:** Thank you very much, Mr Colombo.

08 09:43:49 **PRESIDENT:** Thank you.

09 09:43:52 Cross-examination by MS SOLDATENKOVA

10 09:43:52 **MS SOLDATENKOVA:** Good morning, Mr Colombo.

11 09:43:54 A Good morning.

12 09:43:54 Q My name is Natalia Soldatenkova. I'm counsel for

13 09:43:56 Gazprom Export, respondent in the present case.

14 09:43:59 I will ask you a series of brief questions

15 09:44:01 concerning your witness statement.

16 09:44:03 As we have limited time, please, I would be very

17 09:44:06 grateful if you could answer specifically the question

18 09:44:08 asked, and I apologise in advance if I ever have to

19 09:44:10 interrupt you.

20 09:44:12 When I will ask you to refer to a document,

21 09:44:13 I will -- this document will be shown on the screen,

22 09:44:16 and I will also provide you with a printed copy of the

23 09:44:19 document.

24 09:44:20 Mr Colombo, you confirmed that you prepared your

25 09:44:22 witness statement yourself. Did the lawyers assist

01 09:44:25 you in this task?

02 09:44:26 A I prepared this myself.

03 09:44:28 Q Did the lawyers suggest any changes?

04 09:44:31 A No, they didn't.

05 09:44:32 Q Did they ask you to address any particular facts and

06 09:44:36 omit some other facts from the witness statement?

07 09:44:38 A No. They didn't.

08 09:44:40 Q Thank you.

09 09:44:41 Mr Colombo, you are CEO of PPD Global SA, right?

10 09:44:45 A Correct. That's correct.

11 09:44:46 Q And this is a Swiss entity owned by Mr Pavao Vujnovac,

12 09:44:49 right?

13 09:44:50 A It's a Swiss entity now owned by Mr Pavao Vujnovac,

14 09:44:52 yes.

15 09:44:53 Q And PPD Global SA used to be a subsidiary of claimant,

16 09:44:56 Prvo plinarsko društvo, right?

17 09:44:59 A Correct.

18 09:45:00 Q It was a 100 per cent subsidiary of claimant up to

19 09:45:04 spring 2023, right?

20 09:45:07 A Yes.

21 09:45:07 Q And at that moment, the shareholding of PPD was

22 09:45:10 reduced to 1 per cent?

23 09:45:13 A The equity was increased by the IPO. So the share of

24 09:45:20 the claimant diluted to 1 per cent.

25 09:45:23 Q Thank you. And you've been an employee of PPD Global

- 01 09:45:26 SA for eight years now, right?
- 02 09:45:28 A Since the foundation.
- 03 09:45:30 Q So this is half of your total working experience,
- 04 09:45:32 right, quite a long time?
- 05 09:45:34 A More or less, yes.
- 06 09:45:35 Q And you've been employed at PPD Global SA both before
- 07 09:45:38 and after that restructuring?
- 08 09:45:41 A That's correct.
- 09 09:45:42 Q Did a lot change in terms of organisation, how the
- 10 09:45:44 company functions following the restructuring?
- 11 09:45:48 A No, in operational terms, not that much. In, let's
- 12 09:45:52 say, governance terms, the board has changed. So when
- 13 09:45:58 the restructuring happened, then also the board has
- 14 09:46:02 changed.
- 15 09:46:02 Q And you also became the CEO following the
- 16 09:46:04 restructuring?
- 17 09:46:05 A Correct, that's correct.
- 18 09:46:06 Q And you are also simultaneously a member of the board
- 19 09:46:08 of PPD Italia, right?
- 20 09:46:10 A Yes. This company is now named ENNA Next Italia
- 21 09:46:14 because of the rebranding, but it still belongs to the
- 22 09:46:17 group.
- 23 09:46:19 Q At paragraph 2 of your witness statement, you
- 24 09:46:21 mentioned that you have been involved in assisting
- 25 09:46:23 claimant in arranging hedging transactions. Do you

01 09:46:26 still continue to provide those services to claimant?

02 09:46:29 A Sorry, that's paragraph number 2?

03 09:46:31 Q Paragraph number 2.

04 09:46:33 A Can you repeat the question again? Sorry.

05 09:46:35 Q Can you please have a look at the third sentence where

06 09:46:38 you mentioned that you have been involved -- the

07 09:46:41 **second sentence, third line:**

08 09:46:42 "I have been involved in assisting Prvo plinarsko

09 09:46:45 društvo ... in arranging hedging transactions to

10 09:46:47 balance the risk of PPD's supply and delivery

11 09:46:50 agreements."

12 09:46:51 A Yes, that is --

13 09:46:51 Q You continue to provide those services?

14 09:46:54 A We keep on doing these services to PPD.

15 09:46:57 Q And you mentioned that when PPD Global would assist

16 09:46:59 PPD with hedge, it would enter into two back-to-back

17 09:47:02 hedging transactions, right? So one with the hedging

18 09:47:05 partner and one with PPD?

19 09:47:07 A That's correct.

20 09:47:09 Q Is there any framework agreement in place between PPD

21 09:47:11 and PPD Global pursuant to which those hedging

22 09:47:15 transactions are concluded?

23 09:47:17 A Yes. There are financial and physical framework

24 09:47:21 agreements, which are industry standards and in line

25 09:47:25 with the agreements we have with the other

01 09:47:27 counterparties, according to which we can enter into
02 09:47:29 those transactions with PPD.
03 09:47:32 Q And you also mentioned that those hedging transactions
04 09:47:35 are entered into with non-PPD entities.
05 09:47:38 Are any of the hedging transactions on behalf of
06 09:47:41 PPD entered into with other PPD subsidiaries, as the
07 09:47:44 companies of the group?
08 09:47:48 A Currently, PPD Global developed the portfolio of,
09 09:47:51 let's say, other counterparties. So we provide
10 09:47:55 similar, not exactly the same, services to other
11 09:47:59 counterparties, to other entities.
12 09:48:01 However, back in 2020, 2021, the aim of PPD Global
13 09:48:07 was mostly the market -- to provide the market access
14 09:48:11 to PPD. So back then there were like very few other
15 09:48:15 counterparties, contrary to now.
16 09:48:16 Q Thank you, Mr Colombo.
17 09:48:18 In paragraph 9, if we could please show it on the
18 09:48:20 screen, you mentioned that PPD Global -- yes, that
19 09:48:25 would be the very first sentence where you describe
20 09:48:30 how hedging is usually arranged. And you mentioned
21 09:48:33 **here that:**
22 09:48:34 "... PPD Global is usually contacted by PPD at two
23 09:48:37 stages of the transaction."
24 09:48:38 So PPD first contacts PPD Global during
25 09:48:42 contractual negotiations to request pricing

01 09:48:44 information, correct?

02 09:48:46 A That's correct. And we usually give a first

03 09:48:49 assessment whether this transaction is feasible, in

04 09:48:53 which terms of timeline and what level of price is

05 09:48:59 achievable, by asking to several, as many as possible

06 09:49:04 counterparties the same request.

07 09:49:06 Q And your role also includes overseeing the operations

08 09:49:09 of the company, I mean overall operations of PPD

09 09:49:11 Global, right?

10 09:49:14 A Yes. This was even more true back then than now.

11 09:49:18 Q And PPD Global has subsidiaries in Bosnia and

12 09:49:21 Herzegovina in Hungary, Slovenia, Italy, Romania and

13 09:49:25 Croatia. Right?

14 09:49:27 A Yes, in Italy that's PPD Italia, which is not part of

15 09:49:31 PPD Global anymore.

16 09:49:33 Q Thank you. And those --

17 09:49:35 A So, I'm sorry to interrupt. The Romanian one has just

18 09:49:38 been dissolved, if I'm not wrong.

19 09:49:39 Q Thank you for confirming. And those are former

20 09:49:42 subsidiaries of PPD, claimant in this proceeding,

21 09:49:45 right?

22 09:49:45 A Those companies have been acquired by PPD Global from

23 09:49:49 PPD.

24 09:49:49 Q In 2024, correct?

25 09:49:49 A That's correct.

01 09:49:49 Q At paragraph 6 of your witness statement, you mention
02 09:49:49 that within the group of companies -- we could go to
03 09:49:49 the paragraph to assist. That is the second sentence.
04 09:49:49 **So you are saying here that:**
05 09:50:05 "Within the group of companies, the role of
06 09:50:07 PPD Global is to balance the group's portfolio through
07 09:50:10 negotiating physical and financial hedging
08 09:50:13 transactions."
09 09:50:13 Right?
10 09:50:15 A That's correct. Yes.
11 09:50:16 Q So PPD regularly enters into contracts with PPD Global
12 09:50:20 and its subsidiaries; it is correct?
13 09:50:23 A Yes, this is the nature of the business. This was the
14 09:50:26 nature of the business of PPD Global, and the reason
15 09:50:29 why it was established in the first place.
16 09:50:32 Q Thank you. It is a normal practice in the gas
17 09:50:35 industry, isn't it, to link agreements for the supply
18 09:50:37 of gas to industry-wide index prices?
19 09:50:41 A Yes, it is quite a common practice, but --
20 09:50:44 Q And basically -- apologies. Basically, this is
21 09:50:46 a fluctuation of this index that is being hedged by
22 09:50:49 PPD Global?
23 09:50:51 A Yes. Especially, I mean, we as PPD Global enter into
24 09:50:57 the game when the other leg of the contract is not on
25 09:51:01 a floating index. So when either the purchase or the

01 09:51:04 sale leg are on a fixed price, besides the other leg
02 09:51:09 is on a floating price, that's when you need the
03 09:51:11 hedge.
04 09:51:12 Q Thank you. And at the end of 2021, you mentioned this
05 09:51:15 in your witness statement, paragraph 17, many
06 09:51:19 participants were trading speculatively. That is,
07 09:51:22 without the underlying contract for physical delivery.
08 09:51:24 Correct?
09 09:51:28 A Can I just see the paragraph?
10 09:51:30 **Q That would be sentence starting with:**
11 09:51:31 "There was also a general concern..."
12 09:51:33 **And then you mentioned that:**
13 09:51:34 "... many participants were treating
14 09:51:36 speculatively..."
15 09:51:37 A I mean, for sure, companies having different mandates
16 09:51:44 than PPD Global and having better access to cash
17 09:51:50 resources, because back then cash was very crucial to
18 09:51:54 be active on the market, speculated, because when
19 09:51:58 there is volatility, speculation may bring high
20 09:52:02 profits.
21 09:52:04 What I mean in this paragraph is that the lack of
22 09:52:11 credit that we receive from our counterparties was
23 09:52:16 also due to the fact that they were -- they wanted to
24 09:52:18 be sure or they couldn't be sure that we were not
25 09:52:22 speculating, because of course, speculating at that

01 09:52:25 time was very appealing. Which doesn't mean that
02 09:52:28 everyone was speculating, but the counterparties we
03 09:52:31 had, which were mostly banks and traders, so very
04 09:52:35 careful on the risk side, they didn't want to enter
05 09:52:38 into transactions without being 100 per cent sure that
06 09:52:43 those transactions were meant to hedge. And sometimes
07 09:52:46 there was just a level of trust to be used because it
08 09:52:51 was not possible to show anything more.

09 09:52:54 Q So the actions of those other market participants
10 09:52:56 effectively contributed to the market volatility,
11 09:52:58 right? And to availability of hedging transactions?

12 09:53:05 A I think the market volatility was due to the enormous
13 09:53:11 sequence of headlines, which were coming up every day,
14 09:53:15 and which is similar to what we are seeing these days,
15 09:53:18 for other reasons.

16 09:53:21 So this very frequent headlines generated market
17 09:53:28 volatility and price spikes especially. And there was
18 09:53:31 also a clear lack of availability of volumes. So
19 09:53:35 a physical constraint coming up in summer -- in,
20 09:53:39 sorry, winter '21.

21 09:53:43 And when this happens, probably there is
22 09:53:46 a tendency for some companies to try to speculate,
23 09:53:50 which is a concern that many have.

24 09:53:53 I'm not saying this was our behaviour, and
25 09:53:57 I cannot say if this was the behaviour of

01 09:53:59 somebody else.

02 09:54:01 Q But this speculative trading did give concerns to

03 09:54:04 banks, yes? So that was one of the reasons why the

04 09:54:07 banks were generally concerned during that period?

05 09:54:10 A The main concern of the banks towards PPD were that

06 09:54:16 the hedge that PPD would enter eventually into would

07 09:54:22 end up being on a very negative result.

08 09:54:29 So the fixed price against the floating price

09 09:54:31 would mean a huge payment from PPD to -- from

10 09:54:34 PPD Global, sorry, to the counterparty, and PPD Global

11 09:54:39 not having the cash availability to satisfy those

12 09:54:45 payment requests. And this was their main concern.

13 09:54:49 And what I say, what I mean by saying not having

14 09:54:53 enough cash, it also means that we had to use cash for

15 09:54:56 other reasons, because we were seeing defaults from

16 09:55:02 our counterparties.

17 09:55:04 Q Thank you, Mr Colombo.

18 09:55:05 In paragraph 24 of your witness statement, you

19 09:55:08 explain -- I will just give you some time to open

20 09:55:11 that.

21 09:55:12 You explained that PPD took steps to hedge lot 2

22 09:55:15 and lot 3 at the same time as lot 1, correct? That

23 09:55:18 was in December 2021.

24 09:55:21 A Yes, correct, that was at the beginning of

25 09:55:24 December 2021.

01 09:55:26 Q Nevertheless, as you explained, due to higher market
02 09:55:28 prices during that period, the delivery period of
03 09:55:32 lot 1 compared to lot 2 and lot 3, it was more
04 09:55:35 difficult to hedge it. You confirm the statement,
05 09:55:37 right?

06 09:55:39 A Yes, I confirm.

07 09:55:41 Q And today during your direct examination, you
08 09:55:43 confirmed that you try to hedge 100 per cent of the
09 09:55:48 quantity under the contracts, that this is a general
10 09:55:50 rule, the general practice of PPD, right?

11 09:55:54 A Yes. We always try to hedge the whole quantity that
12 09:55:57 is given and confirmed to us by PPD.

13 09:56:01 Q You also confirmed that it never happened to you that
14 09:56:05 you were unable to hedge the transaction since you
15 09:56:08 start in the company in 2017, right?

16 09:56:11 A Correct. It was never a problem.

17 09:56:15 Q Can I please take you also to paragraph 11 at page 4
18 09:56:18 of your witness statement?

19 09:56:28 Here you also specifically refer to the policy
20 09:56:31 with respect to contracts with HEP, which had fixed

21 09:56:34 **price, and you say that:**

22 09:56:35 "Where the contract is for deliveries at a fixed
23 09:56:37 price, like the HEP Contract, we aim to hedge the full
24 09:56:40 amount under the contract."

25 09:56:41 Do you confirm this?

01 09:56:45 A Yes, I do confirm that we aim always to hedge the full
02 09:56:49 amount, so the full quantity for the full duration
03 09:56:51 under the contract.
04 09:56:53 Q But PPD did not hedge all contracts even before 2021,
05 09:56:57 right, on all occasions? For example, it did not
06 09:57:00 hedge 100 per cent of its contracts in 2019 and 2022,
07 09:57:04 right?
08 09:57:07 A Can you show me the contracts and some evidence,
09 09:57:12 please?
10 09:57:12 Q Yes. We would invite you to have -- if you could open
11 09:57:17 tab {G2.6-103}. That would not be the contract, but
12 09:57:23 that would be --
13 09:57:24 **DR REINER:** Could you please give the exhibit number.
14 09:57:26 **MS SOLDATENKOVA:** That would be a table in FIDEM-5, which
15 09:57:29 analyses the information on the hedging transactions
16 09:57:32 provided by Mr Way, expert for the claimant.
17 09:57:35 **DR REINER:** Thank you.
18 09:57:35 **MS SOLDATENKOVA:** We will see on the screen the source.
19 09:57:36 This is a wrong tab I think we see on the screen.
20 09:57:38 It's {G2.6-103}.
21 09:57:46 And if you could go to page 103, right, table 11.
22 09:57:51 Can you please zoom it in.
23 09:58:00 So there were in total six contracts from 2020 --
24 09:58:04 2019, which weren't hedged.
25 09:58:12 A If I'm not wrong, I mean these dates quite back in

01 09:58:15 time, but most of those contracts, maybe only number 5

02 09:58:19 in this table, but all the others should be on

03 09:58:22 a flexible terms.

04 09:58:25 So contrary to the lot 1 of HEP contract, those

05 09:58:31 other transactions concluded with HEP had certain

06 09:58:35 flexibility in it. With flexibility, I mean HEP had

07 09:58:39 the right to decide on daily basis to take from zero

08 09:58:44 up to 100 per cent of the quantity on their own will.

09 09:58:48 And the nature of such agreements cannot be hedged

10 09:58:52 financially in the way that PPD Global hedges

11 09:58:56 financially the, let's say, other transactions.

12 09:59:00 So if I'm not wrong back then, PPD decided to

13 09:59:07 hedge or protect the risk of deliveries under those

14 09:59:10 contracts by other means. And with other means,

15 09:59:14 I refer to assets owned by PPD, such as storages,

16 09:59:20 where PPD had already gas in storage and via those

17 09:59:24 assets could deliver on daily basis the quantities

18 09:59:29 requested by HEP in this case.

19 09:59:31 So this is why -- we didn't hedge financially so

20 09:59:33 there is no record of a matching transaction, yes, but

21 09:59:38 there were other means that PPD used to hedge the risk

22 09:59:43 under those contracts.

23 09:59:45 Q And in your witness statement, paragraph 11, which we

24 09:59:48 have seen, you mentioned that you hedge all contracts,

25 09:59:51 all deliveries at fixed price, right? And those six

01 09:59:56 contracts were also at fixed price, weren't they?

02 10:00:00 A Those contracts were at fixed price, but not at fixed

03 10:00:03 quantity. That is the difference behind, I mean

04 10:00:07 between what we are aiming to hedge and what we don't

05 10:00:11 hedge, or what PPD doesn't hedge.

06 10:00:14 So the difference between these contracts and the

07 10:00:18 lot 1 is the flexibility in terms of volumes.

08 10:00:22 Q But you did not distinguish with this respect, with

09 10:00:25 respect to different kinds of contracts at

10 10:00:26 paragraph 11, right, of your witness statement?

11 10:00:29 A No, it's not explicitly written in paragraph 11.

12 10:00:34 Q Thank you. And just to confirm, you were already at

13 10:00:36 PPD Global at the time, yes? So from 2019 to 2020,

14 10:00:41 this period is when you were already at the company?

15 10:00:43 A I started in PPD Global in 2017, so I was there.

16 10:00:47 Q Thank you. If I could go, please, to paragraph 15 of

17 10:00:50 your witness statement. You say in the beginning that

18 10:00:59 you agree with Ms Measic that the market situation in

19 10:01:03 2021 and 2022 affected PPD Global's attempts to agree

20 10:01:09 hedging transactions on behalf of PPD, right?

21 10:01:12 A Yes, correct.

22 10:01:13 Q And then as you describe the situation in

23 10:01:16 paragraph 19.3, you mention that the situation

24 10:01:21 essentially became worse in the beginning of 2022,

25 10:01:24 because counterparties also began to ask for

01 10:01:27 additional security in the form of bank guarantees

02 10:01:29 because of the high prices in the market. Right?

03 10:01:34 A Yes. Basically, the situation dragged on, started in

04 10:01:38 Q4 2021 and continued in 2022. What we see, what we

05 10:01:43 saw becoming worse and worse was the increase of

06 10:01:47 prices which deteriorated our availability, our cash

07 10:01:52 availability and access to resources. Yes.

08 10:01:56 Q But in April 2022, I understand, PPD overhedged one

09 10:02:01 HEP contract, didn't it?

10 10:02:03 A We did hedge in 2022 other contracts, among them some

11 10:02:08 HEP contracts, yes.

12 10:02:09 Q Can we please go to the third witness statement by

13 10:02:12 Ms Measic, to paragraph 36. I am not sure if you have

14 10:02:16 it before you, so I can bring you the printed copy.

15 10:02:18 A Yes, please.

16 10:02:18 Q If that would help.

17 10:02:25 Can we please open it also on the screen? That

18 10:02:27 would be the third witness statement by Ms Measic.

19 10:02:34 That would be {C1.3}.

20 10:02:42 And if we could go, please, to paragraph 36.

21 10:02:56 So here Ms Measic describes that in April 2022 PPD

22 10:03:00 overhedged one HEP contract, right?

23 10:03:05 A Yes.

24 10:03:06 Q So while you're saying in your witness statement that

25 10:03:08 there was no demand on the market to hedge, PPD Global

01 10:03:12 was able to find demand to overhedge this particular
02 10:03:15 contract, right?
03 10:03:17 A What I say in the statement is that it was difficult
04 10:03:23 to find counterparties, let's call it appetite from
05 10:03:29 our counterparties, to enter into transactions. And
06 10:03:33 we had to negotiate and explain very carefully the
07 10:03:38 reason why we were asking for certain transactions.
08 10:03:40 That overhedge happened because of a mistake.
09 10:03:44 So PPD Global received the quantity higher and
10 10:03:52 overhedged this, but -- received a communication of
11 10:03:55 a quantity higher and overhedged. And of course we
12 10:03:59 were experiencing difficult times asking to
13 10:04:04 counterparties their availability. It doesn't mean
14 10:04:07 counterparties always said no. It means that
15 10:04:10 counterparties needed more time to evaluate the
16 10:04:15 feasibility and requested some comfort from us.
17 10:04:20 Q And apparently with this particular contract, there
18 10:04:22 was no problem with appetite, right? With the one
19 10:04:25 which was overhedged?
20 10:04:27 A In that contract, we managed to hedge even more than
21 10:04:31 the full quantity of the contract, that's correct.
22 10:04:34 Q And this lot 1, after a lot of time passed, you
23 10:04:37 stopped looking for the hedging opportunities, right?
24 10:04:38 You mentioned this in your witness statement.
25 10:04:41 A We stopped. However, we had, as said, limited

01 10:04:46 availability from counterparties, which was changing
02 10:04:50 week by week according to the market scenario. And as
03 10:04:54 we had other requests from PPD at even higher prices,
04 10:05:00 we concentrated our resources on the new contracts.
05 10:05:04 Q And you did not mention this one particular overhedged
06 10:05:08 contract in your first witness statement, did you?
07 10:05:11 A I didn't, no.
08 10:05:12 **MS SOLDATENKOVA:** Thank you, Mr Colombo.
09 10:05:13 I don't have any further questions for the
10 10:05:15 witness.
11 10:05:16 **PRESIDENT:** Thank you.
12 10:05:23 I think claimant does not have any question in
13 10:05:26 redirect, do you?
14 10:05:28 **MR HAUGENEDER:** We do.
15 10:05:29 **PRESIDENT:** Oh, you do? Sorry.
16 10:05:30 Re-examination by MR HAUGENEDER
17 10:05:30 **MR HAUGENEDER:** I have only a short question for
18 10:05:37 clarification.
19 10:05:38 I think you said it, but I want to be sure that
20 10:05:41 this came across. You mentioned flexible contracts
21 10:05:48 that were shown on the screen. Just to be sure,
22 10:05:55 between which parties were those contracts and where
23 10:05:59 was the flexibility?
24 10:06:01 A So the contracts were between PPD and HEP, and the
25 10:06:08 flexibility was in terms of the demand that HEP could

01 10:06:13 request to PPD on daily basis. So probably HEP for
02 10:06:19 his own needs has -- could have zero demand one day
03 10:06:23 and 100 per cent demand the other day. And this was
04 10:06:27 entirely upon PPD and not upon PPD Global to satisfy
05 10:06:31 the need of HEP.

06 10:06:34 Q And you said such transactions cannot be hedged by
07 10:06:40 financial hedges. Could you just explain why briefly?

08 10:06:45 A Because the type of financial transactions PPD Global
09 10:06:49 does are fixed in terms of price, so we exchange
10 10:06:53 a fixed price for a floating price basically, are
11 10:06:56 fixed in terms of time, tenure, duration of the
12 10:06:59 contract and quantity. So we don't have the
13 10:07:02 possibility to arrange flexibility in terms of
14 10:07:06 quantity. This is done by PPD by other means, usually
15 10:07:11 assets, such as storages or pipelines, where they can
16 10:07:14 handle the volumes.

17 10:07:17 Q And when you say, you mentioned storage, how do you
18 10:07:24 control the risk of such transactions by using
19 10:07:28 storage?

20 10:07:30 A PPD has a certain quantity, amount of volume in gas,
21 10:07:34 of gas, in storage, and uses this quantity to provide
22 10:07:40 the flexibility his own customer request by, as said,
23 10:07:48 using the fact -- using the storage as a flexible
24 10:07:52 asset, so a flexible source of gas.

25 10:07:57 **MR HAUGENEDER:** Thank you. We have no further questions.

01 10:08:01 **PRESIDENT:** Thank you.

02 10:08:04 No further questions. Thank you very much,

03 10:08:06 Mr Colombo. You have completed your testimony to the

04 10:08:12 tribunal and you are free to stay here or to go.

05 10:08:14 Thank you very much.

06 10:08:15 A Thank you. Bye.

07 10:08:16 (Witness released)

08 10:08:17 **PRESIDENT:** Let's take a five-minute break.

09 10:08:20 Our next witness is Mr Dmitry Averkin.

10 10:08:25 **MR HAUGENEDER:** Madam President, could we maybe have

11 10:08:27 a 15-minute break just to organise ourselves better?

12 10:08:30 **PRESIDENT:** Absolutely.

13 10:08:31 Then let's take a 15-minute break. Thank you.

14 10:08:35 We will resume at 25 after the hour.

15 10:08:43 (10.08 am)

16 10:08:43 (Short break)

17 10:08:43 (10.30 am)

18 10:31:42 **PRESIDENT:** Counsel for respondent, we are back on

19 10:31:42 record. Maybe you would like to bring your

20 10:31:42 witness in.

21 10:31:42 And we understand there will be an interpreter,

22 10:31:42 and the parties have agreed on the interpreter's

23 10:31:42 qualification and name; this has been agreed in

24 10:31:44 advance.

25 10:31:44 MR PAVEL EZHOV (Interpreter)

01 10:32:04 **MR TALANOV:** So, dear members of the tribunal, that is
02 10:32:06 the interpreter, Mr Pavel Ezhov, and I think he's
03 10:32:10 ready to make the declaration as agreed.
04 10:32:14 **PRESIDENT:** Good morning to you, sir.
05 10:32:16 **INTERPRETER:** Good morning.
06 10:32:18 **PRESIDENT:** You should have a declaration form in front
07 10:32:21 of you?
08 10:32:22 **INTERPRETER:** I do have it here.
09 10:32:23 **PRESIDENT:** Can you read it to the tribunal?
10 10:32:26 **INTERPRETER:** Yes.
11 10:32:27 I, Pavel Ezhov, sincerely and truly declare and
12 10:32:30 affirm that I will faithfully, accurately and
13 10:32:34 impartially translate and/or interpret all statements,
14 10:32:37 documents and communications.
15 10:32:40 **PRESIDENT:** Thank you, sir.
16 10:32:59 MR DMITRY AVERKIN
17 10:32:59 **PRESIDENT:** Thank you, sir.
18 10:33:02 **INTERPRETER:** Good morning.
19 10:33:04 **PRESIDENT:** Good morning, Mr Averkin.
20 10:33:06 **WITNESS:** Good morning.
21 10:33:09 **PRESIDENT:** Thank you for coming to give testimony in
22 10:33:11 this case.
23 10:33:13 The members of the tribunal will hear your
24 10:33:16 testimony in the following way. First, I will ask you
25 10:33:20 to read to the tribunal an affirmation of the

01 10:33:24 truthfulness of your testimony. You should have in
02 10:33:26 front of you your witness statement.

03 10:33:29 **WITNESS:** Indeed.

04 10:33:29 **PRESIDENT:** Then I will invite counsel for respondent to
05 10:33:36 have you affirm your witness statement and ask you
06 10:33:40 questions in direct for maximum of ten minutes, and
07 10:33:43 then you will be questioned by the claimant and if
08 10:33:47 need be, redirect by the respondent, and then the
09 10:33:50 members of the tribunal might ask you questions.

10 10:33:54 **WITNESS:** Clear.

11 10:33:55 **PRESIDENT:** Thank you very much, sir.

12 10:33:56 So, please state your name and read aloud to the
13 10:34:02 record the statement in front of you.

14 10:34:05 **WITNESS:** I, Dmitry Averkin, sincerely and truly declare
15 10:34:08 and affirm that the evidence I shall give shall be the
16 10:34:11 truth, the whole truth, and nothing but the truth.

17 10:34:14 **PRESIDENT:** Thank you for testifying in english. At any
18 10:34:17 moment, if you need a translation one way or another,
19 10:34:21 from English to Russian, you have an interpreter next
20 10:34:26 to you and we will take the time it needs for you to
21 10:34:28 make sure you're comfortable either way, with the
22 10:34:32 questions or with the way you want to address the
23 10:34:35 questions.

24 10:34:36 **WITNESS:** If it would be necessary to be more precise,
25 10:34:38 I will use the interpreter.

01 10:34:40 **PRESIDENT:** Thank you, sir.

02 10:34:42 **MR TALANOV:** Just a technical question before we start,

03 10:34:44 because I think there is some issue with the

04 10:34:46 transcript, at least on our side. I don't know if at

05 10:34:48 all it works for the other participants of the

06 10:34:51 hearing. For the witness.

07 10:34:52 **MR HAUGENEDER:** I think it is an issue and I think it is

08 10:34:54 being checked.

09 10:34:55 **PRESIDENT:** Okay. Let's take a few minutes to have this

10 10:34:58 resolved.

11 10:35:01 **DR REINER:** What is the issue?

12 10:35:03 **PRESIDENT:** Mine was frozen as well.

13 10:35:03 **MR HAUGENEDER:** You're not seeing the transcript?

14 10:35:40 **PRESIDENT:** No.

15 10:35:41 **MR HAUGENEDER:** It's working now.

16 10:35:42 **PRESIDENT:** I just want to make sure, does the

17 10:35:43 interpreter see the transcript?

18 10:35:45 Would you like to move closer to the transcript?

19 10:35:49 Sit on the other side of the table?

20 10:35:51 **INTERPRETER:** No, I can see it.

21 10:35:52 **PRESIDENT:** You can see?

22 10:35:53 **INTERPRETER:** Yes.

23 10:35:53 **PRESIDENT:** Okay.

24 10:35:54 **INTERPRETER:** Thank you.

25 10:35:59 **MR TALANOV:** So all works now, no technical problems?

01 10:36:01 Good. Thank you.

02 10:36:02 Examination-in-chief by MR TALANOV

03 10:36:04 **MR TALANOV:** Mr Averkin, good morning.

04 10:36:05 A Good morning.

05 10:36:05 Q Thank you for being here. And before I ask you a few

06 10:36:09 questions, I would please ask you to confirm that the

07 10:36:12 statements that were made by you, the witness

08 10:36:15 statements that you made before this tribunal, are of

09 10:36:18 your own and are correct?

10 10:36:20 A I confirm.

11 10:36:21 Q Is there anything you would like to amend or correct

12 10:36:24 in those statements?

13 10:36:26 A Nothing for the time being.

14 10:36:27 Q Thank you.

15 10:36:29 So my first question is how would you characterize

16 10:36:33 the contract GPE signed with PPD as compared to the

17 10:36:38 contracts with the other European buyers?

18 10:36:43 A The long-term contract, signed on 11 September 2017,

19 10:36:50 was the follow-up of a number of the short-term

20 10:36:53 contracts. The parties upon the idea of Gazprom

21 10:37:00 Export decided not to lose time every year for

22 10:37:05 short-term contracts and to sign the long-term

23 10:37:09 contract, which was negotiated in the very good and

24 10:37:13 friendly atmosphere.

25 10:37:16 If the tribunal doesn't know, at that time the

01 10:37:21 relationships between PPD and Mr Vujnovac and
02 10:37:26 Mr Medvedev, Ms Burmistrova, were much broader than
03 10:37:28 just cooperation on the gas sales. At that time the
04 10:37:35 ice hockey club Medvescak was one of the projects and
05 10:37:39 was playing in the KHL and in Russia, and there was
06 10:37:44 also the common sponsoring of some tennis tournaments.
07 10:37:50 And Mr Medvedev, Ms Burmistrova, lovely players of
08 10:37:54 tennis. So basically the cooperation was much broader
09 10:37:57 and friendly, and I assume they are still good friends
10 10:38:00 with Mr Vujnovac.
11 10:38:02 As to the terms and conditions of the contract,
12 10:38:05 I would characterize them as market terms and
13 10:38:10 conditions with some preferential points for PPD
14 10:38:18 because of higher flexibility of the contracts.
15 10:38:24 I would put your attention to the daily
16 10:38:29 flexibility and the load factor of 0.91 in the
17 10:38:32 contract, which is a rather extraordinary one, having
18 10:38:36 in other comparable contracts the load factor which is
19 10:38:41 between 0.95 and 1.1.
20 10:38:47 The take-or-pay level was the one of the lowest in
21 10:38:51 our portfolio, 80 per cent, and the payment terms were
22 10:38:58 also rather more preferential for the PPD because in
23 10:39:05 many of the contracts, the date was rather between the
24 10:39:10 15th and 20th than the end of the month as it is in
25 10:39:14 the contract with PPD.

01 10:39:17 As to the price, the price was, let's say, market
02 10:39:23 industry practice. At that time, almost 100 per cent
03 10:39:27 of the customers wanted HEP indexation, and the
04 10:39:33 premium over the HEP indexation reflected the quality
05 10:39:36 of the product. As I said, it was extraordinarily
06 10:39:40 flexible.
07 10:39:42 As to the other contracts in neighboring
08 10:39:47 countries, the price was comparable and, moreover, in
09 10:39:51 some of the neighboring countries, we used indexation
10 10:39:55 VTP Austria, that was the nearest hub to the region,
11 10:39:58 and at that time, the premium for the VTP Austria was
12 10:40:04 a quite considerable one as compared to TTF.
13 10:40:09 Q Thank you. And as for the contract price, could you
14 10:40:14 please explain to the tribunal how did so-called
15 10:40:17 amendment 8 come to existence? How would you describe
16 10:40:22 the negotiations the parties had with respect to this
17 10:40:24 price revision amendment?
18 10:40:27 A I would characterise them as constructive. I know
19 10:40:31 that from the material, the tribunal knows that we
20 10:40:36 received in the middle of December the price revision
21 10:40:43 request. It would mean taking into account all the
22 10:40:47 holidays, Christmas holidays in Europe and holidays in
23 10:40:52 Russia, New Year holidays.
24 10:40:53 So we started our negotiations in January. More
25 10:40:58 or less the deal was done closer to the early spring,

01 10:41:03 April, May. And we signed the deal in July.

02 10:41:09 So we do not see anything extraordinary in this

03 10:41:12 process.

04 10:41:14 We understood the request of our counterpart to

05 10:41:21 move the price to the TTF flat level, but we could not

06 10:41:26 agree because, as I said in the beginning, the

07 10:41:29 contract was extraordinarily flexible. And the flat

08 10:41:36 TTF without any premium level reflected a comparable

09 10:41:41 product in the markets, which was delivered with

10 10:41:45 100 per cent take-or-pay, full, flat and firm.

11 10:41:49 So that's why we negotiated with our counterparts,

12 10:41:53 we decreased the premium.

13 10:41:57 And as to the second part of our negotiations, the

14 10:42:02 minimum daily quantities, I would characterise them as

15 10:42:05 more symbolic, because they reflected 15 per cent only

16 10:42:10 **of the DCQ.**

17 10:42:11 **So if you analyse the previous offtakes of PPD, it**

18 10:42:19 **would mean that, on average, they have been taking**

19 10:42:22 **much more.**

20 10:42:23 **So that's why in our practice, usually when we**

21 10:42:28 **negotiate at minimum daily quantities, it would rather**

22 10:42:30 **count to 0.5 and more, so 50 per cent and more. 15**

23 10:42:36 **per cent, 1-5, it was more symbolic.**

24 10:42:41 **That's why I do not see in these negotiations**

25 10:42:45 **anything extraordinary. So that was a normal process.**

01 10:42:48 And if the counterpart was not satisfied with this
02 10:42:54 negotiation, I think the contract has instruments to
03 10:42:58 argue, go to arbitration and to argue about the price.
04 10:43:03 Q Clear. Could you please help us understand, how did
05 10:43:07 the decree 172 impact the business of GPE?
06 10:43:15 A Probably to your surprise, I would say negatively,
07 10:43:17 because from the point of view of risk management, our
08 10:43:26 credit risks increased dramatically. The decree puts
09 10:43:32 under high risk the basically two months of revenues
10 10:43:37 for two months of deliveries.
11 10:43:40 And unfortunately, this risk realised immediately.
12 10:43:45 By the end of April we lost, due to the political
13 10:43:50 reasons, two customers, two big customers, with the
14 10:43:56 total ACQ of 14 -- 13.9 billion cubic meters per year.
15 10:44:04 It would be amount in euros of revenues of
16 10:44:09 approximately 4 to 5 billion euros per year of revenue
17 10:44:13 loss.
18 10:44:15 So that's why -- and moreover, due to this, due to
19 10:44:23 the decree 172, in principle, nothing has changed for
20 10:44:26 the customer. They transferred in the past euros to
21 10:44:34 the accounts in Russia, so they are still
22 10:44:38 transferring, I mean even existing customers still
23 10:44:41 transferring euros to the "K" accounts. So that's
24 10:44:44 why, to my opinion, nothing principle has changed also
25 10:44:48 for the customer.

01 10:44:51 Q Thank you. Thank you. And how would you describe the
02 10:44:53 relationship between Gazprom Export and PPD following
03 10:44:57 the price revision amendment? Generally, what is your
04 10:45:02 perception as to the tone of negotiations and exchange
05 10:45:08 of communications between the parties?

06 10:45:11 A PPD was for us, and I assume -- for us, for PPD,
07 10:45:16 I would count it as a friendly. In principle, we had
08 10:45:22 always friendly relationships. For example, one of
09 10:45:26 the signs, we should probably fight with each other,
10 10:45:31 but yesterday we've been drinking coffee with
11 10:45:34 Mr Pavao, so, together.

12 10:45:39 **MR TALANOV:** Thank you. No further questions from our
13 10:45:41 side. Thanks.

14 10:45:42 **PRESIDENT:** Thank you.

15 10:45:42 Cross-examination by MR HAUGENEDER

16 10:45:44 **MR HAUGENEDER:** Good morning, Mr Averkin.

17 10:45:46 A Good morning.

18 10:45:49 Q My name is Florian Haugeneder. I will be conducting
19 10:45:52 PPD's cross-examination.

20 10:45:58 Mr Averkin, you hold the position of deputy

21 10:46:04 director general for gas export at Gazprom Export,
22 10:46:09 right? Right, so that's quite a high position?

23 10:46:14 A Yes.

24 10:46:17 Q And you were overseeing contracts with Germany, Italy,
25 10:46:23 Denmark, France, Austria, Czech Republic, Slovakia,

- 01 10:46:27 Great Britain, Switzerland, Finland and a few others.
- 02 10:46:32 That's what I take from your --
- 03 10:46:32 A It is written in my testimony.
- 04 10:46:37 Q And in that function, you, of course, have knowledge
- 05 10:46:42 of all the contracts with these countries, right?
- 06 10:46:47 A Of course, some time passed, but in general, yes.
- 07 10:46:54 Q Would you agree with me that there is a certain type
- 08 10:47:00 of model contract from Gazprom where the volumes and
- 09 10:47:08 maybe the key commercial terms may differ, but
- 10 10:47:12 otherwise the contracts, the terms of the contracts
- 11 10:47:15 look the same or very similar?
- 12 10:47:21 A Yes and no, because each contract is a unique one in
- 13 10:47:28 principle, because we've been never working with
- 14 10:47:30 a kind of a template, like EFET contract, for example.
- 15 10:47:34 So that's why, of course, every contract contains
- 16 10:47:38 a number of articles, which might look from the point
- 17 10:47:42 of the name the same, but the contact might be
- 18 10:47:46 different.
- 19 10:47:48 Q But isn't it well known in the industry that there is
- 20 10:47:51 a sort of model Gazprom contract that looks quite
- 21 10:47:57 similar all throughout Europe?
- 22 10:48:04 A I cannot count it like that. Sorry.
- 23 10:48:10 Q But are there contracts that have 100 pages and others
- 24 10:48:15 that have 15, so that look totally different?
- 25 10:48:19 A I would -- okay, it's a confidential point, but
-

01 10:48:23 I would for example give you one, one example. With

02 10:48:29 one of the companies in Eastern Europe, we are still

03 10:48:34 working with the so-called basic terms, which

04 10:48:39 represent more or less a kind of a term sheet, but

05 10:48:42 it's binding and the gas is delivered.

06 10:48:46 Q But then the first draft of the model comes from

07 10:48:56 Gazprom always, right?

08 10:48:57 A As soon as -- not always, not always, but as soon as

09 10:49:02 I remember it was coming from outside, in the case of

10 10:49:07 PPD. But it was, as I said, a follow-up of a number

11 10:49:12 of the short-term contracts.

12 10:49:17 Q So your testimony is the draft model contract came

13 10:49:22 from PPD; PPD used its own model -- (overspeaking) --

14 10:49:25 A I would say the draft contract, but not draft model

15 10:49:28 contract. I cannot understand what does it mean,

16 10:49:30 "draft model".

17 10:49:31 Q There is a draft that is sent to the contract -- to

18 10:49:37 your partner with whom you negotiate.

19 10:49:41 A As soon as I remember the draft was sent, yes.

20 10:49:44 Q From Gazprom?

21 10:49:45 A From Gazprom.

22 10:49:47 Q And you used the model that you generally use, right?

23 10:49:53 A I again, I do not understand your question about the

24 10:49:56 model because what does it mean, "contract"? Contract

25 10:50:00 means a number of articles. Having material and

01 10:50:06 non-material terms and conditions. If you name model
02 10:50:15 this number of articles, yes.
03 10:50:19 Q I mean also --
04 10:50:20 A If you mean content, content in many cases is
05 10:50:24 different.
06 10:50:38 We have a 50 years of history of our relationship
07 10:50:41 with European customers. Could you imagine that
08 10:50:44 nothing has changed through the 50 years?
09 10:50:47 Q Of course, the model evolves, but there is always one
10 10:50:52 model that you currently use with your buyers; isn't
11 10:50:55 that the case?
12 10:50:56 A No, it's not the case. Moreover, the -- if you allow,
13 10:51:04 if the tribunal allows, moreover, currently,
14 10:51:08 70 per cent of the contracts are flat and firm, for
15 10:51:12 example. Flat and firm. 100 per cent take-or-pay.
16 10:51:17 **PRESIDENT:** Flat and firm.
17 10:51:20 **MR HAUGENEDER:** But that is after the events of 2022,
18 10:51:24 right?
19 10:51:28 A Some of them were also at that time.
20 10:51:32 Q But most of these were not flat and firm, right, with
21 10:51:38 European buyers of gas?
22 10:51:40 A I would count it 60/40.
23 10:51:51 Q I would like you to look at paragraph 22 of your
24 10:51:58 witness statements.
25 10:52:09 You say in the first sentence -- do you have it in

01 10:52:19 **front of you? It's paragraph 22, first sentence:**

02 10:52:24 "... we do not have any list of non-negotiable

03 10:52:28 terms, as Ms Ivancic suggests."

04 10:52:31 You see that?

05 10:52:32 A Yes.

06 10:52:34 **Q And then you say:**

07 10:52:36 "If certain 'strict' conditions are proposed by

08 10:52:39 GPE, it means that such conditions are commercially

09 10:52:43 justified and indicated from the very beginning."

10 10:52:48 Can you see that?

11 10:52:52 A Yes, it's written.

12 10:52:54 Q But basically, the second sentence contradicts the

13 10:52:58 first, because it seems that you do have strict

14 10:53:03 conditions that are not negotiable for you, right?

15 10:53:08 A No. Every agreement, every contract is the result of

16 10:53:15 negotiations. And it's -- I admit it's a difficult

17 10:53:22 process, but it's always a result of the compromises.

18 10:53:28 And if both parties put their signature under the

19 10:53:33 document, it means that those compromises have been

20 10:53:37 found.

21 10:53:43 Q But then there are conditions that are strict and on

22 10:53:47 which you do not compromise, right?

23 10:53:52 A I do not really remember such conditions, because

24 10:53:57 there is always a compromise. If you -- if you mean

25 10:54:03 the draft of the contract which was presented in the

01 10:54:10 case, I can also comment on the commercial terms and
02 10:54:15 conditions, if you like. But every compromise or not
03 10:54:20 compromise is explainable.
04 10:54:23 Q But are you saying you do not have any strict
05 10:54:26 conditions?
06 10:54:26 A No.
07 10:54:28 Q No?
08 10:54:28 A We do not have any strict conditions and moreover, we
09 10:54:31 never used with our customers the approach, take it or
10 10:54:36 leave it. So it was never the case in our
11 10:54:40 negotiations with our customers.
12 10:54:42 Otherwise, as you can imagine, we may have much
13 10:54:46 less customers than we had at that time.
14 10:54:49 **Q But then you say here:**
15 10:54:50 "If ... 'strict' conditions are proposed by
16 10:54:52 GPE ..."
17 10:54:54 Just now, you said there are no strict conditions,
18 10:54:56 so --
19 10:54:57 A But "strict" is in brackets here. So it's a verbal
20 10:55:01 meaning, "strict", in the sense of meaning of the
21 10:55:06 Croatian part.
22 10:55:08 Q Please let me finish my questions.
23 10:55:12 So I have not understood your testimony on this
24 10:55:15 point. Is your testimony you have no strict
25 10:55:20 conditions at all?

01 10:55:21 A The meaning is that if any condition was negotiated,
02 10:55:30 agreed and confirmed by both parties, in this case it
03 10:55:35 was commercially justified.

04 10:55:38 **Q But that's not what you say here. You say:**

05 10:55:42 "If certain 'strict' conditions are proposed by
06 10:55:46 GPE [that means Gazprom Export], it means that such
07 10:55:50 conditions are commercially justified and indicated
08 10:55:53 from the very beginning."

09 10:55:55 So it seems that there are certain conditions that
10 10:55:59 you deem commercially justified, and you indicate that
11 10:56:03 from the very beginning, that you're not going to
12 10:56:06 negotiate them.

13 10:56:07 A But again, you are just putting strength on the second
14 10:56:13 sentence, but we have to read the whole part, the
15 10:56:19 whole paragraph. And it's, in the end of this
16 10:56:23 paragraph, it's explained.

17 10:56:25 So if the parties are not able to negotiate any
18 10:56:30 condition, they can withdraw from negotiation, which
19 10:56:32 was not the case.

20 10:56:37 Q So just to -- still not fully clear about what your
21 10:56:43 testimony here is.

22 10:56:46 **Are you now saying:** we never have any strict
23 10:56:51 conditions like that, we just go into the
24 10:56:54 negotiations, we are happy to negotiate any terms of
25 10:56:59 our contracts?

01 10:57:01 A We are happy to negotiate any terms of our contract
02 10:57:05 commercially acceptable for us.

03 10:57:13 Q So then actually your sentence here is only
04 10:57:17 hypothetical, because there are no conditions that
05 10:57:19 from -- where you indicate from the beginning that
06 10:57:23 they are strict and not negotiable.

07 10:57:26 A I tried to explain what was the meaning of the
08 10:57:32 articles. It's difficult for me to add something
09 10:57:36 else.

10 10:57:42 **Q I would like you to look at paragraph 27. You say:**
11 10:58:04 "The take-or-pay obligation was a perfectly
12 10:58:07 commercial condition and, by that time, a 'mainstream'
13 10:58:09 solution for long-term contracts with European buyers.
14 10:58:14 I can safely say that in this regard the Contract was
15 10:58:18 not materially different from other long-term
16 10:58:19 contracts in the region and in overall portfolio of
17 10:58:26 GPE's long-term contracts."

18 10:58:30 So that implies that there is -- your contracts
19 10:58:36 look pretty similar in this respect, at least.

20 10:58:40 A The deal looks according to the market industry. Even
21 10:58:45 the spot sales in the hubs are conducted with
22 10:58:52 100 per cent take-or-pay, for example.
23 10:58:54 All the contracts contain take-or-pay terms and
24 10:58:58 conditions, not only Gazprom contracts. Norwegian
25 10:59:02 contracts, Algerian contracts, Libyan contracts, even

01 10:59:07 the contracts for LNG are containing take-or-pay terms

02 10:59:12 and conditions. This is the overall industry

03 10:59:15 practice. It's nothing special for Gazprom contracts,

04 10:59:21 Gazprom Export contracts.

05 10:59:33 Q If I understood you correctly, you said that there

06 10:59:48 wasn't a model contract, or that you had very

07 10:59:55 different terms with different buyers.

08 11:00:01 Now, I would like you to look at paragraph 25.

09 11:00:18 **And here you say in the fifth line:**

10 11:00:23 "PPD suggested certain amendments to totally

11 11:00:28 ancillary (as I can judge from practice, as most

12 11:00:32 buyers do not have any significant amendments in this

13 11:00:36 regard) provisions, which were not accepted by GPE for

14 11:00:42 purely commercial reasons."

15 11:00:45 You see that?

16 11:00:47 A Yes.

17 11:00:48 Q And I would like you to look at what you say in

18 11:00:55 brackets. You say "most buyers do not have any

19 11:00:58 significant amendments"; you see that?

20 11:01:10 A Yes.

21 11:01:12 Q When you speak of amendments, then that implies that

22 11:01:18 the draft comes from you and your contract partners

23 11:01:23 tried to negotiate amendments, right?

24 11:01:28 A Changes; "amendment" here is not with the big letter,

25 11:01:30 so it's not a contract.

01 11:01:33 Q I know that, but --

02 11:01:35 A Amendments in this sense are changes, ultimately.

03 11:01:38 Q Yes, but changes of what, is the question?

04 11:01:42 A Changes of terms and conditions. So every draft is

05 11:01:44 negotiated. So we are negotiating, putting changes to

06 11:01:48 the texts.

07 11:01:50 Again, if you refer to these proposals I can

08 11:01:55 easily explain the commercial sense of why we did not

09 11:01:59 agree with that.

10 11:02:02 Q But to make amendments there needs to be a basis,

11 11:02:05 right?

12 11:02:07 A If you try to push me to the fact that we here are

13 11:02:13 talking about the amendments to the contract, not,

14 11:02:15 because here we are talking about negotiation of the

15 11:02:18 draft. At this point of time there were no amendments

16 11:02:22 to the contract. There was just a draft. And even

17 11:02:24 the contract did not exist at that time.

18 11:02:33 Q I would like you to look at the letter 1st April 2022

19 11:02:54 that you sent to Mr Vujnovac. And you will be given

20 11:03:00 a hard copy of that letter as well.

21 11:03:05 A Yes, please.

22 11:03:23 I am very sorry. I'm getting older, so I need --

23 11:03:26 not yet wearing glasses.

24 11:03:35 Q Can you read it?

25 11:03:35 A Yeah, yeah, sure.

01 11:03:42 **MS HOFFMAN:** I'm sorry, and we have all seen it and I'm
02 11:03:44 sure we all know the exhibit number, but I think we
03 11:03:47 should still have it on the record.
04 11:03:49 **MR HAUGENEDER:** Yes. That is exhibit C3. And that is
05 11:04:02 tab {J1.3}.
06 11:04:33 Do you see it?
07 11:04:34 A Yeah.
08 11:04:35 Q Were you involved in drafting this letter?
09 11:04:38 A Of course.
10 11:04:39 Q You were involved, personally?
11 11:04:43 A As well me. Not only me.
12 11:04:47 Q Who else was involved?
13 11:04:50 A Our legal and commercial team.
14 11:04:55 **Q And you see here in the second paragraph:**
15 11:05:03 "In accordance with the Decree No 172 [dated]
16 11:05:14 31.03.2022 of the President of the Russian
17 11:05:16 Federation ..."
18 11:05:18 And so forth.
19 11:05:20 You explained decree 172. I would like to better
20 11:05:32 understand how that drafting really worked. When did
21 11:05:39 you get the text of the decree?
22 11:05:43 A I think it was published somewhere in the evening of
23 11:05:47 31 March, if I remember correctly.
24 11:05:51 Q Somewhere in the evening. So you learned of it in the
25 11:05:58 evening?

- 01 11:06:00 A Yes.
- 02 11:06:00 Q So you personally?
- 03 11:06:03 A Myself as well? Yes. I was informed by my legal
- 04 11:06:06 team. Yes.
- 05 11:06:07 Q You were informed by your legal team. So it was
- 06 11:06:09 published in the evening, is that right?
- 07 11:06:13 A Yeah.
- 08 11:06:14 Q And then your legal team, were you still at the office
- 09 11:06:20 or how did they reach you?
- 10 11:06:21 A Yeah, we were still at the office, yes.
- 11 11:06:24 Q Okay.
- 12 11:06:25 A To be clear, according to the labour contract, every
- 13 11:06:30 employee of Gazprom Export has an unlimited working
- 14 11:06:33 day.
- 15 11:06:36 Q So you had -- the decree was published in the evening,
- 16 11:06:42 and you were -- they reached you at the office, and
- 17 11:06:49 then I would assume that the legal team had to assess
- 18 11:06:53 this decree, right?
- 19 11:06:54 A Right.
- 20 11:07:00 Q That would take a few days normally, in a normal
- 21 11:07:07 cooperation, right?
- 22 11:07:09 A We are in the -- working in operative business. If we
- 23 11:07:13 would handle such important issues for a few days or
- 24 11:07:17 weeks, our business would collapse.
- 25 11:07:21 Q But still, if there's urgency, the legal department

01 11:07:26 usually takes some time to assess the impact of such
02 11:07:31 a decree, right?
03 11:07:33 A We considered it very important to inform our
04 11:07:37 customers immediately. So that's why the
05 11:07:39 legal/commercial team were taken to the office and to
06 11:07:43 work until the late evening and to work in the very
07 11:07:47 early morning next day.
08 11:07:49 Q So your legal department worked late and then early
09 11:07:56 again. And then they gave you some sort of
10 11:08:00 assessment, I suppose, right?
11 11:08:02 A They gave a draft of the letter.
12 11:08:04 Q They gave a draft of the letter already, yes? And
13 11:08:06 that was in the morning or in the evening?
14 11:08:08 A It was in the morning. Early morning.
15 11:08:13 Q But then this decree interfered with very, very large
16 11:08:25 gas contracts, right?
17 11:08:28 A Yes.
18 11:08:30 Q So I suppose also your management had to be informed,
19 11:08:36 right?
20 11:08:37 A Of course. I am a part of the management of the
21 11:08:40 company.
22 11:08:41 Q But everyone in the management?
23 11:08:44 A Only Ms Burmistrova is. The end.
24 11:08:52 Was, sorry.
25 11:08:55 Q And then was there not an assessment what that means

01 11:09:02 and then the drafting of the letter, or you drafted
02 11:09:06 immediately?
03 11:09:08 A I didn't catch the question, sorry.
04 11:09:09 Q Well, normally what happens is that the legal
05 11:09:13 department reads this, assesses the significance and
06 11:09:19 gives a certain recommendation to the management,
07 11:09:21 right?
08 11:09:22 A But I assume that was not very difficult task because
09 11:09:25 the major content of this letter is the terms and
10 11:09:28 conditions of the decree. We are just informing our
11 11:09:32 customer about, customers about the decree paragraphs,
12 11:09:38 and informing about the potential consequences.
13 11:09:42 That's all.
14 11:09:45 Q But these consequences were very, very significant,
15 11:09:49 right?
16 11:09:49 A Of course. But this is legislation. What can you do.
17 11:09:58 Q And your assessment was that this had to be sent to
18 11:10:02 your customers the next day?
19 11:10:05 A To the customers in unfriendly countries.
20 11:10:07 Q In unfriendly countries?
21 11:10:09 A So-called unfriendly countries.
22 11:10:14 Q So when was this management decision taken to inform
23 11:10:20 your customers?
24 11:10:23 A Immediately in the evening of 31 March.
25 11:10:26 Q Immediately?

- 01 11:10:27 A Yes, of course.
- 02 11:10:29 Q And you then started to draft, or the legal department
- 03 11:10:49 already after that decision started to draft the
- 04 11:10:52 letter?
- 05 11:10:57 A I didn't catch the question.
- 06 11:10:59 Q When did you start drafting these letters?
- 07 11:11:03 A Of course, after the decision of myself and
- 08 11:11:06 Ms Burmistrova to send these letters next day.
- 09 11:11:09 Q Next day?
- 10 11:11:10 A Yes.
- 11 11:11:11 Q When was the decision taken?
- 12 11:11:14 A 31 March.
- 13 11:11:15 Q In the evening, all in the evening?
- 14 11:11:17 A After we received information about the publication of
- 15 11:11:20 the decree.
- 16 11:11:22 Q So you received the publication in the evening of
- 17 11:11:28 31st. You decided that the legal department had to
- 18 11:11:34 review it, you decided that you had to inform all your
- 19 11:11:43 customers, and then the legal department started to
- 20 11:11:48 draft these letters; right?
- 21 11:11:50 A Right.
- 22 11:11:51 Q And that was all still in the evening of 31st?
- 23 11:11:55 A Evening 31st, early morning 1st.
- 24 11:11:58 Q When did you -- you said you drafted that letter?
- 25 11:12:01 A Not myself, but as I said, the letter was drafted by
-

01 11:12:06 my legal and commercial team. I was reviewing
02 11:12:09 the draft.
03 11:12:10 Q When did you review it?
04 11:12:11 A In the morning of 1 April.
05 11:12:14 Q Morning or 1 April.
06 11:12:17 And you will see there are, attached to your
07 11:12:26 letter, there are very specific instructions from
08 11:12:33 Gazprombank, do you see that?
09 11:12:34 A Yes.
10 11:12:37 Q And that is about the mechanism, right, the payment
11 11:12:44 mechanism?
12 11:12:50 A "... On Opening Type K Special Account Denominated in
13 11:12:54 Rubles and Type K Special Accounts Denominated in
14 11:12:56 Foreign Currencies on Payments Settlement for Natural
15 11:13:02 Gas Supply..."
16 11:13:02 So it's written here.
17 11:13:04 Q Yes. I assume you coordinated with Gazprombank about
18 11:13:16 these instructions, right?
19 11:13:18 A Not myself personally.
20 11:13:20 Q But someone at GPE.
21 11:13:22 A Our financials.
22 11:13:23 Q Your financials coordinated with them.
23 11:13:28 A We coordinated the necessity to receive these
24 11:13:36 instructions in due time.
25 11:13:39 Q So --

01 11:13:40 A We did not coordinate the instructions themselves
02 11:13:42 because, honestly to say, this is not our job.
03 11:13:46 Q So when did you contact Gazprombank to draw up these
04 11:13:52 instructions?
05 11:13:52 A As I said, I did not contact Gazprombank, so I cannot
06 11:13:55 comment on this.
07 11:13:58 Q But I suppose that someone must have contacted them?
08 11:14:02 A It was the job of the other deputy.
09 11:14:05 Q That was the job. Have you exchanged with -- have you
10 11:14:09 coordinated these steps with --
11 11:14:10 A I coordinated my part of the job.
12 11:14:18 Q You coordinated your part of the job. So these
13 11:14:20 instructions were not part of the job?
14 11:14:22 A No.
15 11:14:23 Q But someone coordinated, apparently?
16 11:14:27 A I assume yes. I was concentrated on my part of
17 11:14:31 the job.
18 11:14:33 Q And then your testimony is that Gazprombank, also
19 11:14:40 during the evening of 31 March, drew up these
20 11:14:49 instructions.
21 11:14:50 A I have no idea, because I'm not working in
22 11:14:54 Gazprombank.
23 11:15:00 Q But they must have, right? The decree was only --
24 11:15:04 A I cannot confirm something what I do not know.
25 11:15:10 Q But would you agree with me, if the decree was

01 11:15:15 published in the evening of 31 March, then Gazprombank

02 11:15:23 would have exactly the time you had to draw up these

03 11:15:29 instructions?

04 11:15:30 A Most probably, yes.

05 11:15:34 Q And when did you receive those instructions?

06 11:15:39 A I received them from my other deputy general director,

07 11:15:44 so I have no idea when it was received from

08 11:15:47 Gazprombank.

09 11:15:51 Q Must have been --

10 11:15:51 A In general, morning 1 April.

11 11:16:01 Q Have you reviewed them? When? In the morning?

12 11:16:04 A I have read them, yes.

13 11:16:06 Q You have read them. And your testimony is they set up

14 11:16:14 this mechanism and drew up these instructions

15 11:16:23 overnight?

16 11:16:25 A Again, I am not an employee of Gazprombank. I cannot

17 11:16:28 definitely answer to your question.

18 11:16:31 Q So there was no close coordination with Gazprombank?

19 11:16:39 A Between myself and Gazprombank, not.

20 11:16:42 Q And you also have no knowledge about what was going

21 11:16:44 on?

22 11:16:44 A I have no knowledge about that.

23 11:16:50 Q And then basically the next day, in the morning, there

24 11:16:57 was already a draft of the letter. You had the

25 11:17:01 instructions and you sent them to all your European

01 11:17:06 buyers, right?

02 11:17:08 A Right.

03 11:17:20 Q So I think you just confirmed with me that the impact

04 11:17:30 on those contracts was quite significant, right?

05 11:17:38 A No. I said that it was important to immediately

06 11:17:45 inform our customers about this change, which is due

07 11:17:50 to the change of legislation, which Gazprom Export was

08 11:17:56 obliged to fulfil. That's all.

09 11:18:00 Q But, Mr Averkin, isn't it the case that if you are

10 11:18:05 just informing your customers, you would attach the

11 11:18:10 **legislation and would say -- you would say:** we have

12 11:18:12 received yesterday, we have received this regulation

13 11:18:16 from the president. We are assessing it and we will

14 11:18:22 revert with our assessment and our impact on the

15 11:18:29 contract.

16 11:18:29 That's an information, right?

17 11:18:33 A It was important to supply them with all these terms

18 11:18:38 and conditions, and also to ask them to accept these

19 11:18:47 terms and conditions in order to be able to continue

20 11:18:53 deliveries.

21 11:18:54 Because, again, I would like to say that that was

22 11:18:59 the decree, which is the part of legislation. The

23 11:19:03 same as, for example, today, taken into force REPower

24 11:19:11 legislation in Europe, which is also obligatory to

25 11:19:17 fulfil for all European companies.

01 11:19:23 Q But would you not agree with me, when you look at
02 11:19:28 corporations in Western Europe, they have big teams of
03 11:19:37 lawyers who are assessing the impact of sanctions.
04 11:19:43 You did all that overnight.
05 11:19:48 A If you would like to hear my opinion -- maybe it would
06 11:19:51 not be pleasant for the lawyers; sorry for that. But
07 11:19:58 I think this is exactly the weakest point of big
08 11:20:02 European corporations, because the management is very
09 11:20:05 much squeezed by the, let's say, opinion of legal
10 11:20:12 teams.
11 11:20:14 We in Gazprom Export are working in the very
12 11:20:17 operative business. So we have to take decisions and
13 11:20:20 we are still taking decisions in minutes. And because
14 11:20:24 of that, our legal team is fine-tuned to follow this
15 11:20:29 activity.
16 11:20:31 We do not have consultants. We do not have a huge
17 11:20:34 team in Gazprom Export. I think it's a team of
18 11:20:37 10 people working closely with all these issues.
19 11:20:42 Q And all these decisions were taken within a few
20 11:20:44 minutes; is that your testimony?
21 11:20:48 A No. As I said, that in some cases, for example, when
22 11:20:51 selling gas, we have to take decisions in a few
23 11:20:56 minutes. As I explained to you, this decision was
24 11:20:59 taken within the evening 31 March and morning 1 April.
25 11:21:10 Q But the decision, I think you said, was already taken

01 11:21:14 in the evening, and in the morning you only reviewed
02 11:21:21 the letter, right?
03 11:21:22 A The decision to send letters to the customers, to be
04 11:21:27 correct, was taken in the evening, 31st. The final
05 11:21:34 decision about the letter itself is taken only when
06 11:21:38 the general director is putting her signature under
07 11:21:43 the document.
08 11:21:45 So in this meaning, I do not contradict myself.
09 11:21:52 The decision was taken on both days.
10 11:21:58 Q Mr Averkin, when you said previously you informed your
11 11:22:05 European buyers of gas about the decree, don't you
12 11:22:12 find it curious that you did not attach decree to your
13 11:22:16 letter?
14 11:22:17 A This is a public document. There is no problem for
15 11:22:21 any qualified European company to find it on the
16 11:22:26 corresponding site. And it's only two pages or three
17 11:22:29 pages, I don't remember. So it does not make a lot of
18 11:22:33 strength for interpreter, or Google Translate, for
19 11:22:36 example, to translate.
20 11:22:39 But that was, that is the normal practice between
21 11:22:43 the companies. Never, none of the partners are
22 11:22:48 sending to us or we are sending to the partners the
23 11:22:51 corresponding public documents. That was exactly the
24 11:22:54 case with REPower, so we downloaded ourselves, for
25 11:22:58 example, the terms and conditions of the REPower

01 11:23:01 legislation.

02 11:23:04 Q Now, it is probably easy for the legal department of

03 11:23:08 Gazprom to find Russian legislation online. But

04 11:23:15 wouldn't you agree with me that it is difficult for

05 11:23:19 Western European gas buyers, who would probably don't

06 11:23:22 speak Russian, to find that legislation online?

07 11:23:28 A I think none of our customers, neither Mr Pavao and

08 11:23:35 the team, asked us, let's say, to show with finger

09 11:23:40 where it is placed in the site of the government. No

10 11:23:47 questions have been received from our customers

11 11:23:50 because everybody knows where to find it.

12 11:24:03 Q You still didn't consider it important to underline

13 11:24:10 the significance of this decree to simply attach

14 11:24:16 a copy to your letter? You attach the Gazprombank

15 11:24:19 instructions. You didn't attach the decree.

16 11:24:22 A Gazprombank instruction is not a public one. I assume

17 11:24:27 it's logic.

18 11:24:59 Q I would like you to look at exhibit {R-334}.

19 11:25:22 These are list of instructions of President Putin,

20 11:25:31 dated 23 March 2022.

21 11:25:41 You have that?

22 11:25:44 A I see it on the screen, but it's a bit small, but,

23 11:25:46 okay.

24 11:25:48 Q Can you be given a hard copy?

25 11:25:51 A Yes, please. (Handed).

01 11:26:13 Thank you.

02 11:26:22 Q And if you go to the first paragraph of that document,

03 11:26:30 **it says:**

04 11:26:32 "The Government of the Russian Federation,

05 11:26:35 together with the Bank of Russia and the public

06 11:26:38 joint-stock company Gazprom, shall implement a set of

07 11:26:41 measures to change the currency of payment for the

08 11:26:45 supply of natural gas to the countries of the European

09 11:26:48 Union and other countries that have introduced

10 11:26:55 restrictive measures against citizens of the Russian

11 11:26:56 Federation and Russian legal entities to the Russian

12 11:27:02 ruble."

13 11:27:02 You see that?

14 11:27:05 A I see that on that document.

15 11:27:08 Q And your testimony is before 31 March 2022 you did not

16 11:27:20 know of that instruction?

17 11:27:24 A I see TV. I have ears.

18 11:27:28 **DR REINER:** I can't hear you.

19 11:27:29 A I see TV. I hear ears -- I have ears. I can listen

20 11:27:33 to what on TV is said.

21 11:27:36 **MR HAUGENEDER:** So --

22 11:27:36 A There was information about such a decision of the

23 11:27:39 President of Russian Federation.

24 11:27:44 Q And if you go to the next page, to point 2, it

25 11:27:54 **specifies here that this measure was:**

01 11:28:06 "... amending the current contracts for the supply
02 11:28:08 of natural gas in terms of changing the currency of
03 11:28:12 payment under such contracts to the Russian ruble
04 11:28:16 while maintaining the supply volumes, prices and
05 11:28:20 pricing principles established by the contracts."
06 11:28:22 You see that?
07 11:28:24 A It's what's written here, yes.
08 11:28:26 Q But basically that means that there shouldn't be any
09 11:28:29 negotiations.
10 11:28:35 A The result of this instruction of the president was
11 11:28:42 the document which is called decree. What does it
12 11:28:48 mean, "decree"? I'm not a lawyer, but as a citizen of
13 11:28:55 Russian Federation, for me, decree is a law, is
14 11:29:00 a national legislation.
15 11:29:05 Is it possible in Europe to negotiate legislation
16 11:29:09 from the companies? I did not hear about that.
17 11:29:14 Sorry.
18 11:29:16 Q My question was a totally different one.
19 11:29:19 You said you learned from this on the television,
20 11:29:28 right?
21 11:29:30 A Right.
22 11:29:31 Q You see here, when you go -- there, under the first
23 11:29:38 **paragraph, it says:**
24 11:29:42 "Report - March 31, 2022, then monthly.
25 11:29:46 "Responsible ..."

01 11:29:50 And the responsible person is also Mr Alexey
02 11:29:57 Miller, right?
03 11:30:00 A It's written here.
04 11:30:02 Q So you look like that is a surprise to you. What, did
05 11:30:07 you -- when you just answered this question, you
06 11:30:12 looked like you saw that for the first time. Is that
07 11:30:15 the case?
08 11:30:16 A No.
09 11:30:17 Q So you knew that --
10 11:30:18 A It's in the materials of the case. I reviewed the
11 11:30:21 materials of the case, so I didn't see it for the
12 11:30:23 first time.
13 11:30:24 Q So your testimony is you learned of this when you
14 11:30:31 reviewed the case materials?
15 11:30:34 A Of this document, not about the happening.
16 11:30:39 Q Of this document, yes.
17 11:30:40 A Of this document, yes.
18 11:30:41 Q And you learned from this that also Mr Miller was
19 11:30:50 responsible for implementing these measures?
20 11:30:54 A I think it's difficult to comment because I'm not the
21 11:30:58 employee of administration of the President of Russian
22 11:31:00 Federation. But as every country has the legislative
23 11:31:07 power and executive power, so I assume that the
24 11:31:12 meaning of this instruction was that the government
25 11:31:16 has to produce the legislative act, and the Central

01 11:31:19 Bank and Gazprom have to execute them. So it's very
02 11:31:22 simple.
03 11:31:24 Q But Mr Miller certainly must have learned of this,
04 11:31:28 right?
05 11:31:30 A I have no idea. Mr Miller is not reporting to me and
06 11:31:34 was not reporting to me at that time. Sorry, I cannot
07 11:31:36 comment on that.
08 11:31:37 Q So your testimony is that there was no information
09 11:31:43 from Mr Miller or PJSC Gazprom to Gazprom Export on
10 11:31:53 this instruction?
11 11:31:54 A I'm not aware about that.
12 11:31:56 Q So you were in the management of Gazprom Export.
13 11:32:04 Mr Miller has not approached you regarding this
14 11:32:09 instruction; is that your testimony?
15 11:32:11 A Mr Miller has not approached me with this instruction.
16 11:32:15 This is my testimony.
17 11:32:17 Q And he also hasn't approached anyone from the
18 11:32:20 management of Gazprom Export, because that would have
19 11:32:25 been known to you, because you were part of the
20 11:32:27 management; is that also your testimony?
21 11:32:30 A Again, I have no information whether Mrs Burmistrova,
22 11:32:36 which was my boss at that time, was approached or not
23 11:32:41 approached by Mr Miller for this issue. I have no
24 11:32:46 information about that.
25 11:32:48 Q Is it not a fair assumption -- you just mentioned

01 11:32:50 before you were working in small and agile teams --

02 11:32:54 that if Burmistrova had been informed by Mr Miller,

03 11:33:01 she would have informed you, right?

04 11:33:03 A It's a normal practice in the companies that the

05 11:33:06 bosses are not giving you all information.

06 11:33:12 Q Yes, but you are part of the bosses, right?

07 11:33:14 A If the bosses would exchange with you all the

08 11:33:16 information, what for they would be needed? So,

09 11:33:18 everybody is making its own piece of cake.

10 11:33:27 Q But you would have been second in line, right? You

11 11:33:30 just said before, your boss was Ms Burmistrova and

12 11:33:33 then there was nobody in between?

13 11:33:36 A Again, before the decree appeared, there was no

14 11:33:40 particular discussion in the company about this issue.

15 11:33:43 Q So when you saw that on the television, as you just

16 11:33:52 testified, your reaction, the reaction of the Gazprom

17 11:33:58 **Export management was:** that's intermediate, that

18 11:34:05 doesn't concern, we are continuing business as usual.

19 11:34:12 Is that your testimony?

20 11:34:15 A We continued business as usual. Of course, we are not

21 11:34:18 stupid, so we are analysing. But before, we have

22 11:34:23 a document which is a part of legislation, what can we

23 11:34:27 command? Nothing.

24 11:34:40 Q And Gazprom Export has not taken any preparatory steps

25 11:34:48 in view of the instruction that was given, that was

01 11:34:58 published on the media. Is that your testimony?

02 11:35:01 A What can we prepare on something what is published in

03 11:35:04 the media? So what would be your suggestion to

04 11:35:08 prepare? I have no idea.

05 11:35:10 Q But wouldn't the information --

06 11:35:12 **PRESIDENT:** Please, answer the question, sir --

07 11:35:14 A I'm sorry.

08 11:35:14 **PRESIDENT:** -- as it was phrased. Don't answer back.

09 11:35:16 Answer the question, because it's interesting for the

10 11:35:19 tribunal to have your answer on this.

11 11:35:22 A Okay.

12 11:35:22 **PRESIDENT:** Please do answer the question as it was put.

13 11:35:25 Ask the question again, please.

14 11:35:29 **MR HAUGENEDER:** Mr Averkin, is your testimony that

15 11:35:32 Gazprom Export has not taken any preparatory steps in

16 11:35:35 view of the instruction that was given and that was

17 11:35:39 published on the media?

18 11:35:40 A Given the lack of information of the potential outcome

19 11:35:44 of this instruction, Gazprom Export has not taken any

20 11:35:49 preparatory steps about this.

21 11:35:54 Sorry for not pronouncing it.

22 11:36:01 Q Mr Averkin, that strikes me as very odd. This

23 11:36:07 instruction is about changing the currencies of the

24 11:36:15 contracts with all the companies from the so-called

25 11:36:20 unfriendly countries, right?

01 11:36:22 A Right.

02 11:36:25 Q So you, as an experienced manager of these contracts,

03 11:36:34 was that not something that alerted you, because that

04 11:36:40 would interfere with all the contracts with European

05 11:36:44 buyers?

06 11:36:44 A It's obvious.

07 11:36:47 Q But there was no sense of emergency, of immediate

08 11:36:55 attempts to get information on this. Is that your

09 11:37:00 testimony?

10 11:37:01 A First of all, we had no instruments to get

11 11:37:04 information. We are not communicating with the

12 11:37:07 Government of Russian Federation.

13 11:37:10 Secondly, we did not know at that time what might

14 11:37:13 be the mechanism. So that's why we can, let's say,

15 11:37:23 speculate a lot on these issues, but there was no

16 11:37:26 particular information, no details, nothing.

17 11:37:30 Q But would it not have been appropriate at least to

18 11:37:36 contact Mr Miller?

19 11:37:39 A In our organisation, my level is not contacting

20 11:37:42 Mr Miller, sorry.

21 11:37:45 Q You're not --

22 11:37:47 A Gazprom is our mother company of Gazprom Export, so

23 11:37:52 it's a bit far away from me.

24 11:37:56 Q But would this -- I mean, I understand your testimony

25 11:38:01 is that this does not occur on a daily basis. But

01 11:38:06 would the gravity of this instruction not have
02 11:38:11 justified contacting Mr Miller or anyone who could
03 11:38:15 give you information about the significance of this
04 11:38:20 instruction?
05 11:38:21 A I think you should ask this question to
06 11:38:24 Mrs Burmistrova, so I cannot comment on that. Sorry.
07 11:38:28 Q And you have not spoken with Burmistrova about this
08 11:38:34 issue?
09 11:38:37 A We have broadly discussed this information, but take
10 11:38:42 into account, again, that we did not have any details,
11 11:38:45 any mechanism, any clarification. So we did not come
12 11:38:51 to any conclusion.
13 11:39:00 Q So also Ms Burmistrova was apparently not very
14 11:39:05 alerted, right?
15 11:39:07 A I cannot make testimony for Ms Burmistrova.
16 11:39:14 Q I'm asking you about what you perceived of
17 11:39:19 Ms Burmistrova. Did you have the impression she was
18 11:39:23 alerted?
19 11:39:27 A I think, I'm not sure whether the word "alerted" is
20 11:39:36 the right one here. So I would say everybody have
21 11:39:48 seen this information and we discussed with
22 11:39:50 Ms Burmistrova. But whether she was worried or not
23 11:39:54 worried, so I cannot comment on some...
24 11:39:58 Q Well, did she express anything like that to you?
25 11:40:01 A What particular?

01 11:40:02 Q That she's worried?

02 11:40:04 A I cannot remember this.

03 11:40:05 **DR REINER:** You cannot?

04 11:40:06 A I cannot remember this.

05 11:40:09 **MR HAUGENEDER:** Is it not fair to assume if she had been

06 11:40:14 worried, panicked, you would remember that?

07 11:40:20 A Definitely she was not panicked. We are in the

08 11:40:23 sustainable business. Why should we panic?

09 11:40:30 Q Concerned, alerted? Nothing of that kind?

10 11:40:33 A Concerned? Yes. Everybody was concerned. But not

11 11:40:36 panicked. Definitely.

12 11:40:50 Q You have, I suppose, no knowledge of the steps that

13 11:40:56 Mr Miller took to implement the instructions of

14 11:41:05 President Putin?

15 11:41:07 A Correct.

16 11:41:11 Q But isn't it odd that -- the substance of these

17 11:41:27 instructions that were given to Mr Miller concerned

18 11:41:31 the business of Gazprom Export, right?

19 11:41:41 A I did not catch the question, sorry.

20 11:41:43 Q Well, Mr Miller received this instruction, apparently.

21 11:41:52 A Well, I have no knowledge about that, as I said

22 11:41:55 earlier.

23 11:41:56 Q Would you not assume that if President Putin gives

24 11:42:05 some instruction which is directed to Mr Miller,

25 11:42:14 Mr Miller will very quickly be informed of that

01 11:42:20 instruction?

02 11:42:21 A I have no knowledge about the relationship between

03 11:42:24 Mr Miller and Mr Putin.

04 11:42:35 Q I'm asking you about the general procedures and

05 11:42:44 mechanisms.

06 11:42:45 Is it not the case that when Mr Putin gives an

07 11:42:51 instruction, this would be considered important?

08 11:42:54 A I have no idea how it's working upstairs. I was never

09 11:42:59 invited to such meetings.

10 11:43:03 Q But, Mr Averkin, you are sufficiently high up in the

11 11:43:07 management. Do you not have any own perceptions about

12 11:43:15 how the relations of PJSC Gazprom and Gazprom Export

13 11:43:24 with Mr Putin are?

14 11:43:27 A We are a commercial company. We are not a part of

15 11:43:30 government. So I have no perceptions of what are the

16 11:43:35 relationships between the President of Russian

17 11:43:37 Federation and the head of Gazprom.

18 11:43:45 Q So according to your own testimony, could it be that

19 11:43:53 Mr Miller had received those instructions and that he

20 11:43:59 did not inform Ms Burmistrova, or you or anyone in the

21 11:44:06 management of Gazprom Export, that he kept it for

22 11:44:09 himself?

23 11:44:13 A It's not my job to guess something. I do not have

24 11:44:16 such information.

25 11:44:17 Q You do not have such information. But isn't that --

01 11:44:20 **you just said:** we are -- you had a very efficient
02 11:44:31 management, you were reacting quickly on developments.
03 11:44:38 Isn't that a contradiction to what you just say?
04 11:44:43 Because I would assume if you are acting very quickly,
05 11:44:49 you would very quickly try to find out about the
06 11:44:51 significance of these instructions and what was going
07 11:44:54 on?
08 11:44:55 A I assume the case is not about the instruction. What
09 11:44:58 is the instruction? The instruction is to develop the
10 11:45:01 document, which is the part of legislation. That's my
11 11:45:05 understanding of this instruction.
12 11:45:08 As soon as this document was published, we reacted
13 11:45:15 extremely quickly.
14 11:45:17 Q But then that's not what the document says, because
15 11:45:21 the document is also addressed to Mr Miller, right?
16 11:45:24 It says "implement a set of measures".
17 11:45:29 A Yes. As soon as the set of measures will appear, and
18 11:45:32 it appeared in the evening of 31 March 2022.
19 11:45:47 So as soon as the document appeared, we
20 11:45:51 immediately started to implement these measures, which
21 11:45:57 have been reflected in the decree.
22 11:46:04 **MR HAUGENEDER:** If it is convenient, we would suggest now
23 11:46:06 to have a break and then to continue after the break.
24 11:46:09 We could go on as well.
25 11:46:12 **PRESIDENT:** This would be our second morning break. This

01 11:46:14 is fine. How long would you -- you want the regular
02 11:46:19 break, 20 minutes or 15 minutes?
03 11:46:20 **MR HAUGENEDER:** No, we can have it 5, 10 minutes.
04 11:46:23 **PRESIDENT:** Let's do 10 minutes.
05 11:46:25 Sir, you are giving testimony. So maybe it's not
06 11:46:27 the first time, I'm not sure, but if it's the first
07 11:46:29 time I want to give you the guidelines.
08 11:46:31 During the break, since you're still on the stand,
09 11:46:33 you are not to speak to anyone. You may freely go in
10 11:46:37 and out, but do not speak to any members of the legal
11 11:46:42 team, any witness who is in the room.
12 11:46:45 **WITNESS:** Clear.
13 11:46:46 **PRESIDENT:** And no phone calls either.
14 11:46:48 **WITNESS:** Clear.
15 11:46:48 **PRESIDENT:** Thank you very much, sir.
16 11:46:49 We will resume in 10 minutes, which is at 11.56.
17 11:46:55 (11.46 am)
18 11:46:55 (Short break)
19 11:46:55 (11.58 am)
20 11:58:27 **PRESIDENT:** Mr Haugeneder, whenever you're ready.
21 11:58:31 **MR HAUGENEDER:** Thank you.
22 11:58:34 Mr Averkin, I will continue the examination.
23 11:58:39 I would like you to look at paragraph 54 of your
24 11:58:44 **witness statement, the last sentence. It reads:**
25 11:59:00 "PPD had time to make inquiries, assess its risk

01 11:59:04 and decide whether to accept our offer."

02 11:59:09 You see that?

03 11:59:11 A Yes.

04 11:59:12 Q But, in fact, that refers to the 1 April letter,

05 11:59:19 right?

06 11:59:21 A Yes.

07 11:59:23 Q But in fact, your 1 April letter wasn't an offer,

08 11:59:26 right?

09 11:59:30 A It was.

10 11:59:31 Q It was an offer?

11 11:59:33 A It was an offer to change the contract.

12 11:59:36 **Q But actually, you say in that letter:** if you don't

13 11:59:45 accept the new payment mechanism, we will cut the gas

14 11:59:51 off.

15 11:59:53 Isn't that what the letter says?

16 11:59:56 A The letter says that we have -- and I think the major

17 12:00:00 part of this meaning of this letter is in paragraph 3

18 12:00:05 **of the letter, where it said that:**

19 12:00:08 "Your company is incorporated in Croatia, and,

20 12:00:11 therefore, the Decree applies to gas deliveries under

21 12:00:13 the Contract. The Decree is legally binding for

22 12:00:17 Gazprom export ... as Russian legal entity."

23 12:00:20 I think this is the key point. The rest is the

24 12:00:23 consequence.

25 12:00:25 **DR REINER:** The rest is?

01 12:00:26 A The consequence.

02 12:00:29 **MR HAUGENEDER:** But if I read the next paragraph, it

03 12:00:34 **says:**

04 12:00:34 "Given the above, we hereby notify you about the

05 12:00:38 requirement to effect payments ..."

06 12:00:40 And then so on.

07 12:00:42 So you speak here about the "requirement". That

08 12:00:46 doesn't sound like an offer, right?

09 12:00:51 A It is, still, the letter is an offer to change the

10 12:00:54 contract.

11 12:00:56 Q But when you speak about a requirement, that leaves

12 12:01:03 the other side no possibility to negotiate anything;

13 12:01:11 they can comply with your request or you will cut off

14 12:01:15 the gas. That was the consequence of the letter,

15 12:01:17 right?

16 12:01:19 A Again, the "cut off the gas" is a consequence of

17 12:01:26 non-fulfilment by the customer of the new mechanism of

18 12:01:30 payment set by the decree.

19 12:01:35 Q But then when you say, "we have a contract and if you

20 12:01:43 wish me to perform the contract, you need to accept

21 12:01:50 this offer or otherwise I will not perform the

22 12:01:54 contract", that isn't a real offer, right?

23 12:01:57 A I will not be in a position, according to legislation,

24 12:02:02 to rightly say at the end of your words, not to be in

25 12:02:09 a position to fulfil the contract, due to the

01 12:02:13 non-fulfilment of the Russian legislation. That would
02 12:02:16 be the right way.
03 12:02:17 Q But then there is no offer, right? You're just
04 12:02:21 **saying:** you have to do it or otherwise, according to
05 12:02:23 Russian legislation, I cannot fulfil.
06 12:02:26 A As I said in my direct testimony, that we had two
07 12:02:33 cases where the buyers decided not to take this offer
08 12:02:40 and decided to basically cancel the contracts, by not
09 12:02:49 paying according to the new mechanism.
10 12:02:52 I think PPD had the same choice as well, but they
11 12:02:57 signed the letter immediately, on 4 April, if I'm not
12 12:03:01 mistaken.
13 12:03:03 Q But in your assessment as a commercial person, is that
14 12:03:08 a real offer? When you say, "unless you accept my
15 12:03:15 terms exactly, I will not continue performing the
16 12:03:20 contract", is that a genuine offer?
17 12:03:23 A I do not have linguistic education, but if you have
18 12:03:29 choice between one or another outcome, it's still
19 12:03:33 offer.
20 12:03:34 Q You testified before a lot about negotiations and
21 12:03:38 about the possibility to bargain with the contract
22 12:03:44 partner. Is it your testimony that this was such
23 12:03:48 a situation where you could negotiate?
24 12:03:54 A There has been nothing to negotiate because it's
25 12:03:58 legislation. The legislation has to be fulfilled.

01 12:04:00 But the company still has a choice, as, for example,
02 12:04:05 the Polish or Bulgarian customers did.
03 12:04:08 And the company did not ask any questions, did not
04 12:04:11 make any phone calls. On 4 April, we received
05 12:04:14 a signed document.
06 12:04:16 Take into account this fact, it was clear that the
07 12:04:20 company accepted this offer and we had the change of
08 12:04:24 the contract by means of two signatures of the two
09 12:04:27 parties. And, more or less, the company fulfilled
10 12:04:33 these payments after that.
11 12:04:37 Q As a person who has negotiated many contracts, would
12 12:04:43 you say that the other side had lots of options if
13 12:04:51 they were urgently dependent on the gas?
14 12:04:55 A At least I can give you examples from the other
15 12:04:59 companies. We received phone calls, we have been
16 12:05:03 asked for -- questions for some clarifications. And
17 12:05:07 at the end, the other companies decided not to sign
18 12:05:12 this document, but still fulfilled the terms and
19 12:05:15 conditions of the decree.
20 12:05:17 I mean, every company is different. In our case,
21 12:05:22 as I said, PPD was very quick in signing this letter,
22 12:05:29 but notwithstanding the fact that they had a chance to
23 12:05:33 think about, at least until the first potential
24 12:05:37 payment, which should be at the end of May. So almost
25 12:05:42 two months to think about, to analyse with legal, big

01 12:05:49 legal teams of big European companies.

02 12:05:52 Q But wasn't it the case that you could think about it

03 12:05:56 as long as you wanted, it wouldn't change the choice

04 12:06:01 you had? You could either comply with what you

05 12:06:07 requested or not receive gas, right?

06 12:06:11 A According to the decree, if the payment is not

07 12:06:15 performed through the mechanism which is set with the

08 12:06:20 decree, we are obliged not to supply gas. And this

09 12:06:27 prohibition is done by the Russian customs.

10 12:06:31 **Q And you say in paragraph 54 in the first sentence:**

11 12:06:39 "I was equally stumbled to find out from

12 12:06:42 Vujnovac-2 that Mr Vujnovac saw 'no point writing back

13 12:06:46 to try to negotiate some middle ground' ..."

14 12:06:49 You see that?

15 12:06:51 A Mm-hmm.

16 12:06:51 Q But basically Mr Vujnovac's assessment was the same as

17 12:06:55 **you:** there's no point negotiating because it wouldn't

18 12:06:58 change anything. Right?

19 12:07:01 A That was the assessment of Mr Vujnovac. So, as

20 12:07:05 I said, the other big customers in Europe, they had

21 12:07:08 a different opinion. So not every customer is the

22 12:07:13 same.

23 12:07:14 Q But, in fact, whatever had they tried to negotiate,

24 12:07:16 that wouldn't have changed anything. That was your

25 12:07:19 testimony just now.

01 12:07:22 A It is law. We have to fulfil the law. What shall we
02 12:07:29 negotiate here?
03 12:07:29 Q Yeah, but that's exactly the point. There was no
04 12:07:33 possibility to negotiate, right?
05 12:07:34 A But if Mr Vujnovac would like to negotiate something,
06 12:07:39 he can call myself, Ms Burmistrova, Mr Medvedev; try
07 12:07:46 to ask questions, try to make statements. At least he
08 12:07:52 can write a letter or an email. Nothing has been
09 12:07:56 done. We just received the signed letter and that's
10 12:08:01 all.
11 12:08:02 And after that, the team of PPD started the
12 12:08:06 procedure of opening the "K" accounts, communicating
13 12:08:09 with Gazprombank and et cetera, et cetera.
14 12:08:13 Q Mr Averkin, I'm asking you again, and I'm asking you
15 12:08:15 **to answer by "yes" or "no":** had Mr Vujnovac called you
16 12:08:24 and tried to negotiate it --
17 12:08:27 A No.
18 12:08:28 Q -- that would not have changed anything about the
19 12:08:32 outcome of this process, right? "Yes" or "no"?
20 12:08:42 A It could change for Mr Vujnovac, decision to continue
21 12:08:49 taking gas from us or not to continue taking gas from
22 12:08:52 us, as it was the case with some other customers, in
23 12:08:55 Bulgaria and Poland, for example.
24 12:09:00 Q I think you still haven't answered my question.
25 12:09:04 That would not have changed the outcome. Had

01 12:09:08 Mr Vujnovac tried to negotiate, you still would not
02 12:09:15 have changed anything on the terms that you requested
03 12:09:23 them to fulfil; "yes" or "no"?
04 12:09:26 A It would not have changed the necessity to comply with
05 12:09:31 Russian legislation.
06 12:09:36 Q But if your answer to any requests from Mr Vujnovac to
07 12:09:41 negotiate is "there's nothing we can change, this is
08 12:09:47 the legislation", there isn't any point to try to
09 12:09:51 negotiate, right?
10 12:09:57 A But Mr Vujnovac did not want to negotiate at all, even
11 12:10:02 not asking questions.
12 12:10:04 Q Mr Averkin, I'm asking you again, and I think that's
13 12:10:06 a very simple question, and you can answer it with
14 12:10:10 "yes" or "no". You're not doing that throughout your
15 12:10:13 **testimony, but I ask you now again:**
16 12:10:17 Isn't it true, had Mr Vujnovac tried to negotiate,
17 12:10:25 that wouldn't have changed the outcome, namely, that
18 12:10:31 unless he accepted the 1 April letter, you would have
19 12:10:39 turned off the gas?
20 12:10:45 **A I would answer "yes", with the small correction:**
21 12:10:50 unless he did not comply with the terms and conditions
22 12:10:55 of the decree.
23 12:10:58 Q I still don't understand that.
24 12:11:00 A I would explain, because he had a choice, to sign the
25 12:11:04 letter or not to sign the letter, but still to comply

01 12:11:07 with the decree. So, that was his choice, to go to
02 12:11:12 right or to go to left.
03 12:11:15 But I agree with you that there was no choice
04 12:11:19 rather than to comply with the terms and conditions of
05 12:11:22 the decree.
06 12:11:25 If you ask me, wasn't any choice to sign the
07 12:11:29 letter, there was a choice not to sign the letter.
08 12:11:31 But there was no choice to comply with the decree.
09 12:11:37 This is the right statement.
10 12:11:41 Q But then that means there wasn't any point to
11 12:11:46 negotiate, right? Because that is something that
12 12:11:50 Mr Vujnovac himself understood from the letter, right?
13 12:11:54 A There was no point to negotiate, but there was
14 12:11:57 a choice to sign or not to sign the letter. There was
15 12:12:01 no choice to comply with the decree.
16 12:12:05 Q Then --
17 12:12:06 A Not to comply with the decree. Sorry for my English.
18 12:12:09 Q Then actually, your surprise of Mr Vujnovac's failure
19 12:12:20 to negotiate, as you say, is actually quite
20 12:12:27 understandable, because Mr Vujnovac had a choice
21 12:12:31 between not receiving gas and signing the letter.
22 12:12:38 A Honestly to say, I was not surprised that Mr Vujnovac
23 12:12:43 signed the letter. Because, as I said, PPD was the
24 12:12:48 most friendly company in our portfolio.
25 12:12:53 So for us, it was not a surprise, and for us, it

01 12:12:56 was not a surprise that no questions appeared. So we

02 12:13:00 understood that the partner understood these concerns,

03 12:13:04 understood the mechanism, and was ready to comply with

04 12:13:10 that. So that was my impression at that time.

05 12:13:13 Q You say at the end of paragraph 4 of your witness

06 12:13:18 **statement:**

07 12:13:18 "PPD had time to make enquiries, assess its

08 12:13:21 risk ..."

09 12:13:22 A Paragraph 4 or 54?

10 12:13:27 Q 54.

11 12:13:27 A Yes.

12 12:13:32 Q But actually, when the outcome of this assessment of

13 12:13:40 risk is "I cannot survive without the gas", then that

14 12:13:46 doesn't leave you much choice, right?

15 12:13:56 A But --

16 12:13:57 Q It's a "yes" or "no" question.

17 12:14:07 A No.

18 12:14:11 Q So it doesn't leave you much choice, right?

19 12:14:16 A It leaves you choice at least to think about, for

20 12:14:19 two months, as Uniper, ENGIE, Eni, MVM and others did.

21 12:14:36 They did not sign immediately, next day. They made an

22 12:14:42 assessment, consulted their legal teams and came with

23 12:14:47 some position back.

24 12:14:52 Q Mr Averkin, would you not agree with me that this

25 12:14:58 interference with the contract came from the side of

01 12:15:04 Gazprom Export?

02 12:15:07 A Which interference?

03 12:15:08 Q The request to pay under the type "K" mechanism?

04 12:15:17 A Take into account that the contract is signed between

05 12:15:23 Gazprom Export and PPD. Formally it came from Gazprom

06 12:15:27 Export, but it was based on the -- as I said in

07 12:15:31 paragraph 3 of our letter from 1 April, it came from

08 12:15:36 the necessity that the decree is legally binding for

09 12:15:41 Gazprom Export as Russian legal entity.

10 12:15:46 Q But you made that request to change the contract.

11 12:15:53 Should not you have taken time, make enquiries, assess

12 12:16:00 the risk, look for opportunities how you could

13 12:16:08 continue performing the agreed contract? Should that

14 12:16:11 not have been done by you rather than by PPD?

15 12:16:18 A I did not understand your question, sorry.

16 12:16:21 Q You made the request with the 1 April letter to accept

17 12:16:26 the amended terms, and you say in your witness

18 12:16:30 statement there was the possibility to make enquiries,

19 12:16:34 assess the risk, ask questions.

20 12:16:42 Are these not things that you should have done on

21 12:16:46 your side to allow the continuation of the contract as

22 12:16:55 it was agreed between the parties, to the extent

23 12:16:59 possible?

24 12:17:01 A We provided the everyday 24/7 communication to our

25 12:17:09 customers, providing support for them to open the "K"

01 12:17:14 accounts, making some clarification, et cetera.

02 12:17:18 So with all the customers, we were in continuous

03 12:17:22 communication.

04 12:17:24 Q Should you not have --

05 12:17:25 A For implementation of this requirements.

06 12:17:29 Q But should you not rather have looked for ways to

07 12:17:34 continue the performance of these contracts without

08 12:17:40 making -- without putting a gun to their head, so

09 12:17:45 to say?

10 12:17:49 A Again, unfortunately, commercial companies in Russia,

11 12:17:56 neither anywhere in the world, I assume, do not have

12 12:17:59 any instruments how to challenge legislation.

13 12:18:05 I do not want to comment this military gun story.

14 12:18:11 Q You have commented on the short duration of

15 12:18:23 Mr Vujnovac's time until he signed the 1 April letter.

16 12:18:31 But would it not rather have been your obligation

17 12:18:36 under the contract to seek for a way to maintain the

18 12:18:42 agreed bargain?

19 12:18:45 A Again, we do not have any instruments to use any other

20 12:18:53 mechanism for payment, and we do not have instruments

21 12:18:56 how to challenge legislation.

22 12:19:00 I mean, I assume this is crystal clear.

23 12:19:09 Q But feasibly, between the evening of 31 March 2022 and

24 12:19:19 the morning of 1 April 2022, you could not make any

25 12:19:26 elaborate assessments what you could do to maintain

01 12:19:32 the initial contractual relationship, right?

02 12:19:36 A As a commercial company, we could do nothing, rather

03 12:19:42 than to comply with legislation of Russian Federation.

04 12:19:48 Q And that, again, also that assessment was made within

05 12:19:52 a few hours. Is that right?

06 12:19:55 A I am not a lawyer, but I assume that you don't have to

07 12:19:59 make any assessment to be sure that you have to comply

08 12:20:04 with the legislation of your country. This is the

09 12:20:07 obligation of every citizen, and every company.

10 12:20:16 Q You also have not tried to petition an exemption to

11 12:20:22 that decree, to find alternative ways of supply your

12 12:20:29 customers from within Europe. You did nothing of

13 12:20:31 that, right?

14 12:20:33 A We did not have any instrument to do that. And decree

15 12:20:38 does not provide any instrument for the commercial

16 12:20:40 company to do that.

17 12:20:43 But moreover, the majority of the customers,

18 12:20:47 including PPD, accepted the mechanism and successfully

19 12:20:52 provided payments, and still providing, by the way.

20 12:20:55 A number of customers in Europe are still providing

21 12:21:01 payments according to decree 172.

22 12:21:05 Q And those who did not were cut off, right?

23 12:21:07 A Of course not, because they are paying. They did not

24 12:21:10 cut off.

25 12:21:12 Q No. Those who did not accept these terms, they were

01 12:21:15 cut off?

02 12:21:17 A Because this is the legislation.

03 12:21:19 Q Could you please answer with "yes" or "no"?

04 12:21:22 A They have been cut off because of the legislation.

05 12:21:28 Q Could you --

06 12:21:32 **MR RASCHEVSKY:** Time ran out. Excuse me. Sorry.

07 12:21:35 Excuse me.

08 12:21:37 **MR HAUGENEDER:** We have --

09 12:21:37 **PRESIDENT:** Yes. We're on the claimant's time. You're

10 12:21:42 beyond the budget, but you may continue. It's just

11 12:21:45 that it runs against your time, your overall time.

12 12:21:48 **MR HAUGENEDER:** Yes, we are using it against our overall

13 12:21:51 time.

14 12:21:51 **PRESIDENT:** Yes.

15 12:21:52 **MR HAUGENEDER:** So we continue.

16 12:21:54 **PRESIDENT:** Absolutely.

17 12:22:04 **MR HAUGENEDER:** We have a certificate of the Chamber of

18 12:22:08 Commerce and Industry of the Russian Federation on

19 12:22:12 record -- that is {RL-354} -- where the Chamber of

20 12:22:29 Commerce certifies that there was a force majeure

21 12:22:37 event.

22 12:22:38 Are you aware of that, of this document {RL-354}?

23 12:22:45 A If Madam President allows me the question, to which

24 12:22:54 paragraph of my testimony are you referring?

25 12:22:59 Q I think this is within the scope of your testimony

01 12:23:04 because you testify about the --

02 12:23:07 **PRESIDENT:** Okay, sir, let's get the reminder rules.

03 12:23:12 Counsel is asking you questions, and unless your

04 12:23:16 counsel object to the question, I would like you to

05 12:23:20 answer the question and not answer back. This is the

06 12:23:24 moment where counsel --

07 12:23:25 A I asked for permission.

08 12:23:26 **PRESIDENT:** Yes, but I don't -- but you asked the

09 12:23:29 question before I gave you permission.

10 12:23:31 A Sorry for that.

11 12:23:31 **PRESIDENT:** So I don't give you permission, sir.

12 12:23:32 A Sorry for that.

13 12:23:33 **PRESIDENT:** So please, of course, you give the tribunal

14 12:23:38 a testimony through your witness statement. But some

15 12:23:43 of the questions that may be raised in the course of

16 12:23:47 the cross-examination may be raised by counsel, unless

17 12:23:53 your counsel objects, and I did not see any movement

18 12:23:56 or any --

19 12:23:57 **MR TALANOV:** We do object, because this issue is not

20 12:23:59 covered in the witness statement. That has not been

21 12:24:02 touched upon by the witness.

22 12:24:04 **PRESIDENT:** And I would ask you to answer --

23 12:24:05 **MR TALANOV:** We were just checking that and we verified,

24 12:24:07 not to mislead you.

25 12:24:09 **PRESIDENT:** Sir, I would ask you to answer the question.

01 12:24:12 So put the question again, and to the best of your
02 12:24:16 knowledge, answer the question. And if you are not
03 12:24:19 aware, if you cannot give testimony with respect to
04 12:24:22 the question, then you don't.
05 12:24:23 A I cannot give testimony with respect to the --
06 12:24:25 **PRESIDENT:** Well, just wait for the question.
07 12:24:27 A Okay.
08 12:24:28 **PRESIDENT:** Because you're handed a document, and now
09 12:24:30 here comes the question.
10 12:24:33 **MR HAUGENEDER:** Is your testimony you were not aware of
11 12:24:38 this, you were not aware of this certificate?
12 12:24:47 A I cannot remember this document, honestly to say.
13 12:24:49 It's a very legal one.
14 12:24:54 Q Have you any knowledge whether Gazprom applied to the
15 12:25:03 Chamber of Commerce and Industry of the Russian
16 12:25:05 Federation to obtain such a certificate?
17 12:25:09 **DR REINER:** What do you mean when you say "Gazprom"; do
18 12:25:10 you mean Gazprom mother company or Gazprom Export?
19 12:25:12 **MR HAUGENEDER:** No, I mean Gazprom Export, I mean your
20 12:25:15 company.
21 12:25:16 A I was not involved in this process directly, so
22 12:25:19 basically I cannot comment any details on that.
23 12:25:22 Sorry.
24 12:25:23 Q But if your prior -- in view of your prior testimony
25 12:25:33 that the decree 172 was binding on Gazprom Export and

01 12:25:44 that there was nothing you could do, should you not
02 12:25:47 have applied for such a certificate?
03 12:25:52 A According to the contract and the letter of 1 April,
04 12:25:56 we consider as part of the contract which was signed
05 12:25:59 by both parties.
06 12:26:01 If you mean the cut-off, or the cut-off supplies,
07 12:26:06 it was done according to the contract strictly and
08 12:26:10 according to the decree 172. The rest is technical
09 12:26:15 work of the legal team. So I cannot really comment on
10 12:26:19 this.
11 12:26:22 Q But if you wanted to apply the contract, should you
12 12:26:33 not have applied, should you not have asked the
13 12:26:37 Chamber of Commerce and Industry to provide such
14 12:26:42 a certificate?
15 12:26:43 **MR TALANOV:** We have to object here, sorry. This is not
16 12:26:46 the part of the testimony of the witness.
17 12:26:49 **PRESIDENT:** I will allow the questions, but the witness
18 12:26:56 is a fact witness and he doesn't have a legal
19 12:27:00 background. So he's not here to give an opinion, he's
20 12:27:03 here to testify on what he knows and what he
21 12:27:07 personally can give us facts about.
22 12:27:11 So I will allow the question, as far as you don't
23 12:27:15 ask an opinion to the witness on a hypo or the
24 12:27:23 consequences of having or having not asked for the
25 12:27:27 certificate.

01 12:27:27 **MR HAUGENEDER:** I will rephrase my question.

02 12:27:29 You testified at the beginning of your testimony

03 12:27:36 that you were involved with this contract and with

04 12:27:42 numerous other contracts. Are you aware of the force

05 12:27:49 majeure provisions within those contracts and within

06 12:27:53 our contract in particular?

07 12:27:55 A In general. I know that every contract contains an

08 12:27:59 article of force majeure, of course.

09 12:28:03 Q And is it your view that decree 172 is not a force

10 12:28:12 majeure event under the contract?

11 12:28:16 **MR TALANOV:** Objection. This is a legal question.

12 12:28:17 **PRESIDENT:** I will grant the objection. This is asking

13 12:28:19 for a qualification of a clause that is not even read

14 12:28:24 to the witness. You're asking for a legal opinion.

15 12:28:28 **MR HAUGENEDER:** Well, the --

16 12:28:30 **PRESIDENT:** Then show the force majeure clause and ask

17 12:28:34 the businessman understanding of the force majeure

18 12:28:36 clause. And then you may link this document with the

19 12:28:39 contract.

20 12:28:40 **MR TALANOV:** Excuse me, members of the tribunal, under

21 12:28:42 the procedural order 9, paragraph 29, the

22 12:28:46 cross-examination questions shall refer to matters

23 12:28:49 which are relevant to the issues in dispute covered in

24 12:28:51 the witness statement. The issue of force majeure has

25 12:28:54 never been raised in the witness statement.

01 12:28:56 Therefore, we are quite --

02 12:28:57 **PRESIDENT:** I understand your objection, but we had

03 12:29:01 a cross-examination at the beginning of this, the

04 12:29:06 examination of this witness, on the negotiation of the

05 12:29:11 contract. So it is the tribunal's understanding that

06 12:29:14 the witness is aware of the contract terms.

07 12:29:19 Again, I'm not asking -- I'm asking the counsel to

08 12:29:24 refrain from asking a legal opinion or asking the

09 12:29:29 witness from drawing any consequence or opinion from

10 12:29:33 what he reads, and we see where we go from here.

11 12:29:37 **MR TALANOV:** Thank you.

12 12:29:39 **MR HAUGENEDER:** We will show you article 11 of this

13 12:29:44 contract.

14 12:29:47 A If you can give me a hard copy, I would appreciate.

15 12:29:53 Thank you.

16 12:30:09 The letters are even smaller.

17 12:30:15 Q We could try to enlarge it a bit. I'm only asking

18 12:30:19 **about the first two paragraphs and it says:**

19 12:30:25 "Any obligation of Seller and Buyer shall be

20 12:30:27 temporarily suspended during the period in which Party

21 12:30:30 is unable to perform it by reason of Force Majeure,

22 12:30:34 but only to the extent of such inability to perform."

23 12:30:39 **And then it says:**

24 12:30:40 "The term 'Force Majeure' shall mean any

25 12:30:43 unforeseen event or circumstance the occurrence of

01 12:30:45 which is beyond the reasonable control of the affected
02 12:30:49 Party and which could not be avoided or prevented with
03 12:30:52 due care of a reasonable and prudent operation."
04 12:30:57 Now, you see that. I'm not going to -- I mean,
05 12:31:02 you have negotiated these contracts, and I will not
06 12:31:09 ask you about precise legal qualifications, but what
07 12:31:13 I wanted you -- I think you should have a basic
08 12:31:17 understanding of what was agreed.
09 12:31:21 The events that you described, this decree 172,
10 12:31:23 does that fall under that definition?
11 12:31:32 **A Let's consider logically. The article 11.2 says:**
12 12:31:39 "The term 'Force Majeure' shall mean any
13 12:31:43 unforeseen [decree; unforeseen] event or circumstance,
14 12:31:49 the occurrence of which is beyond the reasonable
15 12:31:52 control of the affected Party ..."
16 12:31:54 Did we have any control on the occurrence of the
17 12:31:57 decree of the president? No control. Sorry. Party
18 12:32:02 **to the contract is Gazprom Export:**
19 12:32:05 "... and which could not be avoided or prevented
20 12:32:08 with the due care of ... reasonable and prudent
21 12:32:10 [operators]."
22 12:32:13 Do the commercial companies have instruments to
23 12:32:16 prevent legislation or avoid it? Nothing.
24 12:32:20 To my opinion, I'm not a lawyer, it's clear force
25 12:32:24 majeure.

01 12:32:26 **PRESIDENT:** And I think this is very helpful. Thank
02 12:32:30 you, sir.
03 12:32:31 Unless you have any further question on this
04 12:32:34 topic, we could move to another topic, because then it
05 12:32:38 draws in to a legal inference, which I'm not sure we
06 12:32:43 can draw here.
07 12:32:46 So if you have any factual question, we can go
08 12:32:49 on on this topic, otherwise we'll move out.
09 12:32:54 **MR HAUGENEDER:** I would like to know from you whether,
10 12:32:57 when you drafted this 1 April letter, this article was
11 12:33:08 somehow discussed?
12 12:33:12 A No. But probably it was discussed by the legal team.
13 12:33:20 I have no knowledge about it. Not with me.
14 12:33:56 **PRESIDENT:** So just to give you an information, we're
15 12:33:58 over 95 minutes right now.
16 12:34:18 **MR HAUGENEDER:** Mr Averkin, in your testimony, you also
17 12:34:26 speak about the letter that PPD sent to you on
18 12:34:36 26 May 2022.
19 12:34:55 You will be shown it, please. That is exhibit
20 12:35:05 {C-09}.
21 12:35:07 You will be given a hard copy.
22 12:35:22 A I will look to the screen.
23 12:35:26 Q And I would ask you to look at the end of this page,
24 12:35:32 which is where PPD says --
25 12:35:36 A Can you move it a little bit to the left, because

01 12:35:38 it's -- yes.

02 12:35:39 Q Yes.

03 12:35:40 A Or maybe.

04 12:35:44 Q "Please also note that the fulfilment of PPD payment

05 12:35:47 obligation in accordance with the Decree should not be

06 12:35:50 considered as an acceptance of your proposal to amend

07 12:35:53 the existing contract in any respect. However, we

08 12:36:01 would like to emphasise that PPD is committed to

09 12:36:05 cooperate with Gazprom Export ... in good faith in

10 12:36:08 order to fulfil its contractual obligations."

11 12:36:13 With that letter, PPD informed you that they did

12 12:36:26 not consider that they had accepted the 1 April

13 12:36:33 letter, right?

14 12:36:40 A I do not treat this as you said.

15 12:36:45 If you give me a chance to explain, I would

16 12:36:48 explain.

17 12:36:49 Q I would please ask you to answer the questions.

18 12:36:54 I understand from your written testimony that you

19 12:36:59 disagree with PPD's position.

20 12:37:02 A Can you bring it down -- I mean, up.

21 12:37:06 Yeah. Yeah.

22 12:37:09 Because the copy is so small, I cannot really

23 12:37:11 use it.

24 12:37:14 Q We're trying our best. There is a short delay when

25 12:37:17 you move the screen.

01 12:37:26 Even if you disagree with the conclusions that are
02 12:37:34 drawn by PPD, when you received that letter, you at
03 12:37:42 least knew what was PPD's position, right?
04 12:37:47 A First of all, the amendment to the contract, according
05 12:37:52 to our understanding, has been done by the letter of
06 12:37:55 1 April.
07 12:37:58 Secondly, PPD was opening the "K" accounts,
08 12:38:02 handling according to the procedure, giving no
09 12:38:08 objections.
10 12:38:09 The third point, if this letter is of such
11 12:38:14 importance for PPD -- can you bring it a little bit
12 12:38:17 more up?
13 12:38:21 You can see, "Dear Mr Dyachkov". It's even the
14 12:38:26 person which is not the executive one. So it's not
15 12:38:29 the letter to the general director. It's not the
16 12:38:32 letter to the deputy general director. It's the
17 12:38:35 letter to the person which is dealing on the operative
18 12:38:40 level between PPD and Gazprom Export.
19 12:38:44 So, we took note of this letter, but we did not
20 12:38:48 consider it of such huge importance for PPD, because
21 12:38:52 it has not been sent to general director.
22 12:38:56 And we saw that PPD was fully complying with the
23 12:39:02 terms and conditions of the amended contract, with the
24 12:39:07 letter signed by both parties of 1 April, and we did
25 12:39:12 not see any problem with that.

01 12:39:14 So I assume there might be even a communication
02 12:39:17 between Mr Dyachkov and somebody from the team of PPD.
03 12:39:20 But that was not a change of the contract.
04 12:39:25 Q Are you saying that this letter has no significance
05 12:39:29 for you; it was sent to Mr Dyachkov and not to the
06 12:39:33 general director?
07 12:39:34 A I assume that if PPD would bring a lot of significance
08 12:39:41 to this letter, it should be sent to the general
09 12:39:44 director of the company.
10 12:39:46 Q Suppose they are -- or, just accepting the fact they
11 12:39:51 sent it to Mr Dyachkov, does that mean the letter has
12 12:39:57 no significance to you?
13 12:40:00 A We took note of the information from this letter, but
14 12:40:04 the letter did not ask us to countersign something or
15 12:40:09 to accept something. So, what shall we do here.
16 12:40:13 Q But the letter found its way to you, somehow.
17 12:40:17 A I was aware of this letter, but again the addressee
18 12:40:21 was different. And PPD was continuing to fulfil all
19 12:40:29 the scheme of the new payments, so. We did not see
20 12:40:35 any problem here.
21 12:40:38 Q Mr Averkin, did you receive this letter at the time;
22 12:40:42 "yes" or "no"? Or did Mr Dyachkov keep it for
23 12:40:45 himself?
24 12:40:46 A I was informed about this letter. I am not the
25 12:40:49 addressee, I did not receive this letter, I mean, if

01 12:40:52 you mean particularly.

02 12:40:53 If you ask me whether I was aware about the

03 12:41:00 content of this letter, yes, I was aware about the

04 12:41:02 content of this letter.

05 12:41:03 Q Have you received a copy of this letter?

06 12:41:08 A If I was aware about the contract, I was reading it,

07 12:41:10 yes.

08 12:41:14 Q And when you read that letter, it must have been clear

09 12:41:18 to you that it was PPD's position that they had not

10 12:41:24 validly agreed to the 1 April letter; right?

11 12:41:29 A In my practice, I did not meet a possibility from one

12 12:41:34 company suddenly to cancel the signed document by

13 12:41:38 one-sided letter.

14 12:41:42 Q Mr Averkin, again, that is not my question. My

15 12:41:47 question is, was it not clear to you what PPD's

16 12:41:51 position was, namely, that the 1 April letter had not

17 12:41:58 been accepted by PPD, when you received that letter?

18 12:42:04 A I did not clearly read from this letter that PPD did

19 12:42:07 not accept the letter of 1 April. In this sense, the

20 12:42:13 answer is no.

21 12:42:14 **Q The letter says:**

22 12:42:17 "... the fulfilment of [our] payment obligation in

23 12:42:20 accordance with the Decree should not be considered as

24 12:42:23 an acceptance of your proposal to amend the existing

25 12:42:26 contract in any respect."

01 12:42:29 That is not ambiguous, right?

02 12:42:34 A The proposal was already taken. I mean -- and there

03 12:42:38 was no other proposal.

04 12:42:41 Q But the statement in itself is not ambiguous, right?

05 12:42:48 You might disagree or agree, but the statement itself

06 12:42:52 is very, very clear, right?

07 12:42:59 A It's not clear, because it's not really understandable

08 12:43:03 about what proposal PPD is talking about.

09 12:43:10 Q You referred to your 1 April letter as an offer. So

10 12:43:14 is it not clear from the context that this refers to

11 12:43:19 the 1 April letter?

12 12:43:20 A But what prevented PPD in this case to write, or to

13 12:43:24 make reference to the 1 April letter, to make it

14 12:43:27 crystal clear?

15 12:43:31 Q But are you saying that because this reference was not

16 12:43:37 made, the significance of the letter is somehow

17 12:43:43 unclear?

18 12:43:45 A Exactly.

19 12:43:51 **PRESIDENT:** May I ask how much more time you will need to

20 12:43:55 complete the examination?

21 12:43:56 **MR HAUGENEDER:** Very shortly. Very.

22 12:43:59 **PRESIDENT:** Take your time. I just want to budget the

23 12:44:02 time.

24 12:44:18 **MR HAUGENEDER:** If you go up that letter, the first

25 12:44:29 sentence of the letter from PPD refers to decree 172.

01 12:44:43 So is it not clear from that context that the
02 12:44:49 paragraph below refers to this payment mechanism?
03 12:44:55 A For me not clear, because I'm not a lawyer, but I'm
04 12:45:00 really used in our practice that if you make reference
05 12:45:04 to any document, at least you name the document in the
06 12:45:08 letter.
07 12:45:41 Q I would like you to go to paragraph 39 of your witness
08 12:45:51 statement, where you speak about LNG supplied
09 12:45:57 from Krk.
10 12:46:02 **And you say in the second half sentence:**
11 12:46:08 "... the price of LNG, taking into account all
12 12:46:11 costs associated with it, would be ultimately higher
13 12:46:13 than the price of the gas supplied under the
14 12:46:16 contract ..."
15 12:46:18 You see that?
16 12:46:19 A Yes.
17 12:46:21 Q Why is the price of LNG ultimately higher than the gas
18 12:46:30 supplied under the contract?
19 12:46:33 A LNG is a bit different product. As you know, it is --
20 12:46:36 in the plant it is liquefied, it is transported with
21 12:46:44 the gas tankers. And when coming to the terminal, it
22 12:46:49 should be re-gasified, for the re-gasification cost
23 12:46:53 and logistics costs are quite high.
24 12:46:57 In 2017, or even a bit later, early '20s, the LNG
25 12:47:08 production was not that expanded as it is now. So

01 12:47:14 basically there were not a lot of sources for LNG. In
02 12:47:20 this respect, according to our knowledge, the prices
03 12:47:24 for LNG, including the logistics and re-gasification,
04 12:47:29 in order to be able to be received in the pipeline
05 12:47:35 system for the pipeline gas, are quite high. I would
06 12:47:41 say extremely high.

07 12:47:45 **MR HAUGENEDER:** Thank you very much, Mr Averkin. That
08 12:47:48 concludes our cross-examination.

09 12:47:50 **PRESIDENT:** Thank you, sir.
10 12:47:51 Do you have any redirect, respondent?

11 12:47:54 **MR TALANOV:** No, no. We don't have any questions for the
12 12:47:57 redirect.

13 12:47:58 **PRESIDENT:** Thank you.

14 12:47:59 Questions by TRIBUNAL

15 12:48:11 **DR REINER:** Many thanks. Can I just come back on some of
16 12:48:14 your responses.

17 12:48:16 In relation to this document {RL-354}, which was
18 12:48:20 the document related to this force majeure Chamber of
19 12:48:23 Commerce thing, you remember?

20 12:48:27 A This one?

21 12:48:27 **DR REINER:** Yes.

22 12:48:28 **I think your words were:** I was not involved
23 12:48:32 directly. So that of course raises the question, were
24 12:48:36 you involved indirectly?

25 12:48:40 A I'm the boss, one of the bosses.

01 12:48:42 **DR REINER:** So what was your involvement, then?

02 12:48:45 A I think we discussed with our lawyers the general

03 12:48:55 situation for the case, but I was not directly

04 12:48:59 involved in producing this document. I was not

05 12:49:01 directly involved in contacting with the Chamber of

06 12:49:03 Commerce and et cetera.

07 12:49:07 **DR REINER:** And in relation to the question whether the

08 12:49:10 force majeure issue was discussed in the context of

09 12:49:15 **the 1 April 2022 letter, you said:** it was probably

10 12:49:21 discussed with the legal team, but not with me.

11 12:49:24 But here again, I mean --

12 12:49:27 A No, force majeure issue was not the part of the letter

13 12:49:30 itself.

14 12:49:30 **DR REINER:** Yes?

15 12:49:30 A I mean, I was reviewing the result of the drafting of

16 12:49:35 the -- our commercial and legal teams. In this

17 12:49:39 respect, we -- in the course of preparing this letter,

18 12:49:42 myself personally, we did not discuss this issue of

19 12:49:44 force majeure --

20 12:49:46 **DR REINER:** But how do you know whether it was discussed

21 12:49:48 with the legal team and if --

22 12:49:49 A That's why I said "probably". I do not know. I have

23 12:49:52 no knowledge about that.

24 12:49:53 **DR REINER:** Was the term "force majeure" ever raised in

25 12:49:57 a conversation in which you participated in the

01 12:50:00 context of the 1 April letter?

02 12:50:05 A At least during the evening and morning, I can't

03 12:50:09 remember about that. But there is a probability that

04 12:50:14 the legal team may discuss it.

05 12:50:16 **DR REINER:** But not with you?

06 12:50:18 A Not with me.

07 12:50:18 **DR REINER:** You don't remember --

08 12:50:20 A I don't remember.

09 12:50:21 **DR REINER:** -- a discussion about force majeure. Okay.

10 12:50:25 Attached to this 1 April letter was this quite

11 12:50:29 detailed document from Gazprombank. Do you know how

12 12:50:37 was that actually prepared?

13 12:50:41 A I have no knowledge about that. It was prepared,

14 12:50:45 I assume, by Gazprombank. I am responsible for the,

15 12:50:49 I would say, commercial part of the --

16 12:50:51 **DR REINER:** But who would have asked the bank to prepare

17 12:50:53 the document?

18 12:50:58 A I assume Central Bank should.

19 12:51:00 **DR REINER:** The Central Bank?

20 12:51:01 A Yes.

21 12:51:02 **DR REINER:** And when did GPE get that document; would you

22 12:51:08 remember?

23 12:51:09 A According to my knowledge, early morning 1 April.

24 12:51:15 **DR REINER:** Early morning?

25 12:51:16 A Yes.

01 12:51:16 **DR REINER:** Are you aware of any communication in
02 12:51:21 writing, exchange, email, orally, between any member
03 12:51:25 of GPE and Gazprombank on those issues?
04 12:51:29 A I'm not aware about that.
05 12:51:31 **DR REINER:** So your testimony is that that was prepared
06 12:51:34 by Gazprombank without any communication with GPE?
07 12:51:39 A Taking into account my knowledge, my team, myself, did
08 12:51:43 not communicate. So I cannot quote for the rest of
09 12:51:46 the --
10 12:51:46 **DR REINER:** But which other team might possibly have had
11 12:51:50 communications with Gazprombank?
12 12:51:53 A Again, it's about guessing. I do not have such
13 12:51:56 information.
14 12:51:57 **DR REINER:** No, but from --
15 12:51:59 A After we received this document, I assume there should
16 12:52:03 be some communication.
17 12:52:06 **DR REINER:** So they should have received some
18 12:52:08 communication?
19 12:52:08 A No, no. After we received this document, I assume
20 12:52:11 there was some communication. In any case, they also
21 12:52:14 asked some clarifications from Gazprom to be able to
22 12:52:18 explain to the customers.
23 12:52:20 **DR REINER:** But before it was sent, as it was then
24 12:52:24 attached to the 1 April letter, you are not aware of
25 12:52:27 any communication?

01 12:52:29 A I am not aware of any communication.

02 12:52:31 **DR REINER:** But can you exclude that there was any

03 12:52:33 communication and between --

04 12:52:35 A I cannot.

05 12:52:36 **DR REINER:** -- anybody within GPE and Gazprom?

06 12:52:40 A I have no knowledge about that, sorry.

07 12:52:42 **DR REINER:** But who would have been responsible for any

08 12:52:44 such possible communications or contacts with

09 12:52:48 Gazprombank within GPE?

10 12:52:50 A Financial team.

11 12:52:51 **DR REINER:** And who was heading the financial team?

12 12:52:55 A Mr Ryndin.

13 12:52:55 **DR REINER:** And had you any contact with him concerning

14 12:52:58 Gazprombank and this letter?

15 12:53:00 A As I said in my testimony, I was very much focused on

16 12:53:03 the preparation of this letter together with legal and

17 12:53:07 commercial team.

18 12:53:10 **DR REINER:** Okay. If I can ask you -- and I have nearly

19 12:53:14 finished. So this document, {J2.334}, this is the

20 12:53:19 document related to those -- the list of instructions,

21 12:53:23 you remember? Perhaps you can be given -- I don't

22 12:53:27 know whether you still have a copy of it.

23 12:53:29 A Ah, okay.

24 12:53:30 **DR REINER:** It's on the screen.

25 12:53:33 Next to Mr Miller, there's a reference as to other

01 12:53:38 responsible persons, Mr Mishustin. Who is that?

02 12:53:43 A The Prime Minister.

03 12:53:45 **DR REINER:** Okay. And Ms Nabiullina?

04 12:53:48 A Head of Central Bank.

05 12:53:50 **DR REINER:** Okay. Fine.

06 12:53:58 You said that you don't have a direct contact with

07 12:54:02 Mr Miller, and I can understand that. But do you mean

08 12:54:06 that you have no other contact persons with your

09 12:54:10 mother company, within your mother company, that you

10 12:54:13 could talk to?

11 12:54:16 A We have, of course.

12 12:54:18 **DR REINER:** So did you contact anybody within your mother

13 12:54:23 company after you were informed, as you said, over

14 12:54:27 television and the radio or newspapers about those

15 12:54:33 instructions?

16 12:54:34 A My contacts in Gazprom, they had the same number of

17 12:54:39 information as myself and any other person around. So

18 12:54:43 I mean, only something from the mass media.

19 12:54:47 **DR REINER:** How do you know that they only have the same

20 12:54:49 level of information from the radio or television?

21 12:54:58 A If you are asking me about my contacts in Gazprom, so

22 12:55:02 I have contact with the foreign relations department.

23 12:55:05 So in the foreign relations department, there was no

24 12:55:07 information about.

25 12:55:09 **DR REINER:** So you say once you had heard about these

01 12:55:14 instructions on the television, you had no contact

02 12:55:19 whatsoever with nobody within Gazprom to try to find

03 12:55:24 out more about?

04 12:55:24 A The question was whether I had contact with Mr Miller

05 12:55:27 or --

06 12:55:28 **DR REINER:** No, but I'm asking about somebody else --

07 12:55:31 A -- instruction.

08 12:55:31 At our level, we have a day-to-day contacts. So

09 12:55:35 basically, I mean, on several issues.

10 12:55:40 **DR REINER:** And what was the content of such

11 12:55:43 communications; was that addressed?

12 12:55:46 A The content was about the absence of any content.

13 12:55:51 **DR REINER:** Absence of any?

14 12:55:52 A Of any content. I mean, nobody has any information.

15 12:55:57 **DR REINER:** Okay. And between 26 March and 31 March,

16 12:56:08 there was no contact between you and anybody within

17 12:56:13 Gazprom. And you are not aware of any other contact

18 12:56:17 between, for instance, your boss at GPE?

19 12:56:24 A I have no information about any contact of my boss

20 12:56:32 with anybody in Gazprom.

21 12:56:34 As you can imagine, bosses are not always

22 12:56:36 reporting to us.

23 12:56:39 **DR REINER:** You did say, and I noted then, that you

24 12:56:42 broadly discussed the matter with Ms Burmistrova after

25 12:56:46 you had this news on the television.

01 12:56:49 Can you try to be a bit more specific? What do
02 12:56:51 you mean by "broadly discussed"?
03 12:56:54 A I mean, it was a general discussion. Because we did
04 12:56:59 not have any details. It was written that somebody
05 12:57:05 has to produce, I mean, the government has to produce
06 12:57:07 the decree and no other details. And the discussion
07 12:57:12 was that probably we have to wait up what will be the
08 12:57:15 document and then to react on that immediately, so
09 12:57:17 it's --
10 12:57:18 **DR REINER:** Do you remember when you had that broad
11 12:57:21 discussion with Ms Burmistrova?
12 12:57:22 A I cannot refer to any particular date. Sorry for
13 12:57:25 that, but it was already four years ago.
14 12:57:28 **DR REINER:** But given the content of that information,
15 12:57:31 would you assume that was rather quickly thereafter or
16 12:57:38 rather later that you would have had this broad
17 12:57:42 discussion with Ms Burmistrova?
18 12:57:44 A Just one week passed. So it's not that much time.
19 12:57:49 **DR REINER:** No, that's why I'm asking.
20 12:57:53 A I cannot refer to any particular date, honestly to
21 12:57:55 say, so. It's difficult to remind it.
22 12:58:00 **DR REINER:** Is it fair to say that you were in fact just
23 12:58:02 leaning back and waiting and doing nothing?
24 12:58:08 A We had no details. We had no documents. We did not
25 12:58:14 know how the mechanism could work. We had no

01 12:58:17 particular instructions. What can we do?

02 12:58:24 **DR REINER:** Okay. Two last questions in relation to

03 12:58:29 paragraph 52 of your witness statement.

04 12:58:40 You say that following the decree 254 -- do you

05 12:58:43 have it in front of you?

06 12:58:47 A I have the witness statement. Yes.

07 12:58:50 **DR REINER:** You say that the procedure remained

08 12:58:55 unchanged.

09 12:58:59 So my question is -- and I'm sorry, I don't want

10 12:59:02 to be -- it's a true question.

11 12:59:06 There is a new decree, but the new decree you say

12 12:59:10 changes nothing. Is that what you say?

13 12:59:13 A According -- okay, I'm not a lawyer, again, but

14 12:59:15 according to my qualification, it's just a decree

15 12:59:21 which clarifies the terms and conditions of

16 12:59:24 decree 172. It was a tiny clarification about the

17 12:59:30 small mechanism. The end point, if I remember

18 12:59:34 correctly, about the Moscow exchange and the

19 12:59:37 instruments used in Moscow exchange.

20 12:59:38 **DR REINER:** What is the clarification, in your view?

21 12:59:41 A It's a technical clarification.

22 12:59:43 **DR REINER:** Yes, but what's the content of that

23 12:59:45 technical --

24 12:59:46 A The new instrument, it was clarified that the --

25 12:59:51 I think it's the national clearing chamber was using

01 12:59:58 for the mechanism of Moscow exchange. So that was the
02 13:00:05 small technical clarification.

03 13:00:07 **DR REINER:** Did you discuss that with anybody within GPE?
04 13:00:12 A There was not much to discuss. I mean, it's the
05 13:00:16 matter which concerns mostly the actions of
06 13:00:19 Gazprombank at the end point, because Gazprombank was
07 13:00:22 dealing with the conversion of the euro to roubles.
08 13:00:27 We were not involved in this process as Gazprom
09 13:00:29 Export.

10 13:00:33 **DR REINER:** Yes. Thank you.

11 13:00:34 **PRESIDENT:** Ms Hoffman?

12 13:00:41 **MS HOFFMAN:** Yes, thank you.

13 13:00:41 I have a few questions, and I first want to come
14 13:00:44 back to your initial answer, when you were asked about
15 13:00:49 the impact of decree 172.

16 13:00:52 Now, I understand from your testimony that
17 13:00:56 basically in the evening of 31 March, and then on
18 13:00:59 1 April, you were busy sort of putting in place what
19 13:01:03 you thought needed to be put in place.

20 13:01:07 But I also understand that, you know, there was
21 13:01:12 a considerable negative impact for Gazprom Export of
22 13:01:17 this decree.

23 13:01:18 Do you think, in hindsight, that you immediately,
24 13:01:23 with your experience in this field, which I understand
25 13:01:28 spans over a long time, do you think in hindsight that

01 13:01:31 you fully understood the impact, the commercial impact
02 13:01:36 of this decree for Gazprom Export, or, you know, are
03 13:01:40 you still sort of looking at this now and thinking,
04 13:01:44 **you know:** it was quite unforeseeable for us, what that
05 13:01:47 actually really meant?
06 13:01:52 A It's a difficult question. It's difficult to answer
07 13:01:55 "yes" or "no" --
08 13:01:56 **MS HOFFMAN:** No, I'm not asking for "yes" or "no."
09 13:01:57 I actually am genuinely interested to see your views.
10 13:01:59 A It's somewhere in the grey zone, I would say, because
11 13:02:03 we understood that it may impact, definitely. But
12 13:02:11 what would be the way or how it would look like, it
13 13:02:14 was quite difficult to foresee.
14 13:02:18 And it materialised very quickly, by the way,
15 13:02:26 I think 27 April, the two companies decided not to
16 13:02:32 pay, I would say.
17 13:02:33 So that's why -- there was a guess that it might
18 13:02:38 be used as a political weapon from the side of
19 13:02:40 European companies as well. So against Gazprom.
20 13:02:43 Gazprom Export.
21 13:02:45 **MS HOFFMAN:** Okay. And I understood that you also said
22 13:02:51 that companies who received that letter had the option
23 13:02:56 to either sign or not to sign, and even if they didn't
24 13:03:00 sign the letter, they could nevertheless comply with
25 13:03:02 the payment mechanism. And in that case, you would

01 13:03:05 then continue to deliver gas. Is that correct?

02 13:03:08 A Definitely, definitely, correct.

03 13:03:10 **MS HOFFMAN:** Has Gazprom Export's policy about cutting

04 13:03:14 off the gas supply changed over the last few years,

05 13:03:17 ie with the events of February 2022, is there a new

06 13:03:23 policy, or was it always your policy to cut off gas

07 13:03:26 pretty much immediately when payment was not made?

08 13:03:29 A No, there was not such a policy. Before the decree

09 13:03:37 172 appeared, I can't really remember cases when we

10 13:03:46 cut deliveries, so.

11 13:03:48 **DR REINER:** You can't remember the?

12 13:03:51 **MS HOFFMAN:** When they cut deliveries.

13 13:03:51 A I can't remember cases when we cut deliveries. Sorry.

14 13:03:56 **MS HOFFMAN:** So even if a company did not pay, you would

15 13:04:01 give them some leeway until things became clear or?

16 13:04:05 A We would negotiate and -- we would negotiate,

17 13:04:09 understand the reasons.

18 13:04:14 **MS HOFFMAN:** Okay.

19 13:04:14 A By the way, that was the case two times with PPD

20 13:04:19 before this final case. We received information from

21 13:04:26 PPD. It was formally cut, but we received information

22 13:04:29 from PPD that the payment is on the way, and in three

23 13:04:34 days the deliveries were restarted again.

24 13:04:39 In this case, we received a letter from PPD that

25 13:04:42 they are not going to pay, so, I mean -- and we

01 13:04:45 received the final stop from the customs.

02 13:04:58 **MS HOFFMAN:** I think my last question is, so I understood

03 13:04:59 from your comments earlier today that your

04 13:05:02 relationship with Mr Vujnovac is a rather friendly

05 13:05:04 one, generally?

06 13:05:05 A It is. It is still.

07 13:05:14 **MS HOFFMAN:** Yes. He testified that in the negotiations,

08 13:05:18 or in the communications with Gazprom Export -- and

09 13:05:24 I'm assuming that includes you, then -- following the

10 13:05:27 events of February 2022, he was referred to as the

11 13:05:34 "enemy country", or, you know, as PPD was the enemy

12 13:05:40 country or from an enemy country.

13 13:05:41 Do you recall speaking to him like that?

14 13:05:45 A Honestly to say, having such a friendly relationship

15 13:05:48 between myself with him, between Mr Medvedev with him,

16 13:05:53 Ms Burmistrova -- and as I said, we had other

17 13:05:56 projects, I mean, not only deliveries of gas and the

18 13:06:00 contract.

19 13:06:03 And I can't even remember that with any partner

20 13:06:07 being in so-called "unfriendly country" or "friendly

21 13:06:10 **country", we were using such arguments like:** you are

22 13:06:16 unfriendly partner or you are unfriendly country.

23 13:06:18 So, I mean, I still have good relationships with

24 13:06:23 my colleagues from Uniper, from ENGIE, from Eni. We

25 13:06:29 are calling each other, drinking coffee in some

01 13:06:33 events.

02 13:06:33 So, I mean, never use such arguments in our

03 13:06:37 negotiations. It's sounds like some dream of

04 13:06:41 Mr Pavao.

05 13:06:44 **MS HOFFMAN:** Thank you.

06 13:06:48 **PRESIDENT:** Sir, most of the questions I had listed have

07 13:06:51 been asked, so I just have three questions.

08 13:06:54 The first question is, what was the haste of

09 13:06:59 issuing the letter on April 1? Could you have taken

10 13:07:04 more time and maybe issued the letter of April 1, 2022

11 13:07:09 a week later? Was there any emergency or urgency in

12 13:07:15 sending this letter to your customers?

13 13:07:18 A I think we consider it important to inform, and to

14 13:07:26 offer to the customers to change the contract as soon

15 13:07:30 as possible after the decree appeared. So that's why.

16 13:07:36 It's usual in the business that if something important

17 13:07:41 happens, we approach our customers immediately.

18 13:07:47 **PRESIDENT:** Was there anything in the decree 172 about

19 13:07:53 the prohibition to sell gas without complying with the

20 13:07:58 new payment system that prompted you to act promptly

21 13:08:06 upon the issuance of the decree, or was it, as you

22 13:08:09 just said, a commercial decision to inform your

23 13:08:14 customers as soon as possible?

24 13:08:16 A First of all, it was a commercial decision to inform

25 13:08:20 our customers.

01 13:08:21 Secondly, I did not mention it in my testimony,
02 13:08:25 but with some customers we had, we have and had
03 13:08:30 pre-payment, for example. So it would mean that --
04 13:08:34 and we always treated our customers equally. It would
05 13:08:38 mean that we would like to inform our customers at the
06 13:08:42 same time, that everybody receives information the
07 13:08:45 same moment. And of course, it would immediately
08 13:08:49 impact the contracts where the prepayment scheme has
09 13:08:54 been used in --
10 13:08:56 **PRESIDENT:** So on April 1, how many letters did you send
11 13:09:00 that day? 10? 20? 50? More?
12 13:09:09 A Let me calculate approximately. Let's say at least
13 13:09:16 three customers in Germany; two customers in Austria;
14 13:09:21 one customer in France; two customers in Italy;
15 13:09:28 I think two at that time in Hungary; Croatia -- more
16 13:09:36 than 10.
17 13:09:42 **PRESIDENT:** In order to translate the instruction
18 13:09:45 received from -- the notice received from Gazprom,
19 13:09:48 which is attached to the letter, to the terms of your
20 13:09:52 letter --
21 13:09:52 A Gazprombank?
22 13:09:54 **PRESIDENT:** Gazprombank, sorry. Yes, the notice of
23 13:09:56 Gazprombank. To the terms of your letter, did you
24 13:09:59 seek the assistance of any external contact/resources,
25 13:10:06 either with Gazprombank or any other partner or --

01 13:10:11 A No.

02 13:10:11 **PRESIDENT:** -- advice outside your company --

03 13:10:12 A No.

04 13:10:12 **PRESIDENT:** -- to draft that letter, to make sure, ensure

05 13:10:15 you understood --

06 13:10:16 A No.

07 13:10:16 **PRESIDENT:** -- what was asked from you to do?

08 13:10:18 A No, we used the capacity of our legal team only.

09 13:10:22 **DR REINER:** I'm sorry?

10 13:10:23 A We used capacity of our legal team only.

11 13:10:27 **PRESIDENT:** Before sending the letter, did you send the

12 13:10:32 draft to Gazprombank just to make sure you were in

13 13:10:36 line with the directions sent to you?

14 13:10:40 A Gazprombank has nothing to do with our letter, in

15 13:10:43 principle. Gazprombank sent us a ready instruction

16 13:10:47 which was attached to the letter.

17 13:10:52 **PRESIDENT:** But I understand this was a moment of

18 13:10:54 compliance, and that Gazprombank notice was attached

19 13:10:57 to your letter to your client.

20 13:11:01 So may I ask, it could have been good compliance

21 13:11:06 practice to send the draft to the bank, to make sure

22 13:11:09 the directions you're giving to the client, with the

23 13:11:13 new bank account and the information you're giving, is

24 13:11:18 in line with the notice?

25 13:11:22 A I think in this case it's different, because the

01 13:11:27 letter deals with the contract, and the instruction of
02 13:11:32 Gazprombank deals with the clarification how to open
03 13:11:36 and how to deal with the "K" accounts.
04 13:11:39 So those are two different things. And at this
05 13:11:43 moment of time, our letter had nothing to do with the
06 13:11:46 compliance with the bank, because in this case, bank
07 13:11:49 is not doing any compliance.
08 13:11:51 **PRESIDENT:** But isn't it the two sides of the same coin?
09 13:11:53 That together they provide for the payment mechanism?
10 13:11:58 A No, because --
11 13:11:58 **PRESIDENT:** Your letter and the instruction?
12 13:12:02 A In this case, every entity is doing its own job. So
13 13:12:05 we are party to the contract and we are dealing with
14 13:12:08 the client. And the Gazprombank is dealing with the
15 13:12:11 payment mechanism and basically with the opening and
16 13:12:17 operation of the "K" accounts.
17 13:12:20 So that's why I cannot confirm your understanding
18 13:12:25 of this.
19 13:12:28 **PRESIDENT:** You mentioned companies who pay, who didn't
20 13:12:32 pay, who signed, who didn't sign. There seems to me
21 13:12:34 to be four categories of customers. There are
22 13:12:37 customers who sign and pay under the payment
23 13:12:42 mechanism. There are customers who don't sign and
24 13:12:45 don't pay. There are customers who don't sign but pay
25 13:12:53 under the mechanism. And we have here a category of

01 13:12:58 customer who did sign, who paid, but said they did not
02 13:13:04 accept the letter.
03 13:13:07 Would you agree with me that there are four
04 13:13:09 categories of customers?
05 13:13:10 A I would rather quote them as three categories of
06 13:13:14 customers. The customer who signed and paid. The
07 13:13:19 customer who did not sign but paid -- and they had
08 13:13:23 a chance not to sign. And the customer who did not
09 13:13:27 sign and did not pay.
10 13:13:29 So I cannot quote for the fourth because if the
11 13:13:35 company signed, the company took a decision, the
12 13:13:38 company changed the contract. They cannot change the
13 13:13:45 contract unilaterally. So the change of the contract
14 13:13:48 is a document which is signed by two parties.
15 13:13:50 **PRESIDENT:** But earlier when you testified, you seemed to
16 13:13:53 **say:** what's important is compliance with the payment
17 13:13:59 mechanism. That's why some companies did not sign,
18 13:14:01 but paid.
19 13:14:04 A Yes, it is.
20 13:14:05 **PRESIDENT:** So the option is not so much you sign/you
21 13:14:08 **don't sign. It is:** I will deliver -- me,
22 13:14:12 respondent -- I will deliver as long as compliance
23 13:14:17 with the payment mechanism is made, so payment is made
24 13:14:20 according to the decree.
25 13:14:22 That's the compliance with the decree --

01 13:14:24 A That's what decreases --

02 13:14:25 **PRESIDENT:** -- that triggers the continuation of the

03 13:14:26 relationship. Not so much the signature, since you

04 13:14:29 said some parties did not sign, but paid?

05 13:14:37 A In terms of compliance to the decree, yes. But in any

06 13:14:42 way, the signature put under the letter by PPD was

07 13:14:52 a clear meaning for us that PPD agreed to change the

08 13:14:56 contract and agreed to comply with the terms and

09 13:15:01 conditions of the decree.

10 13:15:03 **PRESIDENT:** That's very clear. I have no further

11 13:15:04 questions. I thank you very much.

12 13:15:06 Now, let me turn to respondent. Is there any

13 13:15:10 additional question you would like to ask the witness?

14 13:15:13 **MR TALANOV:** Thank you. No further questions.

15 13:15:15 **MR HAUGENEDER:** No further questions.

16 13:15:17 **PRESIDENT:** Thank you very much, sir, to have come all

17 13:15:21 the way here and to give testimony before this

18 13:15:23 tribunal. This was very helpful.

19 13:15:25 I see you did not need any interpreter. Sir, we

20 13:15:27 thank you very much, we appreciate it.

21 13:15:28 **WITNESS:** My English was not perfect, but I tried.

22 13:15:32 **PRESIDENT:** And we will now have a break. You're free to

23 13:15:34 go or stay in the room.

24 13:15:36 It is 1.15. We will start again at 2.15.

25 13:15:41 **WITNESS:** Thank you very much.

01 13:15:42 **PRESIDENT:** Thank you.

02 13:15:42 (1.15 pm)

03 13:15:42 (Lunch break)

04 13:15:42 (2.16 pm)

05 13:48:02 MR VLADIMIR MAZILOV

06 13:48:03 **PRESIDENT:** We're back on record.

07 14:16:28 A very good afternoon, Mr Mazilov.

08 14:16:31 Thank you very much for coming to attend this

09 14:16:35 hearing and giving testimony before the tribunal.

10 14:16:38 **WITNESS:** Good afternoon.

11 14:16:38 **PRESIDENT:** So counsel for respondent is going to ask you

12 14:16:44 questions, then we'll turn to questions to be asked by

13 14:16:48 the claimant, counsel for claimant. And at the end,

14 14:16:52 the tribunal might have questions at you.

15 14:16:54 I understand you don't need any translator,

16 14:16:56 interpreter. Are you comfortable --

17 14:16:58 **WITNESS:** I hope so.

18 14:16:59 **PRESIDENT:** Let us know --

19 14:16:59 **WITNESS:** But in case I have difficulties, I will ask to

20 14:17:04 rephrase or help me a bit, but let's hope.

21 14:17:07 **PRESIDENT:** We want to make sure not only you understand

22 14:17:10 the questions, but also you feel comfortable answering

23 14:17:14 the questions in English. So let us know --

24 14:17:15 **WITNESS:** Depends on questions.

25 14:17:16 **PRESIDENT:** Sorry?

01 14:17:16 **WITNESS:** Depends on questions, but yes, yes,
02 14:17:20 I understand.
03 14:17:21 **PRESIDENT:** Now, you have in front of you an affirmation,
04 14:17:26 a form. So I would like you to add your name and read
05 14:17:29 it out loud for the transcript, please.
06 14:17:32 **WITNESS:** I, Vladimir Mazilov, sincerely and truly
07 14:17:36 declare and affirm that the evidences -- the evidence
08 14:17:39 I shall give shall be truth, the whole truth, and
09 14:17:42 nothing but truth.
10 14:17:43 **PRESIDENT:** Thank you, Mr Mazilov.
11 14:17:45 Counsel for respondent is going to conduct a short
12 14:17:49 direct.
13 14:17:49 Examination-in-chief by MR TALANOV
14 14:17:50 **MR TALANOV:** Mr Mazilov, will you please confirm that the
15 14:17:53 statement on the record is of your own and is correct?
16 14:17:58 A Yes.
17 14:17:59 Q Is there anything you would like to correct, amend or
18 14:18:02 add to these statements before we start?
19 14:18:05 A No.
20 14:18:06 Q Thank you.
21 14:18:06 What were the commercial reasons for the parties
22 14:18:12 to enter into the GTA, the gas transportation
23 14:18:14 agreement?
24 14:18:18 A As I've expressed in my testimony, there was an
25 14:18:22 agreement to make a supply of gas to Croatian customer

01 14:18:26 in Croatia, in the VTP Croatia.

02 14:18:29 Gazprom Export itself didn't have the

03 14:18:33 corresponding licences to book the capacities from the

04 14:18:36 TSOs in Croatia and in Hungary.

05 14:18:38 In the absence of these licences, we have agreed

06 14:18:44 some kind of, let's call it logistical solution with

07 14:18:48 PPD, that basically they, the company having the

08 14:18:51 licence, will go buy the capacities, and basically

09 14:18:55 perform that kind of transportation services which we

10 14:19:00 can't get directly from the TSO, in order to fulfil

11 14:19:06 the conditions of the sales contract and supply the

12 14:19:09 gas to PPD in full on VTP Croatia.

13 14:19:14 Q Clear.

14 14:19:14 And could you please give us a brief overview of

15 14:19:19 the gas transportation agreement, outlining its key

16 14:19:23 provisions?

17 14:19:28 A We were trying to make it as close to the idea when

18 14:19:36 Gazprom Export will be booking the capacities directly

19 14:19:39 from the TSO.

20 14:19:40 So we have agreed to sign the contract for the

21 14:19:45 firm transportation, physical transportation services,

22 14:19:49 from Serbian-Hungarian border to VTP Croatia.

23 14:19:55 So we've linked this agreement to the TSO tariffs

24 14:20:03 for the firm capacities.

25 14:20:05 The idea was that taking into account the whole

01 14:20:13 usage of the contract itself, and the TSO -- GTA

02 14:20:19 correspondingly is in the hands of PPD, because they

03 14:20:22 are the one who are nominating the quantities and

04 14:20:25 deciding how much to earn -- how much to use.

05 14:20:27 So basically, we have agreed to make -- that we

06 14:20:31 need to compensate basically expenses of the PPD for

07 14:20:36 booking of corresponding capacities in the amount of

08 14:20:40 actual usage. To the extent they will be buying

09 14:20:43 100 per cent of quantities under the sales contract,

10 14:20:47 then it will be 100 per cent. In case less, than

11 14:20:51 less.

12 14:20:51 The idea was to perform transportation services

13 14:20:55 and Gazprom Export to pay for actually performed

14 14:21:00 transportation services; it means actual usage of the

15 14:21:04 capacities.

16 14:21:04 And maybe to add, so, after the reading of

17 14:21:10 testimony evidences of other party, it was, again,

18 14:21:17 logistical solution and never meant to generate extra

19 14:21:24 benefits from any of both sides. We were just trying

20 14:21:27 to secure and to implement what was not possible to

21 14:21:33 implement by Gazprom Export directly with the TSO.

22 14:21:37 Q Thank you. And could you please then comment on the

23 14:21:40 statements made by Ms Measic, or Ivancic, that the GTA

24 14:21:45 was in fact performed via virtual transportation?

25 14:21:53 A Professionally speaking, I think everybody who are

01 14:21:55 involved in the gas business has absolutely clear
02 14:22:02 understanding of the difference between virtual
03 14:22:05 transportation and physical transportation.
04 14:22:07 So basically, when we are talking about physical
05 14:22:11 transportation, actual usage, it means that the
06 14:22:14 capacities should be booked and the transportation
07 14:22:18 services should be performed on the basis of services
08 14:22:24 bought from the TSO in the corresponding amount. And
09 14:22:30 nothing in our agreement foresees the possibility for
10 14:22:35 PPD to perform any part of services via anything
11 14:22:40 virtual, virtual transportation or swaps or
12 14:22:44 whatsoever.
13 14:22:44 It's absolutely another type of product, another
14 14:22:47 type of service, and I believe the direct linkage to
15 14:22:52 the TSO tariff for the firm capacities direct
16 14:22:56 explicitly mentioning that it's physical
17 14:23:01 transportation, actual usage, there are no space for
18 14:23:06 different understanding or different reading of the
19 14:23:09 contract. So, in general.
20 14:23:11 So I believe that -- and we have it in my
21 14:23:18 testimony -- that finding out that they're performing
22 14:23:23 it through the virtual transportation, partially, at
23 14:23:25 that moment of time, we thought that the problem is
24 14:23:28 only partial.
25 14:23:29 For us, it was a big surprise because, according

01 14:23:33 to my opinion, it's in explicit contradiction to the
02 14:23:37 contract terms.

03 14:23:41 Q Thank you. And could you please also explain whether
04 14:23:44 during the negotiations or the work on the gas
05 14:23:47 transportation agreement, you had to receive any kind
06 14:23:51 of approvals or make any kind of reporting to the
07 14:23:56 government or any other public body, as deemed by the
08 14:24:00 other party?

09 14:24:03 A Honestly speaking, I do not recollect such discussion
10 14:24:08 about some problems with the reporting.

11 14:24:11 I can say that being responsible for the whole
12 14:24:15 logistics and storage activity of Gazprom Export,
13 14:24:20 neither myself nor anyone from my team -- and I don't
14 14:24:24 know, I don't have any knowledge that someone even
15 14:24:26 from Gazprom Export on other spheres of activity, has
16 14:24:30 some kind of unique rules for reporting or
17 14:24:37 pre-agreeing certain terms with the government.

18 14:24:40 I think that, I may say that the conclusion of
19 14:24:46 such deal is in full hands of the management of GPE,
20 14:24:50 and basically our reporting is limited. I believe
21 14:24:55 that may be Ms Ivancic. Because the only one
22 14:25:01 procedure, which might be at least considered as some
23 14:25:04 kind of reporting to the government, maybe it's our
24 14:25:08 reports to the Gazprombank, which is currency control
25 14:25:17 agent.

01 14:25:17 But the same rules applies not only to Gazprom
02 14:25:20 Export or to Gazprom Group, but to any goods exporters
03 14:25:27 in Russian Federation, according to the law,
04 14:25:30 independent or not independent. So to anyone. But
05 14:25:33 that's the only one.
06 14:25:37 **MR TALANOV:** Thank you. That concludes our questions.
07 14:25:40 Thank you.
08 14:25:41 **PRESIDENT:** Thank you.
09 14:25:42 Now, counsel for claimant is going to ask you
10 14:25:45 questions.
11 14:25:46 **WITNESS:** Yes, please.
12 14:25:47 Cross-examination by MR HAUGENEDER
13 14:25:47 **MR HAUGENEDER:** Good afternoon, Mr Mazilov.
14 14:25:50 A Good afternoon.
15 14:25:50 Q My colleague Arias Lim and myself will be asking
16 14:25:56 questions in cross-examination.
17 14:25:57 Mr Mazilov, I think you already said that in your
18 14:26:07 direct testimony -- I just would like to recall it --
19 14:26:11 so the delivery point of this gas supply agreement
20 14:26:19 between Gazprom Export and PPD was in Croatia, right?
21 14:26:28 A VTP Croatia, yes.
22 14:26:33 Q VTP Croatia?
23 14:26:35 A Yes.
24 14:26:35 Q That is the abbreviation for what?
25 14:26:42 A Virtual trading point Croatia.

01 14:26:45 Q Virtual trading point Croatia. Is that the correct
02 14:26:48 understanding?
03 14:26:50 A Possibly, yeah. Maybe some -- VTT, like VT, virtual
04 14:26:55 trading point in Croatia, yeah, it's normal standard
05 14:26:58 name for all virtual points like in Europe. They can
06 14:27:02 differ a bit, but the idea is the same.
07 14:27:07 Q And have I understood you correctly, you did not
08 14:27:12 have -- your obligation was to transport the gas to
09 14:27:17 Croatia, but you didn't have the required licences to
10 14:27:23 transport from Serbia through Hungary to Croatia; is
11 14:27:26 that right?
12 14:27:27 A By ourselves? Yes.
13 14:27:40 Q Yes. So the delivery point under the gas supply
14 14:27:47 contract was fixed, right? So you always needed to
15 14:27:54 engage someone who was performing these transportation
16 14:27:57 services, right?
17 14:28:01 A Yes.
18 14:28:08 Q Now I would like to go to a few notions about gas
19 14:28:17 transportation.
20 14:28:17 The physical transportation of gas, which I think
21 14:28:24 you have mentioned in your witness statement, means
22 14:28:30 that you inject gas molecules at one end, and then
23 14:28:38 they move along a defined route, and then at some
24 14:28:43 other point they are taken out of the system. Is that
25 14:28:49 right?

01 14:28:51 A Professionally speaking, it's a service to be
02 14:28:54 physically performed by the usage of firm
03 14:28:57 transportation capacities of the TSO to bring the gas
04 14:29:01 from entry point till the exit point.
05 14:29:04 Q Mr Mazilov, that was not precisely my question. I'm
06 14:29:08 asking you about the term "physical transportation".
07 14:29:12 So physical transportation means transporting the
08 14:29:16 gas molecules from point A to B, is that right?
09 14:29:22 A Not fully. Not -- I can't distinguish different,
10 14:29:27 concrete molecules, but physical transportation, from
11 14:29:31 the professional point of view of people involved in
12 14:29:34 the gas business, means that you are using
13 14:29:39 corresponding TSO and transportation capacities. Firm
14 14:29:45 capacities, I would like to note.
15 14:29:46 So, you need to book these capacities from the
16 14:29:52 TSO, you need to eliminate gas from the entry point,
17 14:29:54 you need to book corresponding capacities on the
18 14:29:58 border between Hungary and Croatia. And you need to
19 14:30:02 physically eliminate and, by usage of these firm
20 14:30:06 capacities, bring the gas from the entry point till
21 14:30:08 the exit point.
22 14:30:09 What kind of molecules would it be? It's for the
23 14:30:12 TSO to decide. But between us, between PPD and GPE,
24 14:30:16 it was an agreement that the service should be
25 14:30:19 performed by the usage of physical capacities.

01 14:30:24 Q Mr Mazilov, you're not -- I think you're not answering
02 14:30:26 my question. You're talking about capacity here, and
03 14:30:30 actually, my question is about the term "physical".
04 14:30:34 Can we agree that "physical" means transporting
05 14:30:38 the molecules from point A to point B? I think it's
06 14:30:44 very -- a very simple issue.
07 14:30:48 A I'm talking from a professional point of view of the
08 14:30:50 gas business, and you are talking like a lawyer.
09 14:30:53 That's the difference.
10 14:30:53 But answering your question, I mean, the idea
11 14:30:58 behind our agreement with PPD was, yes, that the gas
12 14:31:03 should be physically taken from the entry point till
13 14:31:06 the exit point.
14 14:31:07 Q But isn't it the case that in all pipeline systems and
15 14:31:14 at least the one in Europe, if you want to have
16 14:31:19 a physical transportation from point A to B, this is
17 14:31:24 actually impossible, because the gas is not coloured
18 14:31:28 when you inject it into the system and then when you
19 14:31:31 take it out, you take the same molecules; it's not how
20 14:31:35 it works, right?
21 14:31:38 A You need to have different understanding between the
22 14:31:44 flexibility which TSO has on the primary market, and
23 14:31:47 the commercial agreements which we had with the PPD in
24 14:31:51 the non-regulated secondary market contract. That was
25 14:31:55 the commercial deal.

01 14:31:56 If the distinguished tribunal will allow me,
02 14:31:59 I maybe make some kind of another example from the
03 14:32:04 real life, yeah?
04 14:32:06 Q Mr Mazilov, you're not answering my question. I just
05 14:32:08 would like to understand --
06 14:32:10 **MS SOLDATENKOVA:** Can you please let the witness finish?
07 14:32:12 **MR HAUGENEDER:** No, sorry, let me -- this is my witness.
08 14:32:13 Please, I think my questions are quite clear.
09 14:32:16 A No, I will answer, no problem.
10 14:32:18 Q Please listen to the question again, yeah?
11 14:32:21 I just would like to understand your technical
12 14:32:28 understanding, and I would like you to either confirm
13 14:32:32 or deny it.
14 14:32:33 Do you agree that it is not possible in a gas
15 14:32:42 pipeline system to physically know which molecules
16 14:32:47 were injected and which are taken out; they are all
17 14:32:51 mixed together in the system? And now please answer
18 14:32:55 "yes" or "no."
19 14:32:56 A Yes. Yes.
20 14:32:59 **PRESIDENT:** Yes, you agree with the statement?
21 14:33:00 A I agree with this statement. Of course, they are
22 14:33:03 commingled.
23 14:33:05 **MR HAUGENEDER:** And so when -- I see that you have
24 14:33:15 a different understanding, but it is actually
25 14:33:22 technically not possible to have a physical

01 14:33:27 transportation of gas in the plain meaning of that
02 14:33:32 word; correct?
03 14:33:35 A You can ask me even the fifth time the same question,
04 14:33:39 but the answer would be still the same.
05 14:33:41 So from professional point of view of the gas
06 14:33:44 business --
07 14:33:44 Q No, I asked you, please --
08 14:33:44 A -- it works likes this --
09 14:33:45 **MR TALANOV:** Please let the witness finish.
10 14:33:46 **PRESIDENT:** No, just wait a minute. Wait a minute, wait
11 14:33:49 a minute.
12 14:33:50 A No, that's --
13 14:33:50 **PRESIDENT:** You will have the opportunity to ask the
14 14:33:53 question again in redirect. But if he wants to ask
15 14:33:56 the question again and again, I will -- we will allow
16 14:34:00 the question.
17 14:34:00 But let's try to -- ask the question again,
18 14:34:07 please, and try to answer "yes" or "no", and then you
19 14:34:11 may add what you want to add.
20 14:34:13 A Okay.
21 14:34:14 **PRESIDENT:** Okay? Don't comment on your prior question.
22 14:34:16 A Okay.
23 14:34:16 **PRESIDENT:** Just take this question as if it was the
24 14:34:19 first time you heard it and answer "yes" or "no", and
25 14:34:23 then add what you wish to add.

01 14:34:24 A Okay.

02 14:34:25 **PRESIDENT:** Okay?

03 14:34:25 A I will do so.

04 14:34:26 **MR HAUGENEDER:** So in the plain meaning of the term

05 14:34:33 "physical", it is not possible in a pipeline system to

06 14:34:38 have physical transportation. Do you agree with me on

07 14:34:42 that statement?

08 14:34:43 A With such question? Not. Of course not. It's

09 14:34:47 definitely another form of question, not like it was

10 14:34:49 before.

11 14:34:49 Of course, TSO is performing physical

12 14:34:54 transportation. They have certain possibilities of

13 14:34:57 optimisation. They are changing molecules in the

14 14:34:59 system, of course, they can redirect certain volumes.

15 14:35:02 But of course the pipelines are full of gas and the

16 14:35:06 gas is flowing and there is a pipeline, existing metal

17 14:35:10 pipeline from one border to another.

18 14:35:13 So the gas is flowing and molecules are flowing

19 14:35:16 and physical transportation is performed, of course.

20 14:35:20 Q I would like you to look at an example, and it's just

21 14:35:29 a hypothetical example.

22 14:35:31 You have somebody who sells 150 megawatt hours of

23 14:35:49 gas from Austria to Italy and the other sells 50 from

24 14:35:54 Italy to Austria; right?

25 14:35:57 A Yes.

01 14:35:58 Q And each of them also engage a transporter. So the
02 14:36:08 gas should be shipped to their respective destination
03 14:36:13 points, one is in Italy and the other is in Austria.
04 14:36:17 So 150 have to be shipped from Austria to Italy and
05 14:36:24 then 50 from Italy to Austria.
06 14:36:27 Do you follow that example?
07 14:36:30 A Yes.
08 14:36:33 Q Now, do you agree with me that in the actual reality,
09 14:36:43 you will not have 150 that go from Austria to Italy,
10 14:36:50 and then the 50 going back from Italy to Austria; you
11 14:36:56 will have only 100 from Austria to Italy, right?
12 14:37:02 A I disagree. It depends on the circumstances. In some
13 14:37:07 pipelines, there are bidirectional flows and physical
14 14:37:10 flow in both directions, and the volumes will go.
15 14:37:12 In some volumes TSO can make netting, but it's --
16 14:37:16 again, I would like to underline, it's a primary
17 14:37:19 market. TSO, regulator TSO, they can do certain
18 14:37:24 optimisation. And I understand what they are talking
19 14:37:26 about, that previously it was point-to-point system.
20 14:37:27 Now it became entry and exit system. So there is
21 14:37:33 a certain flexibility for the operator to do
22 14:37:36 optimisation within the system.
23 14:37:37 We are talking about secondary market contracts.
24 14:37:41 So basically it's two commercial entities agreed about
25 14:37:45 the concrete terms of performance of their deal.

01 14:37:48 For us, it was incredibly important to secure the
02 14:37:53 supply --
03 14:37:53 Q Sorry to interrupt --
04 14:37:54 A So that's why we have agreed about such terms.
05 14:37:57 Q My example was purely hypothetical and not about the
06 14:38:01 contract here.
07 14:38:01 In my example, would you not agree that no
08 14:38:12 rational gas shipper would ship 150 from Austria to
09 14:38:19 Italy, and then 50 back from Italy to Austria? You
10 14:38:25 would only ship 100 from Austria to Italy. That's
11 14:38:32 what any rational pipeline operator would do, right?
12 14:38:37 A No, it depends on what kind of services have been
13 14:38:42 bought at this particular point.
14 14:38:46 In most of the cases on the borders of the Europe,
15 14:38:48 TSOs are proposing. When there is a direct flow, they
16 14:38:53 are selling firm capacities, firm transportation
17 14:38:57 capacities for the physical transportation. They are
18 14:38:59 more expensive. And some kind of, let's call it
19 14:39:02 virtual backhaul, there are different names in
20 14:39:06 different countries, but that's another type of
21 14:39:09 product. And the gas, when it flows to the other
22 14:39:12 direction, the client is paying to the TSO
23 14:39:16 significantly less, yeah? Because he receives
24 14:39:20 interruptible virtual product. It's explicitly stated
25 14:39:23 in his contract.

01 14:39:24 And in such case, when on one side is both the
02 14:39:28 physical flow, on the other side virtual flow, of
03 14:39:31 course, TSO is making such kind of netting and only
04 14:39:36 physically transports that part of the gas which is
05 14:39:38 needed to be transported. The rest is netted on
06 14:39:42 paper.
07 14:39:42 But it's explicitly stated in the contract that
08 14:39:47 corresponding shippers are buying this kind of
09 14:39:50 services. They know it.
10 14:39:51 And for example, in the absence of physical flow,
11 14:39:56 the virtual flow will not happen at all. So the
12 14:40:01 client will not be able to transport, if suddenly the
13 14:40:05 pipeline, which goes in one direction, and the client
14 14:40:07 bought this virtual services in the other direction.
15 14:40:10 He knows, according to the contract, that in case
16 14:40:13 nomination for physical flow will be zero, his
17 14:40:16 nomination will also not be fulfilled.
18 14:40:19 So it's the service he is buying. He knows it
19 14:40:22 from the very beginning.
20 14:40:24 So you need to -- it's hard to discuss in gas
21 14:40:29 business hypothetical examples. You need to be
22 14:40:32 professional and need to know in each delivery point
23 14:40:34 and each border, different TSO. They have different
24 14:40:37 types of product, different regulations.
25 14:40:40 We know it because we work, we used to work in

01 14:40:42 most of the countries in Europe, and my team was
02 14:40:45 responsible for most of the border points we were
03 14:40:49 using.
04 14:40:49 So in such case, I, from the very beginning, know
05 14:40:54 what kind of services I'm buying, whether it's virtual
06 14:40:57 or physical. Because for me, it's important to make
07 14:41:00 sure that the gas will reach its destination.
08 14:41:04 Q Mr Mazilov, don't you agree that in Europe, there is
09 14:41:13 an entry/exit system in the pipelines? You don't
10 14:41:19 have -- it is not --
11 14:41:20 A Yes, yes.
12 14:41:21 Q So it is not allowed actually to ask for physical
13 14:41:28 transportation as long as the gas is made available at
14 14:41:31 the exit point.
15 14:41:33 A On the primary market, yes, you're just buying
16 14:41:36 entry/exit. On the secondary market, simple
17 14:41:40 commercial deals, you can agree whatever you want.
18 14:41:43 It's the goodwill of the parties to put into the
19 14:41:48 contract exact terms and conditions they consider
20 14:41:53 necessary, and no such limitations.
21 14:41:57 Q And actually the service that the gas shipper performs
22 14:42:05 is he makes gas available. That's the service that
23 14:42:09 you provide. And as long as there is certainty that
24 14:42:13 the gas will be available, the customer doesn't care
25 14:42:17 which molecules flow in the pipeline, right?

01 14:42:21 A No. Because when it's connected with the -- our
02 14:42:27 contract foresees that the gas should be made
03 14:42:30 available at the exit point, after the performance of
04 14:42:34 physical transportation from the exit point, by usage
05 14:42:38 of firm capacities. It's explicitly stated.
06 14:42:40 The difference is significant. Yes, I care, yeah,
07 14:42:44 because I have an obligation in the delivery point.
08 14:42:47 We in our company, we are ready to overpay for the
09 14:42:55 firm and more expensive services, but to make sure
10 14:42:59 that our possibility to fulfil obligations under the
11 14:43:04 sales contracts will be guaranteed, yeah?
12 14:43:06 We are not using this virtual services for the
13 14:43:12 supply under the long-term supply contract, yeah?
14 14:43:15 Because it's nonsense, it's absolutely unsecured
15 14:43:21 activity.
16 14:43:21 I can give you even like example because it's --
17 14:43:24 we have 50 years of experience and basically all the
18 14:43:28 strategies, they are based on some kind of learned
19 14:43:31 lessons, yeah? And I will just show you the --
20 14:43:36 Q Sorry --
21 14:43:36 A If you allow me --
22 14:43:36 Q Please, answer the question. Answer the questions,
23 14:43:38 and don't elaborate on things that were not asked.
24 14:43:43 Your customer in this -- I mean, the Gazprom
25 14:43:49 Export's customer in this relationship was PPD, right?

01 14:43:56 A Yes.

02 14:43:57 Q And gas was always made available to PPD at the exit

03 14:44:06 point, right? The virtual trading point Croatia,

04 14:44:10 right?

05 14:44:13 A Now we see that at least on paper, yes.

06 14:44:18 Q I would like you to look at a correspondence to which

07 14:44:29 you refer in your witness statement.

08 14:44:34 A Can you please give it to me?

09 14:44:36 Q Yes, sure.

10 14:44:36 A I don't have it in front of me.

11 14:44:39 Q There is a letter from Gazprom Export dated

12 14:44:48 17 April 2018. That's exhibit {R-219}, and you will

13 14:44:51 be given a hard copy as well.

14 14:45:09 A Yes, I know this letter.

15 14:45:12 Q And I would just like you to look at the same time at

16 14:45:19 paragraph 26 of your witness statement.

17 14:45:24 You complain here that PPD -- you became aware at

18 14:45:42 that time that PPD had not actually performed the

19 14:45:47 shipping services, right?

20 14:45:48 A Yes.

21 14:45:50 Q And that's the letter all along that you refer to in

22 14:45:56 your witness statement, right?

23 14:45:58 A No, I have some other letters referred to as well,

24 14:46:00 I think. That was not the only one.

25 14:46:04 Q Let's go through that letter.

01 14:46:09 Essentially, you complain here that PPD had not
02 14:46:20 booked the full capacities to ship the volumes
03 14:46:29 stipulated under the gas supply contract through
04 14:46:40 Croatia -- through Hungary, sorry.
05 14:46:44 A And Croatia. Yes, correct.
06 14:46:47 Q So basically, you discovered here that according to
07 14:46:57 your understanding at the time, PPD had not performed
08 14:47:04 its transportation services under the GTA. Is that
09 14:47:08 right?
10 14:47:09 A Right.
11 14:47:11 Q And then very shortly after that, there is another
12 14:47:19 letter -- this time by Mr Averkin -- where he
13 14:47:26 complains about the same issue, right? And that is
14 14:47:30 exhibit {R-220}. That's a letter dated 19 April 2018,
15 14:47:36 right?
16 14:47:36 A Right.
17 14:47:45 Q Now, there was an answer from PPD, right?
18 14:47:50 A Right.
19 14:47:55 Q And I would like you to look at that answer carefully.
20 14:48:02 That is exhibit {R-221}. It's dated 3 May 2018. You
21 14:48:23 have that in front of you?
22 14:48:25 A Yes.
23 14:48:28 **Q And in the second paragraph, PPD says:**
24 14:48:33 "According to our Gas Transportation Agreement ...
25 14:48:38 dated 29.09.2017 we are obliged to take gas for

01 14:48:46 transportation on Bregovo and deliver it to VTT

02 14:48:52 Croatia. For this reason PPD has booked capacities

03 14:48:56 through Hungary and Austria and Slovenia on flat

04 14:49:00 annual, monthly and daily basis. For flexibility and

05 14:49:06 optimisation reasons we also concluded several

06 14:49:11 location swap contract and also delivered gas ...

07 14:49:16 through Austrian/Slovenian route to avoid congestion

08 14:49:21 and overbooking of Hungarian/Croatian border during

09 14:49:25 period of peak consumption.

10 14:49:26 "PPD also concluded agreements for swap and

11 14:49:32 flexibility in order to insure additional storage

12 14:49:36 capacity from UGS Okoli from secondary market."

13 14:49:40 You see that?

14 14:49:42 A I see.

15 14:49:47 Q And then if you turn to the next page, second

16 14:49:54 **paragraph. It says:**

17 14:49:58 "That means that PPD made available the imported

18 14:50:02 volume on VTT for GPE, moreover this volume was bought

19 14:50:07 and fully paid by PPD. Total delivery from GPE in Q4

20 14:50:16 2017 and Q1 2018 was on the level of 12.46 [terawatt

21 14:50:22 hours].

22 14:50:22 "As an evidence that PPD perform transportation

23 14:50:27 service according to the terms of the GTA between PPD

24 14:50:31 and GPE dated [29 September 2017], please find

25 14:50:37 attached data from Croatia TSO ..."

01 14:50:39 And so forth.

02 14:50:40 Now, Mr Mazilov, that was the answer from PPD in

03 14:50:58 which they clearly said they were performing swaps,

04 14:51:03 right?

05 14:51:05 A Yes.

06 14:51:10 Q And swap, just to be clear, is not physical

07 14:51:16 transportation, in your understanding; right?

08 14:51:18 A In everybody's understanding, yes.

09 14:51:24 Q But then, Mr Mazilov, there isn't any answer to that

10 14:51:34 letter from GPE, right?

11 14:51:38 A Right.

12 14:51:40 Q So you complained about the lack of booking of

13 14:51:50 **capacity. PPD answered and said:** we are performing

14 14:51:55 swaps to fulfil our obligations under the gas

15 14:52:02 transportation agreement. And then there was silence

16 14:52:05 from your side, right?

17 14:52:09 A Yes. We have not answered this letter.

18 14:52:13 Q Now, after that explanation, you have concluded

19 14:52:25 several gas transportation agreements, which are in

20 14:52:33 essence identical to the first one, right?

21 14:52:38 A Right.

22 14:52:41 Q And the terms of this gas transportation agreement

23 14:52:51 remained, at least in the essential parts, identical,

24 14:52:54 right?

25 14:52:56 A Right. We were insisting on physical transportation.

01 14:53:00 Absolutely correct.

02 14:53:01 Q But had you not been satisfied with the answer of PPD,

03 14:53:09 should you not have inserted language that clarified

04 14:53:14 that point, if you were unhappy with the situation?

05 14:53:17 A Which one? Three times "physical" or what? How it

06 14:53:20 will help?

07 14:53:20 **Q They said:** we're performing swaps. You said nothing

08 14:53:25 and you continued to conclude the same agreement again

09 14:53:31 and again.

10 14:53:32 Is it not reasonable to assume for PPD that you

11 14:53:37 were happy, you accepted their explanation of how they

12 14:53:41 performed the services?

13 14:53:44 A No, because in the absence of official answer, we've

14 14:53:48 continued heavily discussion. Like negotiations, we

15 14:53:53 continue to insist that it should be physical. In all

16 14:53:55 other contracts, we were including physical.

17 14:53:58 And during that period of time, we had reasonable

18 14:54:03 expectation that our partner will finally start to

19 14:54:06 behave normally, yeah?

20 14:54:07 But it's very good that you have put this

21 14:54:10 letter --

22 14:54:10 Q Sorry, let me --

23 14:54:10 A Just maybe if tribunal will allow --

24 14:54:14 Q Let me ask the questions, please.

25 14:54:14 A -- just one small remark which shows the attitude --

01 14:54:18 **PRESIDENT:** I think --

02 14:54:19 A Because as far as we understand --

03 14:54:20 **PRESIDENT:** Sir --

04 14:54:22 **MR HAUGENEDER:** I did not ask you to comment on the

05 14:54:24 attitude. Please answer the questions.

06 14:54:27 **PRESIDENT:** Your counsel will have the opportunity in

07 14:54:30 redirect to ask you the question and you will be able

08 14:54:33 to answer.

09 14:54:34 A Okay. Okay.

10 14:54:35 **PRESIDENT:** But please, let's follow the flow of

11 14:54:38 questions from counsel.

12 14:54:40 **MR HAUGENEDER:** Let's go again back to PPD's answer.

13 14:54:44 That's exhibit {R-221}.

14 14:54:46 And if you look at top, that letter is addressed

15 14:54:59 to Mr Averkin, right?

16 14:55:00 A Right.

17 14:55:00 Q And he was the one who had complained about the

18 14:55:10 absence of capacity booking, right?

19 14:55:14 A I think everybody in Gazprom Export complained about

20 14:55:17 the absence of physical.

21 14:55:19 Q But then that was the official answer, right, that you

22 14:55:23 said?

23 14:55:24 A He is one of the top management of Gazprom Export. So

24 14:55:28 that's normal that they are writing to him. He's

25 14:55:30 responsible for sales and logistics activity as well.

01 14:55:37 Q So would you agree with me that this is an official
02 14:55:39 answer?
03 14:55:40 A Yes, it's official answer, of course.
04 14:55:46 Q And just to go through that, the initial Gazprom
05 14:55:55 transportation agreement was concluded in
06 14:56:02 September 2017, right?
07 14:56:04 A Right.
08 14:56:07 Q And that is exhibit {C-81}. And that was the
09 14:56:27 agreement about which Mr Averkin had complained in
10 14:56:40 April 2018, right?
11 14:56:42 A Right.
12 14:56:42 Q And then another agreement was concluded on
13 14:56:55 7 August 2019, right?
14 14:56:58 A I don't remember exact dates, but, yes.
15 14:57:01 Q Roughly, the month?
16 14:57:01 A Roughly, yes.
17 14:57:04 Q And you confirm that was concluded?
18 14:57:08 A Just for the sake of clarity, can you put -- this one,
19 14:57:13 you mean? From which --
20 14:57:14 Q You can have it. It is exhibit {C-84}.
21 14:57:20 A I have 81.
22 14:57:21 Q Exhibit 84. You will get the other one.
23 14:57:23 So it is --
24 14:57:35 A I don't --
25 14:57:36 Q Sorry, 7 July -- I misread -- 2019.

01 14:57:39 A Please be more precise with dates.

02 14:57:45 Q {C-84}.

03 14:57:47 A To the extent it's signed, then yes, it's concluded.

04 14:57:51 **MR TALANOV:** Is there a physical version available?

05 14:57:54 **MR HAUGENEDER:** Sorry?

06 14:57:54 **MR TALANOV:** Is there a hand --

07 14:57:55 **MR HAUGENEDER:** Yes, we're looking for that.

08 14:57:57 **MR TALANOV:** Thank you.

09 14:58:05 A Yes, I see it's signed. Yes, it's concluded.

10 14:58:11 **MR HAUGENEDER:** And then there were numerous amendments

11 14:58:18 included. They are exhibit {C-02}. I'd like you to

12 14:58:26 look at them briefly.

13 14:58:27 Sorry, to the GTA, the gas transportation

14 14:58:40 agreement.

15 14:58:46 A Where should I look? I'm a bit puzzled.

16 14:58:48 Q {C-82}. Sorry.

17 14:58:58 A Yes, amendments to the GTA, yes.

18 14:59:07 Q So there is an amendment 1, 2, 3, 4, 5, 6. And then

19 14:59:23 there is another. Then there are other amendments

20 14:59:27 that are not numbered.

21 14:59:32 A Yes, I see this document.

22 14:59:36 Q Is it correct that these amendments were concluded up

23 14:59:46 until February 2022, correct?

24 14:59:51 A No, it's amendment of March '22.

25 15:00:01 Q I think the last one is February 2022, it seems.

01 15:00:07 **PRESIDENT:** I see March.

02 15:00:11 A Probably it's without any dates.

03 15:00:13 **MR HAUGENEDER:** Sorry, there's March. I'm sorry,

04 15:00:13 I misread.

05 15:00:21 A Yes, I see it. Yes, I confirm, I see it. 1 March.

06 15:00:26 Q And during all these numerous conclusions of the

07 15:00:35 amendments, Gazprom Export never requested any

08 15:00:46 clarification of which services had to be performed by

09 15:00:53 PPD. Is that right?

10 15:00:55 A Right. There is no need. It's quite clear.

11 15:01:00 Q But was it not reasonable for them to assume they

12 15:01:06 **provided in 2018 the explanation:** we are also making

13 15:01:15 swaps? There is no complaint from you and you

14 15:01:19 continue concluding amendments. Isn't it not

15 15:01:23 a reasonable conclusion from their perspective that

16 15:01:29 they have performed the contract?

17 15:01:34 A Absolutely not, because we continued in a new contract

18 15:01:36 to put again and again that it should be physical.

19 15:01:40 We were misled by our counterpart because they

20 15:01:45 **were telling us:** we will perform the contract,

21 15:01:48 everything will be in line with the contract. But

22 15:01:51 continued to be in breach.

23 15:01:53 And even the letter which you've showed, they are

24 15:01:57 **writing to us, it's explicitly their letter that:** we

25 15:02:01 are booking annual, monthly and other firm capacities

01 15:02:05 from the TSO.

02 15:02:06 It's written in their letter, which you've just

03 15:02:08 shown.

04 15:02:08 And in their evidences we finally found out that

05 15:02:12 there was no any single bookings made by PPD. And

06 15:02:18 they are writing -- their economic expert is writing

07 15:02:21 **that:** I was instructed there was no booking, only swap

08 15:02:25 agreements.

09 15:02:25 But in the letter, they are always telling us,

10 15:02:29 **they were always:** yes, we will book the capacities.

11 15:02:32 What shall we do? We were trying to believe to

12 15:02:35 our partner. It was long-term relationships. How can

13 15:02:39 you assume?

14 15:02:39 But in case the partner would like to be in

15 15:02:41 breach, you can write three times "physical" and

16 15:02:43 everything, they will continue to be in breach of the

17 15:02:47 contract in case it's their primary target, as we find

18 15:02:51 out from the evidences.

19 15:02:53 **PRESIDENT:** This is on my time.

20 15:02:53 The letter you're mentioning is the letter of

21 15:02:58 3 May 2018?

22 15:03:01 A Yes.

23 15:03:03 **PRESIDENT:** So this is the letter you wanted to add

24 15:03:05 something about?

25 15:03:06 A Yes, yes, I just wanted to show that it --

01 15:03:06 **PRESIDENT:** You wanted to point something out. So maybe
02 15:03:08 at this point on the tribunal's time, let's go back to
03 15:03:11 this letter because you're addressing it.
04 15:03:14 So it's {R-221}.
05 15:03:25 A It's {R-221}, yeah.
06 15:03:29 **PRESIDENT:** So I still see the tab, yes.
07 15:03:32 A No, not this one. This one.
08 15:03:34 In the second paragraph, third line of the second
09 15:03:40 paragraph, they're telling to us that they're booking
10 15:03:43 capacities, "booked capacities on flat annual, monthly
11 15:03:47 and daily basis".
12 15:03:48 "Flat", so it means firm capacities, everything.
13 15:03:52 But in their case, in their explanation, in
14 15:03:56 evidences of Ms Ivancic, in their expert, they're
15 15:03:59 telling that there was no any spendings, only some
16 15:04:03 kind of swap, parent company guarantee spendings or
17 15:04:08 something.
18 15:04:08 **PRESIDENT:** So to your understanding, that wording:
19 15:04:11 "For this reason PPD has booked capacity through
20 15:04:14 Hungary [et cetera] on flat annual, monthly and daily
21 15:04:18 basis."
22 15:04:18 This means there was physical?
23 15:04:20 A At least partially. Here they are telling that
24 15:04:23 partially they were performing. The same they were
25 15:04:26 **always telling to us that:** yes, we are doing certain

01 15:04:29 optimisation. But the main part is of course it's
02 15:04:32 **based on the physical booking:** we can't show you the
03 15:04:35 agreement -- yeah, because it's the last sentence of
04 15:04:37 **the first paragraph:** sorry, everything is
05 15:04:42 confidential, but please believe us.
06 15:04:43 So we didn't have some kind of -- because
07 15:04:47 relationships was incredibly good with this partner
08 15:04:50 during that time. And when the partner is telling to
09 15:04:52 **you:** of course I understood your concerns, we will now
10 15:04:58 start making everything in line with the contract --
11 15:05:00 yeah?
12 15:05:01 So but we've continued to insist and you see by --
13 15:05:05 it's included into the files that were -- it was
14 15:05:08 a direct lie from their side that there were no any
15 15:05:13 single bookings. They were always misleading us.
16 15:05:16 **PRESIDENT:** We understand your testimony on this point.
17 15:05:18 Back to you.
18 15:05:21 **MR HAUGENEDER:** Yes.
19 15:05:21 A Thank you.
20 15:05:21 **MR HAUGENEDER:** Mr Mazilov, is your testimony -- and
21 15:05:23 please now be careful.
22 15:05:25 Is your testimony that PPD had, throughout the
23 15:05:34 lifetime of the gas supply contract, not booked
24 15:05:38 capacity? Is that your testimony?
25 15:05:42 A That's not what I've said. I've said that in the

01 15:05:45 files, in Ms Ivancic and Mr Way, they are basing the
02 15:05:48 whole idea that there were no --
03 15:05:50 Q Please, listen to my question.
04 15:05:51 A -- bookings.
05 15:05:51 Q I'm repeating the question. I want a clear answer on
06 15:05:56 that, please.
07 15:05:57 Is it your testimony that PPD had, throughout the
08 15:06:03 lifetime of the gas supply contract, not booked
09 15:06:07 capacity? Is that your testimony; "yes" or "no"?
10 15:06:10 A No.
11 15:06:10 Q That means PPD had booked capacity, right? "Yes" or
12 15:06:18 "no"? I'm not asking you about the amount; that will
13 15:06:21 come.
14 15:06:22 A I don't know any evidences because I was requested --
15 15:06:26 **I was requesting, and the answer was:** we will not
16 15:06:30 provide you evidences.
17 15:06:31 Without evidences, for me, professionally
18 15:06:34 speaking, it's hard to make such statements whether
19 15:06:37 they had any capacities, whatever, in some country or
20 15:06:41 not. I don't know. The partner has not provided to
21 15:06:44 us any confirmation or evidences.
22 15:06:48 Q But, Mr Mazilov, is it not the case that you could see
23 15:06:51 those capacity bookings from publicly available data?
24 15:06:54 A No.
25 15:06:55 Q That was the -- sorry, that was the reason why you

01 15:06:59 initially complained, right?

02 15:07:00 **PRESIDENT:** Wait, wait --

03 15:07:02 A You've requested to me. No. I will help you to

04 15:07:04 understand how it works.

05 15:07:05 You see, the overall capacities are booked in

06 15:07:08 certain delivery points, but you don't see who booked

07 15:07:11 these capacities. I don't know whether it's PPD or

08 15:07:14 some other, 10 of other companies are active in the

09 15:07:17 same delivery point. It's not possible to understand

10 15:07:21 it from the public information.

11 15:07:30 Q You agree with me that when PPD says here it performed

12 15:07:39 swaps to make the gas available, then this is gas that

13 15:07:45 will not be physically transported, right?

14 15:07:49 A I agree with such statement.

15 15:07:52 Q And so if the gas was made available, it was not

16 15:07:55 physically transported, according to you, that is

17 15:07:58 a breach of contract, right?

18 15:08:01 A Yes.

19 15:08:02 Q And after you discovered this -- and I understand you

20 15:08:09 discovered that in April 2018 -- there is no letter,

21 15:08:16 there is no communication, nothing, that says you have

22 15:08:21 breached the contract, right?

23 15:08:24 A No. As I've already told, there is no official

24 15:08:27 letters, but we've continued to be in such

25 15:08:30 communication during the meetings, negotiations. We

01 15:08:32 continued to insist that they need to book the
02 15:08:35 capacities.
03 15:08:37 Q But we don't have that communication on record, right?
04 15:08:42 A I believe not. How? From the personal meetings? We
05 15:08:49 are not we were not making protocols or whatsoever,
06 15:08:51 but still we were insisting on implementation of the
07 15:08:55 contract.
08 15:08:57 Q Mr Mazilov, you have just before, highlighted the
09 15:09:02 importance of an official communication.
10 15:09:04 If you were of the opinion that there was a breach
11 15:09:07 of contract, would you not agree with me it would be
12 15:09:13 normal from your side to make an official
13 15:09:19 communication?
14 15:09:20 A We've made it. And you've already showed two letters
15 15:09:23 from us on the screen to everybody.
16 15:09:25 **Q But then they answered, and they said:** we are
17 15:09:28 performing swaps, at least partially.
18 15:09:30 And then you said -- you discovered at the time
19 15:09:34 you were misled, but you're not saying anything to
20 15:09:39 them over the next years.
21 15:09:41 A We were signing new contracts, putting again and again
22 15:09:44 that it should be physical.
23 15:09:46 **Q There is no communication in 2018 in which you say:** we
24 15:09:52 believe you're breaching the contract, this cannot
25 15:09:55 continue.

01 15:09:57 A But there is nothing in communication that shows that
02 15:10:00 we have agreed with this. We were always telling
03 15:10:04 **them:** please fulfil the contract.
04 15:10:07 For us, it was important.
05 15:10:09 Q Would you not agree with me if you write them a letter
06 15:10:14 asking them for an explanation, they give you the
07 15:10:19 **explanation. They say:** we are performing swaps. And
08 15:10:24 then there is no follow up from your side.
09 15:10:26 The reasonable conclusion from PPD is that you are
10 15:10:34 satisfied with the explanation, right?
11 15:10:37 A No. Because there was a communication. We were in
12 15:10:41 a tight contact with Ms Ivancic, who we've described
13 15:10:44 was always repeating and repeating that they need to
14 15:10:47 book the capacities.
15 15:10:48 But what should we do in such situation?
16 15:10:54 So basically, there are no direct losses. That's
17 15:10:58 why in such, in this, we're not claiming for
18 15:11:02 compensation of certain damages or whatsoever.
19 15:11:05 The contract, from our side, was structured in
20 15:11:12 such a way that, for example, we are supplying the gas
21 15:11:14 to PPD. And in case of their breach -- and there
22 15:11:17 could be easily a breach of this contract, because
23 15:11:20 virtual transportation is something hypothetical and
24 15:11:23 absolutely unstable.
25 15:11:24 Today the LNG is coming. Tomorrow it's not

01 15:11:28 coming. You are responsible for a lot of parties
02 15:11:33 involved with these swap deals. So basically it's
03 15:11:36 something very unsecured.
04 15:11:37 But at the same time, the contract foresee, for
05 15:11:40 example, in case we would be because of their
06 15:11:43 nonperformance under the GTA contract, we would be for
07 15:11:48 nonperformance under the sales contract. And we
08 15:11:50 would -- to the extent it's the same client, yes.
09 15:11:53 So basically, we had a contract possibility to
10 15:11:57 then, pass on them their own complaints under the
11 15:12:04 sales contract for nonperformance.
12 15:12:06 And by the way, in our GTA contract, I remember --
13 15:12:10 I don't remember, like, 9.3 clause or something
14 15:12:14 concerning liability, in case there is no limitation
15 15:12:17 of liability. Yes?
16 15:12:18 So under the GTA, they would be limited to the
17 15:12:21 full extent in front of us.
18 15:12:23 So in such case, for the benefit of the bigger
19 15:12:27 deal, yeah? It was not enough to start some kind of,
20 15:12:32 I don't know, dispute proceedings or whatsoever,
21 15:12:35 because at least we were secured there. So we've seen
22 15:12:38 their implementation.
23 15:12:38 We've continued to insist for them to be in line
24 15:12:41 with the contract. But at least we were partially
25 15:12:45 secured on liability clause. In case the same

01 15:12:48 happened, for example, when I have GTA like this, but
02 15:12:53 I'm supplying to the third party. So outside of the
03 15:12:56 deal.
04 15:12:56 Of course my behaviour could be for breach of such
05 15:13:00 GTA absolutely different, yeah? Because I would be in
06 15:13:05 big danger for non-supplying of gas to the third party
07 15:13:08 on this basis.
08 15:13:09 And of course, it's a good reason to start,
09 15:13:13 I don't know, core disputes or other.
10 15:13:14 In this particular deal, it was not enough, yeah?
11 15:13:19 Because we were thinking about good partnership and
12 15:13:25 they were always telling us that they will continue to
13 15:13:27 behave normally. We believe them at that period
14 15:13:32 of time. So that's why.
15 15:13:36 We haven't made any, like, legal actions,
16 15:13:42 additional legal actions in these directions. But you
17 15:13:46 see that our position was unchanged from each
18 15:13:49 addendum. We were insisting that it should be
19 15:13:52 physical without any changes, and have never, ever
20 15:13:55 accepted that it should be done through the swap
21 15:13:59 agreements, because it shifts the balance of the whole
22 15:14:03 deal, yeah?
23 15:14:03 It was not foreseen that GTA should be the
24 15:14:06 contract they will be earning money off. It was just
25 15:14:10 a logistical solution --

01 15:14:13 Q I've listened now very long. Please. I would ask you
02 15:14:19 to answer questions.
03 15:14:20 Have I understood correctly that your concern
04 15:14:26 about all this was that PPD would claim against you
05 15:14:38 that Gazprom Export is not fulfilling its obligations
06 15:14:45 under the gas supply contract? Is that your testimony
07 15:14:49 here, that that was your concern about the gas
08 15:14:52 transportation agreement?
09 15:14:56 A You need to rephrase the question, because I believe
10 15:14:59 that you are phrasing it wrongly.
11 15:15:02 **PRESIDENT:** No --
12 15:15:02 **MR HAUGENEDER:** Let me please phrase my question --
13 15:15:06 **PRESIDENT:** This is the question.
14 15:15:06 **WITNESS:** No, no, no --
15 15:15:06 **PRESIDENT:** You get the question counsel puts to you, and
16 15:15:10 he gets the answer you give him. But you don't get to
17 15:15:13 change the question.
18 15:15:14 **WITNESS:** No, but I did have concerns --
19 15:15:16 **PRESIDENT:** Sir, you may say: if I understand the
20 15:15:19 question as being this. But not to ask counsel to
21 15:15:23 change the question. Sorry.
22 15:15:26 **MR HAUGENEDER:** Mr Mazilov --
23 15:15:26 **WITNESS:** Sorry. I'm not a professional evidence
24 15:15:30 provider --
25 15:15:30 **PRESIDENT:** No, I see that.

01 15:15:32 **WITNESS:** So I'm trying just to be honest and
02 15:15:35 transparent, to the extent possible.
03 15:15:37 **PRESIDENT:** And we're giving you the guidelines.
04 15:15:38 **WITNESS:** Thank you. Thank you so much. Sorry for not
05 15:15:41 being in line with this.
06 15:15:42 **PRESIDENT:** So please ask the question again, counsel.
07 15:15:44 **MR HAUGENEDER:** Mr Mazilov, in this relationship, there
08 15:15:47 were only two parties involved, right?
09 15:15:49 A Yes.
10 15:15:51 Q So Gazprom Export was supplying the gas and PPD was
11 15:16:01 providing the shipping services on the last part of
12 15:16:08 the pipeline until the exit point, right?
13 15:16:13 A Yes.
14 15:16:17 Q So I think I understood you.
15 15:16:20 You said that your concern about the situation was
16 15:16:29 that PPD could complain to Gazprom, that Gazprom was
17 15:16:40 not complying with its delivery obligations under the
18 15:16:45 gas supply contract. Is that correct?
19 15:16:51 A Yes. In case of nonperformance of transportation
20 15:16:54 services, yes. I could be in breach under the sales
21 15:16:58 contract, yes.
22 15:16:59 Q Has there ever been a complaint by PPD that Gazprom
23 15:17:07 has not fulfilled its delivery obligations because PPD
24 15:17:17 failed to ship the contractual quantities of gas? Has
25 15:17:21 there ever been such a complaint?

01 15:17:25 A To the best of my knowledge, I don't recollect such
02 15:17:29 complaints. Luckily, everything continued to be
03 15:17:34 smoothly.
04 15:17:37 **MR HAUGENEDER:** Thank you.
05 15:17:37 Ms Lim will continue from now.
06 15:17:49 Cross-examination by MS LIM
07 15:17:49 **MS LIM:** Let us continue.
08 15:17:51 Mr Mazilov, I would like to go to the very start
09 15:17:53 of your testimony.
10 15:17:54 Do you have your witness statement before you?
11 15:18:00 A I have so many papers in front of me.
12 15:18:02 Yes, yes I have.
13 15:18:03 Q You should see our table!
14 15:18:04 Apologies. Do you have it in front of you?
15 15:18:11 A I have it in front of me.
16 15:18:12 Q Thank you.
17 15:18:13 You mention at paragraph 1, that you held the
18 15:18:18 position of the head of gas logistics directorate at
19 15:18:21 Gazprom.
20 15:18:21 A It's paragraph 3, not 1.
21 15:18:25 Q At paragraph 1, second sentence.
22 15:18:28 A Okay.
23 15:18:29 Q Yes, we will get to paragraph 3. Yes.
24 15:18:32 You also mentioned that you started your career at
25 15:18:36 the logistics and gas storage department in 2005?

01 15:18:40 A Yes.

02 15:18:41 Q And now we are looking at paragraph --

03 15:18:41 A More than 20 years already, yes.

04 15:18:44 Q Now we are moving on to paragraph 3 of your witness

05 15:18:47 statement, fourth line.

06 15:18:48 Here you are describing your role as head of gas

07 15:18:53 logistics directorate. You say that you are

08 15:18:58 responsible for logistics of gas supply by GPE to

09 15:19:01 Europe?

10 15:19:01 A Yes.

11 15:19:03 Q Before 2022, Gazprom had many contracts to supply gas

12 15:19:08 to European buyers, yes?

13 15:19:10 A Yes.

14 15:19:11 Q So in your role as head of gas logistics directorate,

15 15:19:15 you would have handled the transportation of gas under

16 15:19:18 these European sales contracts, yes?

17 15:19:23 A Under transportation contracts, not sales. Yes.

18 15:19:27 Q The transportation of gas pursuant to these sales

19 15:19:30 contracts.

20 15:19:30 You would have handled the transportation element

21 15:19:37 pursuant to the sales of gas?

22 15:19:39 A Yes.

23 15:19:41 Q So this would require you to ensure that there was

24 15:19:44 sufficient transmission capacity for the gas to come

25 15:19:47 from Russia, through Europe, through the required

-
- 01 15:19:52 interconnection points, yes?
- 02 15:19:53 A Yes.
- 03 15:19:54 Q And this requires you to be aware of the maximum
- 04 15:19:59 volume of gas that could pass through these
- 05 15:20:02 interconnection points.
- 06 15:20:06 A In case I'm buying the capacities there, yes.
- 07 15:20:08 Q Yes. And this also requires you to be aware of the
- 08 15:20:12 actual capacities that has been booked to service
- 09 15:20:15 these contracts?
- 10 15:20:18 A Can you repeat the question?
- 11 15:20:19 Q Yes. So you just now confirmed that if you're using
- 12 15:20:22 an interconnection point, you would need to know what
- 13 15:20:25 is the maximum capacity available.
- 14 15:20:27 And so if you are using that interconnection
- 15 15:20:29 point, you would also know how much percentage of that
- 16 15:20:35 capacity you have booked, because you need that for
- 17 15:20:38 your contracts.
- 18 15:20:42 A Yes.
- 19 15:20:43 Q So I'm still looking at paragraph 3 of your witness
- 20 15:20:47 statement, but I'm now on the fifth line.
- 21 15:20:49 So on the fifth line, you specify that you manage
- 22 15:20:53 the transportation of gas supplies in Europe via the
- 23 15:20:56 routes used by GPE.
- 24 15:21:00 A Yes.
- 25 15:21:01 Q And you mention a few routes. There are a few
-

01 15:21:03 mentioned there.

02 15:21:03 **And you specifically mentioned:**

03 15:21:05 "... Turkstream and further through the

04 15:21:08 territories of the European countries)."

05 15:21:12 A Yes.

06 15:21:13 Q So can you confirm, therefore, that this also included

07 15:21:16 the transportation of gas to Hungary?

08 15:21:25 A Yes.

09 15:21:26 Q So you were aware for which contracts you would need

10 15:21:29 to get transportation capacity to Hungary, in order to

11 15:21:33 to satisfy Gazprom's obligations?

12 15:21:39 A Sorry? Again?

13 15:21:40 Q Yes, let me repeat.

14 15:21:41 So you confirm that you and your team, you were in

15 15:21:45 charge of handling transportation of gas to Hungary.

16 15:21:48 You earlier confirmed that this would require you to

17 15:21:51 understand how much of the available capacity has been

18 15:21:55 booked to service your contracts.

19 15:21:58 A Yes.

20 15:21:58 Q So putting those two ideas together, I wanted to

21 15:22:01 confirm that you are aware which contracts need to be

22 15:22:05 serviced through these Hungarian interconnection

23 15:22:07 points, and how much volume they would require booked.

24 15:22:12 A What do you mean those Hungarian interconnection

25 15:22:14 points?

01 15:22:15 Q Whichever Hungarian interconnection points were in use
02 15:22:18 at the relevant time. I'm not seeing any specific one
03 15:22:20 at this moment.
04 15:22:24 A I think I can state, yes, I had understanding of the
05 15:22:28 portfolio.
06 15:22:29 Q Now to be precise, I am talking about Kiskundorozsma 2
07 15:22:33 on the Serbia-Hungary border?
08 15:22:34 A And?
09 15:22:39 **Q And my earlier question applies:** are you aware of
10 15:22:42 which contracts were being serviced through this
11 15:22:46 interconnection point? And second part of the
12 15:22:48 **question:** what volumes were required?
13 15:22:54 A Yes, I think, yes.
14 15:22:58 Q Okay. I am going to show you the report of Gazprom's
15 15:23:02 quantum experts, FIDEM. This is FIDEM-2.
16 15:23:06 We'll bring that to you in just a moment. To put
17 15:23:13 on screen, we will be looking at paragraph 5.10.
18 15:23:28 I'm somewhere along the fourth line. It starts,
19 15:23:48 "Given that GPE booked ..." are you with me?
20 15:23:53 A I'm with you.
21 15:23:54 **Q So it refers to:**
22 15:23:56 "Given that GPE booked 90% of the capacities on
23 15:24:00 the entry capacity of the Kiskundorozsma
24 15:24:03 interconnection point ..."
25 15:24:03 So on and so forth.

01 15:24:05 What I wanted to focus on is the 90 per cent
02 15:24:08 booking at Kiskundorozsma.
03 15:24:10 I mean, I assume that this is Kiskundorozsma 2.
04 15:24:14 I think you will agree with me?
05 15:24:17 A First of all, just to make it clear, I see this
06 15:24:23 document first time. I was not -- so for me, it's
07 15:24:26 a bit difficult to comment on what was written
08 15:24:30 independently. What kind of expert on which site
09 15:24:32 was it?
10 15:24:33 In case we are talking about Kiskundorozsma 2,
11 15:24:38 during the open season process, yes, we've booked
12 15:24:43 90 per cent of firm long term available capacities.
13 15:24:47 There are some lot of other capacities -- short
14 15:24:50 term, interruptible, other stuff. Yes, we booked
15 15:24:52 90 per cent of firm capacities at this point.
16 15:24:59 Q You just mentioned that you've seen this report for
17 15:25:02 the first time?
18 15:25:03 A Yes.
19 15:25:05 Q This particular comment, that GPE booked 90 per cent
20 15:25:09 of the capacities on the entry capacity of
21 15:25:12 Kiskundorozsma interconnection point. There is
22 15:25:15 nothing cited.
23 15:25:16 A Sorry. By the way, it's mistake here. We booked
24 15:25:20 capacities at the exit point, Kiskundorozsma exit
25 15:25:24 point from Transgas system in Serbia.

01 15:25:26 And our customers, they are booking the capacities
02 15:25:31 at the entry point, Kiskundorozsma 2, entering
03 15:25:34 Hungary. Because we can't make a booking, as I've
04 15:25:37 already told, due to licence restrictions, in Hungary.
05 15:25:42 Q So to be clear, in your view, the experts should have
06 15:25:46 referred to the exit capacity instead of the entry
07 15:25:49 capacity, and to Kiskundorozsma 2, to be specific?
08 15:25:52 A Yeah. I've seen the same mistake, by the way, in
09 15:25:54 a way --
10 15:25:55 Q You're not being asked to comment on that at the
11 15:25:57 moment, Mr Mazilov.
12 15:25:57 So there is no reference in this sentence, is
13 15:26:02 there? You don't see any footnotes there on this
14 15:26:07 page?
15 15:26:07 A There's a lot of --
16 15:26:08 Q It's the forth line.
17 15:26:10 A -- footnotes on this page.
18 15:26:12 Q On this line, the one starting from the fourth line,
19 15:26:14 given that GPE booked 90 per cent of the capacities on
20 15:26:17 the entry or exit -- whichever you consider correct.
21 15:26:21 A Yes.
22 15:26:21 Q There's no reference for that.
23 15:26:25 A I don't see any reference.
24 15:26:27 Q Yes. Thank you.
25 15:26:28 **And my question is:** was information provided by

01 15:26:32 you to FIDEM?

02 15:26:35 A I have not provided any information to FIDEM, but

03 15:26:38 basically it's publicly available information. The

04 15:26:41 open season was, let's call it provided, performed in

05 15:26:48 the open manner. So it's not a secret or some kind of

06 15:26:54 commercial secret.

07 15:26:55 Q So you agree that this is information that's known in

08 15:26:57 the gas industry?

09 15:27:00 A Yes, it's known. Yes.

10 15:27:02 Q Ninety per cent, would you agree with me, is a high

11 15:27:04 percentage, a high capacity?

12 15:27:07 A Yes, it's quite high number.

13 15:27:10 Q Do you agree that Gazprom and its related companies

14 15:27:14 exercised a degree of control over this route through

15 15:27:18 Turkstream to Kiskundorozsma 2?

16 15:27:21 A No, I disagree, because there are capacities sold on

17 15:27:27 interruptible basis. You can basically load the whole

18 15:27:29 delivery point. In case Gazprom Export will be not

19 15:27:32 using firm capacities, it could be bought by any other

20 15:27:37 parties and filled and transported on interruptible

21 15:27:40 basis. So I don't see the control on here.

22 15:27:42 Q I'm very sorry. Could you speak into the mic a little

23 15:27:43 bit? I don't think it's your fault. It's my hearing

24 15:27:46 that's not very good. I couldn't hear what you said.

25 15:27:50 A Should I repeat?

-
- 01 15:27:51 Q Yes, please, the last bit.
- 02 15:27:52 A I disagree that we had, like, let's call it
- 03 15:27:57 significant control, as you call it. Because any
- 04 15:28:01 third parties, due to the absence of transportation
- 05 15:28:04 from Gazprom Export, could go and buy capacities in
- 06 15:28:07 this delivery point on interruptible basis and
- 07 15:28:10 transport their volumes.
- 08 15:28:12 There are free capacities available for the
- 09 15:28:17 monthly bookings, quarterly bookings, daily bookings.
- 10 15:28:20 So I don't consider it as the control over the
- 11 15:28:27 delivery point.
- 12 15:28:29 Q Is it correct that Gazprom's subsidiary
- 13 15:28:32 South Stream BV owns and operates Turkstream's
- 14 15:28:35 offshore section?
- 15 15:28:37 I'm just talking about the offshore section.
- 16 15:28:40 A Yes, correct.
- 17 15:28:42 Q Yes. And so Turkstream connects to Kiskundorozsma 2
- 18 15:28:48 through the Bulgarian and Serbian pipeline
- 19 15:28:52 infrastructure; correct?
- 20 15:28:55 A Correct.
- 21 15:28:57 Q Yes. Gazprom, Gazprom PJSC, is the majority owner of
- 22 15:29:03 GASTRANS, the transmission system operator in Serbia,
- 23 15:29:07 yes?
- 24 15:29:07 A Yes.
- 25 15:29:11 Q Yes. And Gazprom also managed to reserve 90 per cent
-

01 15:29:14 of the available capacities along the Bulgarian part
02 15:29:18 of the route?
03 15:29:21 A No, less than 90 per cent.
04 15:29:24 Q Less than 90 per cent.
05 15:29:25 A Yes.
06 15:29:27 Q Significantly less? I could provide you with
07 15:29:31 a reference if you wanted to see one.
08 15:29:33 A No, I know, I know it quite well. They've just
09 15:29:36 published -- not significantly less, but less because
10 15:29:39 their technical capacities of the pipeline, which have
11 15:29:43 been constructed in Bulgaria, was a bit higher than
12 15:29:46 the gas capacity in Serbia.
13 15:29:49 Q Okay.
14 15:29:49 A So I'm quite aware of it.
15 15:29:51 Q Okay. So we have established that for Turkstream to
16 15:29:53 get to Kiskundorozsma 2, it needs to pass through
17 15:29:56 Bulgaria and then Serbia, and then it arrives at the
18 15:29:59 border.
19 15:29:59 You confirm that the offshore part of Turkstream
20 15:30:04 is owned and operated by a PJSC Gazprom subsidiary,
21 15:30:08 South Stream BV.
22 15:30:08 And then when we move to the Bulgarian section,
23 15:30:11 you confirm that it was not exactly 90 per cent, but
24 15:30:14 not significantly less than 90 per cent of the
25 15:30:17 capacities that have been booked.

01 15:30:18 And then you also confirm that Gazprom is the
02 15:30:22 majority owner of the TSO, transmission system
03 15:30:25 operator, in Serbia?
04 15:30:26 A Of independent transmission system operator in Serbia.
05 15:30:31 Q And you do not consider, however, that Gazprom and its
06 15:30:35 related companies have a degree of control over this
07 15:30:40 supply route?
08 15:30:41 A Absolutely not. We have a lot of difficulties with
09 15:30:45 both Serbian operator, Bulgarian operator, their
10 15:30:49 independent ISO controlled by the regulator. There
11 15:30:52 are no any single possibilities to somehow be involved
12 15:30:56 in their activity at all, so, and we basically have
13 15:31:00 a lot of complaints to them.
14 15:31:01 It's a normal commercial relationship, but
15 15:31:04 I definitely not consider it as the control.
16 15:31:07 Absolutely.
17 15:31:07 Bulgaria, even the totally independent ISO, so
18 15:31:14 Bulgartransgaz, the company, owns the pipeline. Owned
19 15:31:17 by BEH, it's Bulgarian gas company and so totally
20 15:31:25 independent, under the very strict control of the
21 15:31:27 regulator. And their activity is incredibly
22 15:31:31 transparent to the authorities or corresponding
23 15:31:34 countries.
24 15:31:38 Q Okay. So I'm coming back to the transportation
25 15:31:41 capacity bookings that are being made by your team in

01 15:31:44 general, specifically about long-term contracts.

02 15:31:47 So, I mean, some of the transmission capacity

03 15:31:52 bookings are made to serve your long-term contracts,

04 15:31:53 yes?

05 15:31:56 A All my capacity bookings are served for my sales

06 15:32:04 obligations. That's why I'm booking them.

07 15:32:07 Q Yes, okay. And so when you cease to supply gas under

08 15:32:10 a long-term contract, that means some capacity on the

09 15:32:15 supply route, whichever supply route it is, it becomes

10 15:32:18 available; yes?

11 15:32:22 A Can you please repeat the question? If I?

12 15:32:24 I didn't --

13 15:32:26 Q Yes, I will repeat.

14 15:32:27 When you stop supplying gas under a long-term

15 15:32:29 contract for any reason, that means some of the

16 15:32:33 capacity bookings that you're doing every year, every

17 15:32:35 day, to serve the same customer, that is now

18 15:32:39 available?

19 15:32:40 A In case they are not immediately substituted by some

20 15:32:44 other customers of the pipeline --

21 15:32:46 Q Yes.

22 15:32:46 A -- yes, possibly made available, yes.

23 15:32:49 Q Yes, so they become available and they can be

24 15:32:51 substituted by another customer, which is --

25 15:32:53 A Another client of the TSO, I mean. User of the

01 15:32:58 transmission system. There are a lot of users.

02 15:33:00 Q Yes, and that could also be Gazprom as a user of the

03 15:33:04 TSO?

04 15:33:06 A Yes.

05 15:33:06 Q And because this is a long-term contract, you would

06 15:33:10 already have secured certain capacity bookings?

07 15:33:14 A Yes.

08 15:33:15 Q Yes. So -- I can't say prima facie.

09 15:33:17 The reasonable assumption is that Gazprom, having

10 15:33:23 secured these bookings, could continue to use them for

11 15:33:25 other customers if they find another customer in the

12 15:33:31 same geographic location?

13 15:33:33 A Yes, yes.

14 15:33:36 Q And this pattern that you have described, the vacating

15 15:33:39 of supply, the vacating of transmission capacities and

16 15:33:45 the fact that it can be used for another customer,

17 15:33:48 this would also apply to Turkstream and

18 15:33:51 Kiskundorozsma 2?

19 15:33:53 A Yes.

20 15:33:56 Q Yes.

21 15:33:56 So, data on the volume of gas flowing through an

22 15:34:00 interconnection point, this information is available

23 15:34:03 on the website of the European Network of System

24 15:34:06 Operators for Gas, correct?

25 15:34:09 A Yes, ENTSOG, yes.

01 15:34:09 Q Yes, ENTSOG for short, it's a mouthful. This is
02 15:34:13 publicly available information; do you confirm?
03 15:34:16 A Yes.
04 15:34:19 Q And in fact, would you consider that your role
05 15:34:22 involves monitoring such information?
06 15:34:26 A My what?
07 15:34:27 Q Your role in the company?
08 15:34:29 A My role?
09 15:34:29 Q Yes?
10 15:34:29 A Yes, among others, yes.
11 15:34:32 Q Yes, and in fact, you refer in your witness statement
12 15:34:35 to ENTSOG data. I'm going to take you to the
13 15:34:38 reference. This is paragraph 34. It's on page 9.
14 15:34:42 A Of my evidence?
15 15:34:44 Q Yes. This is your witness statement.
16 15:34:49 **PRESIDENT:** Ms Lim, while the witness is looking for the
17 15:34:54 document, I just want to flag that we're over more
18 15:34:57 than an hour. You had projected altogether for
19 15:35:01 cross-examination, 60 minutes.
20 15:35:03 **MS LIM:** Yes.
21 15:35:03 **PRESIDENT:** Just to make sure, how much time do you need
22 15:35:08 to complete the examination of the witness? What do
23 15:35:10 you think? Your estimate.
24 15:35:13 **MS LIM:** Madam President, thank you. I think that I will
25 15:35:16 take not more than five, ten minutes at this point.

01 15:35:19 **PRESIDENT:** Please proceed.

02 15:35:20 **MS LIM:** Thank you.

03 15:35:21 **PRESIDENT:** Thank you.

04 15:35:21 A I'm ready to continue more.

05 15:35:27 **MS LIM:** Yes. So your witness statement, paragraph 34,

06 15:35:32 specifically page 9, because it's split. The

07 15:35:35 paragraph is split over two pages.

08 15:35:37 A Yes.

09 15:35:39 **Q Yes. So here we have you referring to:**

10 15:35:46 "The Ukrainian gas transit route [which] has not

11 15:35:52 been used for supplies of Russian gas to Hungary by

12 15:35:55 GPE since 1 October 2021 ..."

13 15:35:58 **You then say this is:**

14 15:35:58 "... supported by publicly available data of

15 15:36:01 a significant decrease in gas flows at

16 15:36:04 Ukrainian-Hungarian border."

17 15:36:05 A Yes.

18 15:36:07 Q Do you see that?

19 15:36:08 A Yes.

20 15:36:08 Q And there is a footnote there, number 30.

21 15:36:12 Footnote 30?

22 15:36:17 A Mm-hmm, yeah, I see.

23 15:36:18 Q Yes. And if we scroll down to look at the footnote,

24 15:36:20 we see an exhibit there. It's exhibit {R-222}. We

25 15:36:29 are going to give you a copy. Unfortunately, it's

- 01 15:36:32 going to be tiny because it's a lot of data.
- 02 15:36:43 A Very tiny.
- 03 15:36:49 Q Yes. Thank you. Just the front part will do.
- 04 15:36:50 Basically, this is an example of data extracted
- 05 15:36:55 from the ENTSOG website, yes?
- 06 15:36:57 A Yes.
- 07 15:36:58 Q And as you confirmed earlier, this is publicly
- 08 15:37:01 available?
- 09 15:37:01 A Yes.
- 10 15:37:05 Q The interconnection point at the Ukrainian-Hungarian
- 11 15:37:06 border, this is known as Beregovo; correct?
- 12 15:37:12 A From outside of Ukraine, Beregovo. From the side of
- 13 15:37:15 Hungary, it's Bereg.
- 14 15:37:17 Q And you do at least refer to Beregovo at paragraph 11
- 15 15:37:22 of your witness statement?
- 16 15:37:23 A Yes.
- 17 15:37:35 Q Yes. In fact, you mentioned Beregovo and
- 18 15:37:40 Kiskundorozsma 2 in the same bracket. This is on
- 19 15:37:45 line 3 to line 4 of paragraph 11.
- 20 15:37:50 A Yes.
- 21 15:37:52 Q Yes. However, there is no information on the volume
- 22 15:37:55 of gas flows at Kiskundorozsma 2 in your witness
- 23 15:37:59 statement.
- 24 15:38:03 A Yes.
- 25 15:38:04 Q Do you agree that Kiskundorozsma 2 has been close to

- 01 15:38:07 its technical capacity since August 2023?
- 02 15:38:17 A What do you mean by "has been closed to its" -- you
- 03 15:38:21 mean usage of the --
- 04 15:38:21 Q Yes, it's been used --
- 05 15:38:23 A -- Kiskundorozsma?
- 06 15:38:24 Q -- up to close to its technical capacity since
- 07 15:38:28 August 2023.
- 08 15:38:29 A Honestly, I'm a good specialist, but I can't remember
- 09 15:38:32 by heart all the flows several years ago. We need to
- 10 15:38:37 refer to concrete --
- 11 15:38:38 Q Okay.
- 12 15:38:38 A But it's publicly available information, so.
- 13 15:38:43 Q Yes.
- 14 15:38:43 A In case it's published on ENTSOG, then it's correct.
- 15 15:38:49 Q After the events of 2022, Turkstream became one of the
- 16 15:38:54 last remaining transportation routes from Europe, from
- 17 15:38:59 Russia to Europe. Is that right?
- 18 15:39:01 A Unfortunately, yes.
- 19 15:39:02 Q But you do not remember how much capacity was
- 20 15:39:05 available on this valuable pipeline?
- 21 15:39:08 A I think no one can remember by heart all the usages
- 22 15:39:13 and gas flows in different delivery points. It's
- 23 15:39:17 simply not possible for the human being.
- 24 15:39:25 **MS LIM:** I have no further questions.
- 25 15:39:28 **PRESIDENT:** Thank you very much.
-

01 15:39:29 Let's see from respondent, do you have questions
02 15:39:31 in redirect?
03 15:39:32 Re-examination by MR TALANOV
04 15:39:33 **MR TALANOV:** Yes. Thank you.
05 15:39:33 There is just one question I wanted to ask.
06 15:39:35 In the beginning of your cross-examination, you
07 15:39:38 wanted to give the tribunal some example of the
08 15:39:42 difference between swaps and physical transportation
09 15:39:44 from your past practice, and you got interrupted by
10 15:39:47 the counsel of the other party.
11 15:39:48 Could you please, should you consider that
12 15:39:50 necessary, address that point?
13 15:39:54 A I was thinking basically about -- I was talking about
14 15:40:00 that all this activity is basically based on the hard
15 15:40:05 lessons we've faced before in the past.
16 15:40:10 And like the difference between virtual and
17 15:40:16 physical services, in case everything goes smoothly,
18 15:40:22 everything goes smoothly. But in case some problems
19 15:40:25 happening, this is when you see the real difference
20 15:40:28 between virtual and physical services. Because, for
21 15:40:33 example, I recollect like in year 2009 when there was
22 15:40:41 difficulties with the transit through the Ukrainian
23 15:40:45 territory due to a breach of the contract from
24 15:40:48 Ukrainian TSO.
25 15:40:49 And, for example, at that time I was responsible

01 15:40:55 storages and storage portfolio of Gazprom Group in
02 15:40:59 Europe. And as an example, for example, in Austria,
03 15:41:02 we had storages, like physical storage Haidach where
04 15:41:05 we stored the gas physically, and there was a number
05 15:41:09 of small optimisation of virtual storage contracts
06 15:41:13 with the traders on VTP Austria.
07 15:41:16 And when the gas flow has interrupted through
08 15:41:21 Ukraine, the whole pipeline system of Slovakia and
09 15:41:25 Austria went down. And basically we've continued to
10 15:41:28 supply the gas from our physical storage in Haidach.
11 15:41:32 But all our virtual storage optimisations deals
12 15:41:36 became -- so all our partners became in breach of
13 15:41:45 their contracts, because it's not possible to fulfil
14 15:41:48 virtual services in the absence of gas, yeah, on the
15 15:41:53 certain VTP.
16 15:41:53 And basically, at that moment of time, we've
17 15:41:58 understood that Gazprom, especially when we are
18 15:42:01 talking about long-term supplies, and here we are
19 15:42:03 talking about long-term contract, we are ready to
20 15:42:06 overpay a bit, yeah?
21 15:42:07 So even our opponents admit that virtual storage
22 15:42:14 or virtual services, they're incredibly cheap, yeah?
23 15:42:18 It connected with the quality of the product.
24 15:42:21 But we, as Gazprom Export, were ready to overpay
25 15:42:27 for the physical storage because for us, it was

01 15:42:29 important to make sure that, even in case of nightmare
02 15:42:33 situation around, the gas will be able to be
03 15:42:36 physically provided till the exit point and supplied
04 15:42:41 under the country, yeah. So without any savings.
05 15:42:44 So that's why for us it was incredibly crucial
06 15:42:48 here. And I can also state that for the long-term
07 15:42:53 contracts, we have never, all over Europe, used any
08 15:42:59 swap or virtual deals, only for certain very
09 15:43:04 short-term optimisation purposes, only for very minor
10 15:43:10 amounts.
11 15:43:10 But it's not possible to construct your long-term
12 15:43:13 supply on the basis of virtual services. It's
13 15:43:18 absolutely unsecured.
14 15:43:20 So that example I just wanted to share with you is
15 15:43:23 from the back of my memory.
16 15:43:28 Q There is just one more question we wanted to clarify
17 15:43:32 with respect to one of the questions raised by the
18 15:43:35 other party.
19 15:43:35 What is the capacity of the Turkstream?
20 15:43:42 A You mean offshore?
21 15:43:44 Q Yes.
22 15:43:46 A 31.5 billion cubic metres per year.
23 15:43:48 Q Thank you.
24 15:43:49 A Around 96 million per day.
25 15:43:52 **MR TALANOV:** No further questions. Thank you.

01 15:43:55 **PRESIDENT:** Thank you.

02 15:43:55 Mr Reiner.

03 15:43:58 Questions by TRIBUNAL

04 15:44:02 **DR REINER:** Can I ask, what is your present position?

05 15:44:06 A Now I'm working in power, Gazprom. Gazprom, in

06 15:44:10 Gazprom headquarter. I've moved a couple of years

07 15:44:13 ago.

08 15:44:13 **DR REINER:** What do you do there?

09 15:44:17 A Unfortunately, being responsible for logistics, my

10 15:44:20 responsibilities in gas export are -- became very,

11 15:44:24 very small. And now we are using this like power for

12 15:44:30 the different -- other directions.

13 15:44:32 I am responsible for China. I'm responsible for

14 15:44:37 some shareholding projects, infrastructure projects of

15 15:44:42 Gazprom, doing some other business connected with

16 15:44:48 financing.

17 15:44:48 So much wider responsibilities, but unfortunately

18 15:44:53 due to collapse of our presence in Europe.

19 15:45:00 **DR REINER:** My next question is, do we agree that the

20 15:45:04 destination, delivery point, is an important element

21 15:45:08 in the determination of the price of the gas?

22 15:45:15 A I'm not responsible for sales, but I believe it has an

23 15:45:18 impact, of course, yes.

24 15:45:19 **DR REINER:** I mean, if you have a delivery point in

25 15:45:21 Strandzha 2, at the border between Turkey and

01 15:45:24 Bulgaria, it will not be the same price as if you have
02 15:45:27 delivery point VTT Croatia?
03 15:45:29 A Yes. Yes.
04 15:45:32 **DR REINER:** You know what the delivery point was under
05 15:45:35 this long-term contract? It was VTT Croatia.
06 15:45:41 A VTT Croatia, yes.
07 15:45:43 **DR REINER:** So let's take a theoretical example.
08 15:45:45 Let's not take PPD as a customer, but customer A.
09 15:45:49 Let's assume that customer A also has a long-term
10 15:45:53 contract, or even a short-term contract for delivery
11 15:45:57 of gas, through GPE. And they also agreed on the
12 15:46:03 delivery point VTT Croatia.
13 15:46:05 So you would have the same difficulty, that
14 15:46:09 Gazprom cannot provide for the delivery beyond the
15 15:46:14 exit point at the border with Serbia and Hungary.
16 15:46:20 A With Serbia, yes.
17 15:46:20 **DR REINER:** So let's assume that same client says: well,
18 15:46:22 I can handle that, and I will handle that, and let's
19 15:46:25 agree on a gas transportation agreement, and you pay
20 15:46:29 me for the service for making sure that the gas
21 15:46:33 arrives at VTT Croatia.
22 15:46:35 And let's assume that theoretical client then
23 15:46:39 later on, after two years, three years, has the
24 15:46:44 opportunity of having a gas delivery contract under
25 15:46:49 which it has to deliver gas at the border between

01 15:46:55 Serbia and Hungary.

02 15:46:56 A And?

03 15:46:56 **DR REINER:** And then says it's stupid to deliver gas into

04 15:47:05 both directions.

05 15:47:05 So let's take the Hungarian client, who wants the

06 15:47:11 gas delivered at that point, at the border between

07 15:47:15 Serbia and Hungary, let's let them take the gas under

08 15:47:21 the first contract.

09 15:47:23 A And how the gas will appear so in Croatia?

10 15:47:27 **DR REINER:** They have another supplier who is willing to

11 15:47:29 supply at the relevant point in Croatia.

12 15:47:33 A And if this, another supplier will fail?

13 15:47:37 **DR REINER:** Isn't that then a legal issue, whether that's

14 15:47:40 the responsibility of the supplier under the first

15 15:47:44 contract?

16 15:47:45 A No, because my responsibility here in this example,

17 15:47:49 that I need to supply the gas to this certain client

18 15:47:51 and VTT Croatia.

19 15:47:53 The title is passing on VTP Croatia, so I need --

20 15:47:58 my responsibility is still that delivery point. And

21 15:48:01 I can rely only on myself and my personal contracts.

22 15:48:05 I can't rely on any third party, which will -- I don't

23 15:48:09 know what are the terms and conditions, where they're

24 15:48:11 taking this gas, what are terms. Because in case they

25 15:48:16 will be in breach, then there will be no gas in

01 15:48:19 Croatia.

02 15:48:19 **DR REINER:** I understand you're not a lawyer?

03 15:48:20 A Huh?

04 15:48:20 **DR REINER:** I understand you're not a lawyer?

05 15:48:23 A I'm answering so badly!

06 15:48:24 Yes, I'm not a lawyer, yes.

07 15:48:29 **DR REINER:** No, no. Just to make sure that I understand

08 15:48:31 your reasoning, that's what I tried to get out from

09 15:48:35 these questions.

10 15:48:36 A Yeah. My reasoning is pure commercial, yeah. So

11 15:48:38 I need to make sure -- and I can rely only on myself

12 15:48:43 and the contracts I'm concluding for the

13 15:48:47 transportation, sales or whatever.

14 15:48:49 **DR REINER:** Can I just put it in those terms, and tell me

15 15:48:52 whether I get your understanding right.

16 15:48:53 Your fear is that if there is a problem with the

17 15:48:57 second contract, which the same client entered into,

18 15:49:04 that Gazprom could be held responsible, that the gas

19 15:49:08 is not physically available in Croatia. Is that your

20 15:49:12 fear?

21 15:49:12 A It's like in my example with this virtual storage. In

22 15:49:15 case of some problems, all virtual swap agreements are

23 15:49:20 collapsing.

24 15:49:20 And honestly, I don't care whether they will be

25 15:49:23 like PPD receiving, what kind of liability clauses are

01 15:49:27 in these contracts.

02 15:49:29 The main understanding, that in case of collapse,

03 15:49:31 I will not be able to satisfy my obligations under the

04 15:49:36 sales contract on VTT Croatia. So that's the point.

05 15:49:41 It's absolutely different product, yeah?

06 15:49:43 It's like, for example, tomorrow, in one week, you

07 15:49:47 will call a taxi to drive you to the airport, yeah?

08 15:49:50 From Intercontinental Hotel to the airport, yeah?

09 15:49:54 And basically you, as the buyer of the service

10 15:49:59 from the car, yeah, you would like to be safe and

11 15:50:03 comfortable. That's why you are asking S-Class, and

12 15:50:06 you are asking the driver to drive you through the

13 15:50:09 coast of Bosphorus, yeah, to relax, nice view, and to

14 15:50:12 be on the safe side.

15 15:50:13 You are overpaying for this. You are paying extra

16 15:50:16 money.

17 15:50:16 And that's your contract. You have agreed with

18 15:50:20 the driver.

19 15:50:21 But at the same time, the driver comes to your

20 15:50:24 hotel and you are in a hurry. You need to be at the

21 15:50:25 airport. That's your primary target, yeah, to catch

22 15:50:28 the plane. Because you are flying to another

23 15:50:32 arbitration, and you have certain responsibilities.

24 15:50:34 The driver comes to -- you are coming out of the

25 15:50:38 hotel with the baggage, but the driver -- you see

01 15:50:39 a 25 years old Kia Rio without safety belts. And this
02 15:50:46 driver is driving you to the airport, but through the
03 15:50:51 dirtiest streets of Istanbul, not through the coast.
04 15:50:55 You will reach still, you will reach airport in
05 15:51:00 time, yes, but it would be definitely not you are
06 15:51:03 overpaying for.
07 15:51:04 **But the driver will tell you:** sorry, I've just
08 15:51:07 decided to gain extra profit besides of my contract,
09 15:51:10 to rent a more cheaper car and to save some fuel
10 15:51:14 because I have a shorter distance. And I don't care
11 15:51:17 what we have agreed with you, what you have
12 15:51:19 overpaid for.
13 15:51:20 And in this situation, the primary target for you
14 15:51:23 is to catch the plane. So you will not be stopping in
15 15:51:26 **the middle of the road saying:** okay, I'm going in
16 15:51:29 dispute with this driver. Because you will miss much
17 15:51:32 more primary target. You will miss your plane and
18 15:51:35 other responsibilities.
19 15:51:37 And then after that, for example, in our case,
20 15:51:39 this driver even goes in court and asking you, for you
21 15:51:44 to pay extra additional money, because he hoping that
22 15:51:48 he will continue to receive this money advantage for
23 15:51:52 the cheaper car and fuel savings for the next
24 15:51:54 10 years. And you are surprised.
25 15:51:58 **DR REINER:** The only difference, of course, is that in

01 15:52:00 the case of a swap, you don't need the one taxi and
02 15:52:03 you don't need the other either. So you're reducing
03 15:52:06 the risk.
04 15:52:06 But I think we are really -- I got your
05 15:52:09 understanding. It was very helpful. Thank you.
06 15:52:12 A And here you have even virtual car, so there is no car
07 15:52:15 at all.
08 15:52:19 **PRESIDENT:** And virtual hearing.
09 15:52:21 A Is just drawing on paper, you know? You are going by
10 15:52:25 bus, and here the picture of the car. Yeah.
11 15:52:30 **PRESIDENT:** I think that was the last question.
12 15:52:32 Thank you, sir. Thank you for coming all the way,
13 15:52:36 and thank you for testifying before this tribunal.
14 15:52:40 **WITNESS:** It was a pleasure for me. Thank you.
15 15:52:42 **PRESIDENT:** Your testimony is completed, and you are free
16 15:52:44 to go or stay in the room.
17 15:52:46 (Witness released)
18 15:52:46 **PRESIDENT:** We are now in the hands of counsel.
19 15:52:49 I think we have completed today's agenda.
20 15:52:51 We will therefore resume tomorrow at 9.30.
21 15:53:13 (3.53 pm)
22 15:53:13 (The hearing adjourned until 9.30 am on the following day)